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WEST OF ENGLAND | MAYORAL COMBINED AUTHORITY

A meeting of the

West of England Combined Authority Audit Committee

will be held on

Date: **Monday, 6 July 2026**

Time: **10.30 am**

Place: **70 Redcliff Street**

Notice of this meeting is given to members of the West of England Audit Committee as follows

Cllr David Wilcox, Bristol City Council
Cllr Toby Simon, Bath & North East Somerset Council
Cllr David Addison, South Gloucestershire Council
Cllr Kelvin Blake, Bristol City Council
Cllr Tom Blenkinsop, Bristol City Council
Cllr Ben Burton, South Gloucestershire Council
Cllr Mike Drew, South Gloucestershire Council
Mark Hatcliffe, Independent Member of Audit Committee
Cllr Jonathan Hucker, Bristol City Council
Cllr John Leach, Bath & North East Somerset Council
Cllr Sibusiso Tshabalala, Bristol City Council
Jennifer Whitten, Independent Member of Audit Committee
Cllr Stephen Williams, Bristol City Council

Enquiries to:

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West of England Combined Authority Audit Committee Agenda

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- Inspect agendas and public reports five days before the date of the meeting
- Inspect agendas, reports and minutes of the Combined Authority and all Combined Authority Committees and Sub-Committees for up to six years following a meeting.
- Inspect background papers used to prepare public reports for a period public reports for a period of up to four years from the date of the meeting. (A list of background papers to a report is given at the end of each report.) A background paper is a document on which the officer has relied in writing the report.
- Have access to the public register of names, addresses and wards of all Councillors sitting on Combined Authority, Committees and Sub-Committees with details of the membership of all Committees and Sub-Committees.
- Have a reasonable number of copies of agendas and reports (relating to items to be considered in public) made available to the public attending meetings of the Combined Authority, Committees and Sub-Committees
- Have access to a list setting out the decisions making powers the Combined Authority has delegated to their officers and the title of those officers.
- Copy any of the documents mentioned above to which you have a right of access. There is a charge of 15p for each side of A4, subject to a minimum charge of £4.
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Guidance for press and public attending this meeting

The Openness of Local Government Bodies Regulations 2014 mean that any member of the public or press attending this meeting may take photographs, film or audio record proceedings and may report on the meeting including by use of social media (oral commentary is not permitted during the meeting as it would be disruptive). This will apply to the whole of the meeting except where there are confidential or exempt items, which may need to be considered in the absence of the press or public.

If you intend to film or audio record this meeting please contact the Democratic Services Officer named on the front of the agenda papers beforehand, so that all necessary arrangements can be made.

Some of our meetings are webcast. By entering the meeting room and using the public seating areas you are consenting to being filmed, photographed or recorded. At the start of the meeting, the Chair will confirm if all or part of the meeting is to be filmed. If you would prefer not to be filmed for the webcast, please make yourself known to the camera operators.

An archived recording of the proceedings will also be available for viewing after the meeting. The Combined Authority may also use the images/sound recordings on its social media site or share with other organisations, such as broadcasters.

To comply with the Data Protection Act 2018, we require the consent of parents or guardians before filming children or young people. For more information, please speak to the camera operator.

1. COMMITTEE MEMBERSHIP & APOLOGIES FOR ABSENCE

To note the Committee's membership for 2026/27 and to receive apologies for absence from Members.

2. ELECTION OF CHAIR

To elect a Chair for the Committee for municipal year 2026/27.

3. ELECTION OF VICE-CHAIR

Having elected a Chair, the Committee to elect a Vice-Chair for Municipal Year 2026/27.

4. DECLARATIONS OF INTEREST UNDER THE LOCALISM ACT 2011

Members who consider that they have an interest to declare are asked to: a) State the item number in which they have an interest, b) The nature of the interest, c) Whether the interest is a disclosable pecuniary interest, non-disclosable pecuniary interest or non-pecuniary interest. Any Member who is unsure about the above should seek advice from the Monitoring Officer prior to the meeting in order to expedite matters at the meeting itself.

5. MINUTES 7 - 30

To consider and approve the minutes from the meetings held on 2 March 2026 (adjourned) and 27 April 2026 (reconvened) of the West of England Combined Authority Audit Committee.

6. TERMS OF REFERENCE 31 - 40

Amended Terms of Reference for the Audit Committee were agreed by the Authority's Annual General Meeting on 5 June 2026.

These Terms of Reference have been attached. The Committee is invited to note its Terms of Reference.

7. ITEMS FROM THE PUBLIC (QUESTIONS, STATEMENTS AND PETITIONS)

WRITTEN PUBLIC QUESTIONS (written procedure)

1. Any member of the public can submit a maximum of two written questions in advance of this meeting.

2. The deadline for the submission of questions is 5.00 pm, at least 3 clear working days ahead of a meeting. For this meeting, the deadline for questions is **5.00 pm on Tuesday 30 June 2026**.

3. Questions should be addressed to the Chair of the meeting and e-mailed to democratic.services@westofengland-ca.gov.uk

4. Under the direction of the Chair, wherever possible, written replies to questions will be sent to questioners by the end of the working day prior to the meeting.

5. Please note - under the Combined Authority's committee procedures, there is no opportunity for oral supplementary questions to be asked at committee

meetings.

6. The written questions and replies will be circulated to committee members in advance of the meeting and published on the Combined Authority website.

PUBLIC STATEMENTS

1. Any member of the public may submit a written statement (or petition) to this meeting.

2. Please note that one statement per individual is permitted.

3. Statements must be submitted in writing and received by the deadline of 12 noon on the working day before the meeting. For this meeting, the deadline for statements is **12 noon on Friday 3 July 2026**. Statements should be emailed to democratic.services@westofengland-ca.gov.uk

4. Statements will be listed for the meeting in the order of receipt. All statements will be sent to committee members in advance of the meeting and published on the Combined Authority website.

5. **Please note**:

If any member of the public wishes to attend the meeting to orally present their statement, they are asked please to notify the Combined Authority's Democratic Services team of this at the point when their statement is submitted and by 12 noon on the working day before the meeting at the very latest.

For those presenting their statements at the meeting, up to 3 minutes 'speaking time' is permitted for each statement. The total time available for the public session at this meeting is 30 minutes.

8. CHAIR'S ANNOUNCEMENTS AND REPORT BACK FROM MAIN COMMITTEE

To receive any announcements from the Chair and to receive a report back from the main Committee meeting held on 5 June 2026.

9. DRAFT STATEMENT OF ACCOUNTS [VERBAL UPDATE]

To receive a verbal update on the draft Statement of Accounts.

10. TREASURY MANAGEMENT OUTTURN REPORT 2025/26 41 - 56

The Chartered Institute of Public Finance and Accountancy (CIPFA) Treasury Management in the Public Services: Code of Practice requires the Mayoral Combined Authority to approve a Treasury Management Strategy before the start of each financial year, review performance during the year, and approve an annual report after the end of each financial year. This report provides a review of performance to 31 March 2026.

11. INTERNAL AUDIT ANNUAL REPORT 2025/26 [INTERNAL AUDIT] 57 - 68

The work of the Internal Audit Service is to provide independent assurance to the West of England Combined Authority's (WECA) senior officers and members that governance, risk management and controls are sufficient to ensure delivery of the objectives. As part of meeting statutory and professional requirements,

the Head of Audit & Assurance is also required to provide an opinion on WECA's control environment.

This is the closing Internal Audit Report to the Audit Committee for the financial year 2025/26. Included is a summary of audit performance and key issues as well as the formal opinion on the internal control framework.

12. EXPANSION OF THE COMBINED AUTHORITY 69 - 74

To provide Audit Committee with an overview of the work underway to expand of the West of England Combined Authority (WECA) to include North Somerset Council (NSC).

13. PROJECT MANAGEMENT PLAN FOR DELIVERY OF THE 2025-26 AUDIT [EXTERNAL AUDIT] 75 - 80

To receive and note the Project Management Plan for delivery the 2025-26 audit as set out in the Accounts and Audit (Amendment) Regulations 2024.

14. THE AUDIT PLAN FOR WEST OF ENGLAND COMBINED AUTHORITY - YEAR ENDING 31 MARCH 2026 [EXTERNAL AUDIT] 81 - 114

To receive and note Grant Thornton's Audit Plan for the West of England Combined Authority for Year Ending 31 March 2026.

15. WEST OF ENGLAND COMBINED AUTHORITY - AUDITOR'S ANNUAL REPORT - YEAR ENDING 31 MARCH 2025 [EXTERNAL AUDIT] 115 - 168

To receive and note Grant Thornton's West of England Combined Authority Final Auditor's Annual Report - Year ending 31 March 2025.

16. QUARTERLY CORPORATE RISK REGISTER UPDATE 169 - 196

To present the Corporate Risk Register (CRR), which is a standing quarterly item for the Committee's consideration.

17. HEALTH AND SAFETY UPDATE 197 - 204

To provide Audit Committee with an update on health and safety performance across the Mayoral Combined Authority (MCA) for 2025/26, together with plans for continuous improvement during 2026/27.

18. INFORMATION GOVERNANCE UPDATE 205 - 244

To update the Audit Committee on the implementation of the Combined Authority's Information Governance Framework, to seek the Audit Committee's endorsement of the new statutory Data Protection Complaints Policy, and to present the Combined Authority's performance in relation to requests made under the Freedom of Information Act 2000 and the Environmental Information Regulations 2004 for the year 2026/27 year to date.

19. LOCAL GOVERNMENT & SOCIAL CARE OMBUDSMAN ANNUAL REVIEW LETTER 245 - 256

To present the Local Government and Social Care Ombudsman Annual Review Letter for 2025/2026.

20. FORWARD WORK PLAN 257 - 264

To consider the Committee's Forward Work Plan for 2026/27.

21. POINTS TO REFER TO MAIN COMMITTEE

22. FEEDBACK SESSION

23. ANNUAL CYBER RESILIENCE UPDATE 265 - 274

To update Audit Committee on recent cyber resilience improvements, ongoing management and monitoring arrangements, and future plans.

If discussions necessitate a move to exempt session then Committee must move an appropriate resolution.

Next meeting: Monday, 14 September 2026

West of England Combined Authority
West of England Combined Authority Audit Committee

Monday, 2 March 2026, 10.00 am - 1.05 pm
70 Redcliff Street (BS1 6AL)

Present: (2 March 2026)

Cllr David Wilcox, Bristol City Council
Cllr Toby Simon, Bath & North East Somerset Council
Cllr David Addison, South Gloucestershire Council
Cllr Tom Blenkinsop, Bristol City Council
Cllr Emily Clarke, Bristol City Council
Mark Hatcliffe, Independent Member of Audit Committee
Cllr Jonathan Hucker, Bristol City Council
Cllr John Leach, Bath & North East Somerset Council
Cllr Adrian Rush, South Gloucestershire Council
Cllr Sibusiso Tshabalala, Bristol City Council
Jennifer Whitten, Independent Member of Audit Committee
Cllr Stephen Williams, Bristol City Council

Officers In Attendance:

Selonge Russell, Director of Finance, Investments & Commercial (Section 73 Officer)
Steven Hellard, Deputy Monitoring Officer

NB: The meeting on 2 March 2026 was adjourned at 1:05pm following consideration of Item 15. The Committee was reconvened on 27 April 2026 when the remaining items were discussed. For further information please refer to the minutes for 27 April 2026.

Present (27 April 2026):

Cllr David Wilcox, Bristol City Council
Cllr Toby Simon, Bath & North East Somerset Council
Cllr David Addison, South Gloucestershire Council
Cllr Tom Blenkinsop, Bristol City Council
Cllr Emily Clarke, Bristol City Council
Mark Hatcliffe, Independent Member of Audit Committee
Cllr Jonathan Hucker, Bristol City Council
Cllr John Leach, Bath & North East Somerset Council
Cllr Adrian Rush, South Gloucestershire Council
Cllr Sibusiso Tshabalala, Bristol City Council
Jennifer Whitten, Independent Member of Audit Committee
Cllr Stephen Williams, Bristol City Council
Cllr John Bradbury, South Gloucestershire Council (as substitute for Cllr David Addison)
Cllr Nicholas Coombes, Bristol City Council (as substitute for Cllr Stephen Williams)

Officers In Attendance:

Bob Brown, Director of Legal Services
Selonge Russell, Director of Finance, Investments & Commercial (Section 73 Officer)

Apologies:

Cllr Stephen Williams, Bristol City Council (Councillor Nicholas Coombes attended as substitute)
Mark Hatcliffe, Independent Member
Cllr Emily Clark, Bristol City Council
Cllr David Addison, South Gloucestershire Council (Cllr John Bradbury attended as substitute)

Minutes

1	**Welcome & Apologies for absence** Prior to the meeting commencing the Chair read out the fire evacuation procedure. The Chair welcomed everybody to the meeting and those present introduced themselves. No formal apologies for absence had been received in advance of the meeting.
2	**Declarations of Interest under the Localism Act 2011** No declarations of interest were declared under the Localism Act 2011.
3	**Minutes** The minutes of the meeting held on 8 December 2025 were agreed as a correct record.
4	**Items from the Public (Questions, Statements and Petitions)** There had been fourteen questions received from members of the public in advance of this meeting. These questions and officers' responses thereon had been published and circulated in advance of the meeting. In addition, four statements had been received. Again, these had been published and circulated in advance. The following person attended the meeting and addressed the Committee for up to three minutes on the topic of their statement: • Andrew Lynch.
5	**Chair's Announcements and Report Back from Main Committee** The Chair confirmed that he had attended the Joint meeting - West of England Combined Authority Committee and West of England Joint Committee meeting on 30 January 2026, confirming that he had reported-back on several Audit Committee items. The Chair's statement had been published with the Committee papers for that meeting. The Chair also asked Committee members to explain any acronyms they may use during the meeting and gave some common examples.
6	**Membership Update** The Committee received a report which updated members on the latest position regarding the Committee's membership. It was reported that one of the independent members of the Audit Committee, Christine Fraser, had resigned from the Committee in January 2026. Another of the independent members, Mark Hatcliffe, term of office was due to end at the end of the current municipal year, leaving one independent member of the Committee contrary to the most up-to-date Cipfa guidance which recommended that the Audit Committee should have at least two independent members appointed to it. The Chair thanked Christine Fraser for her contribution. Mark Hatcliffe confirmed that he had spoken to the Chair and the clerk a few week previously and was happy with the proposal for the interim arrangements. It was unanimously: **Resolved**: 1) That the recent resignation of Independent Member Christine Fraser be noted; 2) That the Audit Committee recommend that the Combined Authority be requested to extend the term of membership for Independent Member Mark Hatcliffe for up to a further year (to no later than the end of 2026/27) to allow for a decision to be made

	on the Committee's Terms of Reference and the Authority's Constitution by the Combined Authority and recruitment activities to take place; 3) That it be agreed in principle that the Committee continue to follow the CIPFA guidance to have at least two independent members appointed to the Authority's Audit Committee.
7	**Quarterly Corporate Risk Register & Corporate Risk Framework Annual Review** The Committee considered a report presenting the Quarterly Corporate Risk Register (CRR) and the outcome of the annual review of the Corporate Risk Management Framework. The report was presented by officers, who advised that the Corporate Risk Register continued to focus on nine material risks that either cut across directorates or posed a significant threat to delivery of the Authority's statutory duties and strategic priorities. In respect to the Corporate Risk Register the Committee noted that: • The two highest-rated risks remained CRR14 (City Region Sustainable Transport Settlements delivery) and CRR20 (Bristol Temple Quarter development), reflecting their scale, complexity and financial exposure; • All risks had been assessed as high prior to mitigation, and following mitigation only CRR14 remained rated as high, recognising that risks of this scale could not be fully eliminated and must be actively managed; • All risks had updated mitigations, with no material changes to underlying exposure other than those highlighted. Members were advised of the following substantive updates for this quarter: • CRR8 (Climate and Nature Integration) had been reframed to focus explicitly on areas within the Combined Authority's direct control, including strategic planning, transport and place-based investment, replacing a broader outcomes-based framing. Ownership had changed and a separate item on the agenda further detailed the revised scope; • CRR10 (Recruitment, Retention and Workforce Diversity) had been updated to reflect workforce stability during transition to the Target Operating Model (TOM), with enhanced focus on workforce planning, talent attraction, retention, onboarding and internal progression; • CRR4 (Business Continuity and Cyber Resilience) had been reviewed following a previous Committee request and remained appropriately scored, with robust mitigations in place. Members were advised that a closed session was scheduled later in the year to explore the treatment plan in more detail. Members sought clarification on: • Mitigations relating to CRR20, including procurement of a private sector delivery partner and exposure to cost overruns; • Financial exposure and contingency arrangements for major place-based investments; • Residual risk scoring for CRR14 despite mitigation to programme end dates. Officers confirmed that: • A fully compliant procurement process had been undertaken for the Bristol Temple Quarter private sector partner; • The Combined Authority was exposed to cost overrun risk under existing grant agreements, which was actively managed through partnership governance and

	financial oversight; • Residual risk scores reflected scale, external dependency and complexity rather than a likelihood of failure. In respect to the Corporate Risk Management Framework Annual Review the Committee noted that the annual framework review represented a substantive strengthening of the Authority's risk approach rather than routine update. Members were advised that key enhancements included: • Clearer and more structured risk categories; • Refined risk appetite statements; • Introduction of residual risk thresholds; • Stronger escalation triggers; • Formal recognition of opportunity risk. It was explained that these changes would: • Improve consistency, auditability and transparency of risk reporting; • Clearly identify where residual risks exceeded appetite; • Strengthen decision-making by the Mayor and Corporate Leadership Team; • Be supported through guidance, capability development and phased implementation as part of the organisational improvement programme. Members discussed: • Risk escalation timelines and decision-making routes; • Role clarity between risk ownership and action ownership; • Reporting arrangements to the Mayor and Corporate Leadership Team; • The appropriateness of the risk appetite relating to ICT and cyber security; • Communication and partnership risks, including public understanding of the Combined Authority's role. Officers confirmed that: • Risks were actively managed at directorate and project level, with escalation outside quarterly cycles where required; • Ultimate accountability rested with risk owners, supported by action owners; • The Mayor was regularly briefed on corporate risks and framework developments; • Communications governance had been strengthened through formal protocols with constituent authorities and restructured internal capacity. **Resolved** That the Committee: (1) Noted the revised wording, scope, ownership and impacts of Corporate Risk CRR8; and (2) Considered whether the updated mitigations, controls and residual risk assessment set out in Appendices 2, 3 and 4 provided an appropriate level of assurance.
8	**Corporate Risk CRR8 Review**

The Committee considered a report presenting the outcome of a review of Corporate Risk CRR8, relating to the Authority's response to the climate and ecological emergency.

The report was presented by officers, who explained that the review had sought to revise the wording, scope and focus of the risk to improve clarity, strengthen assurance, and better align the risk with areas within the Combined Authority's direct control, particularly in relation to transport and place-based responsibilities.

The Committee noted that:

- The previous wording of CRR8 had focused broadly on regional outcomes, some of which sat outside the Authority's resources and statutory responsibilities;
- The revised risk refocused attention on the consequences of under-delivery against agreed strategies, targets and plans that the Combined Authority directly controls;
- The revised wording was intended to improve clarity around delivery, ownership, mitigation, and assurance.

Members were advised that:

- A summary of current and planned mitigations and controls was set out in the report appendices;
- Further papers would be presented to the Committee outlining in more detail delivery programmes for the forthcoming financial year;
- Work as underway to develop a longer-term climate and environmental investment plan, aligned to the Authority's wider investment planning over a five-year horizon;
- Officers were developing approaches to better demonstrate the cumulative impact of climate and environmental activity across all programmes, rather than only at individual project level.

The Committee noted a number of governance and delivery mechanisms supporting mitigation of the risk, including:

- The establishment of an Environment Advisory Board;
- Integration of climate and nature objectives within the Growth Strategy and Spatial Development Strategy;
- Use of organisational key performance indicators to monitor delivery;
- Ongoing development of supporting strategies, including the Local Nature Recovery Strategy and publication of a State of Nature report.

During discussion, Members raised:

- Concerns regarding the potential perception of reduced ambition, while acknowledging the benefit of improved clarity and focus;
- The importance of demonstrating cumulative impact across the organisation;
- The treatment of workforce, leadership and organisational development considerations within the revised risk;
- Clarity around the role and remit of advisory boards;
- The visibility of flood risk and climate resilience, particularly in areas supporting economic growth.

Officers confirmed that:

- The revised risk did not represent a reduction in ambition, but supported mainstreaming climate and environmental considerations across all programmes;

	• Workforce and organisational development considerations would be addressed through existing governance and improvement arrangements; • Climate resilience and flood risk were addressed through partnership working and existing programmes, and officers would reflect on whether this should be more explicitly captured within the mitigations. **Resolved**: The Committee: (1) Noted the revised wording, scope, ownership and impact of Corporate Risk CRR8; and (2) Considered and endorsed that the mitigations, controls and residual risk assessments set out in Appendices 2, 3 and 4 provided an appropriate level of assurance.
9	**Internal Audit Plan 2026/27 [Internal Audit]** The Committee considered a report presenting the Annual Audit and Assurance Plan for the 2026/27 financial year, which set out the principal work programme of the Internal Audit service. The report was introduced by Internal Audit, who outlined the approach used to develop the plan, including application of the Reasonable Assurance Model and consultation with senior management. Members were advised that the plan covered the period 1 April 2026 to 31 March 2027 and would be kept under continuous review to ensure it remained responsive to emerging risks and priorities. The Committee noted that: • The methodology used to develop the plan was consistent with that applied in previous years; • A contingency allocation of audit resources had been retained to respond to urgent or unforeseen issues arising during the year; • Any significant amendments to the plan would be reported back to the Committee, with a formal review scheduled at the six-month point; • In addition to planned audits, Internal Audit would continue to provide advice and assurance on governance, financial controls, investigations into irregularities where required, and attendance at the Organisational Improvement Programme Board. Members' attention was drawn to Appendix A, which sets out the proposed audit programme in detail. It was noted that the plan reflected risks previously discussed by the Committee and included increased coverage of ICT and cyber security, identified by Internal Audit as a high-risk area across the local government sector. Planned audits were also confirmed to align with identified corporate risks, including work linked to the City Region Sustainable Transport Settlements (CRSTS) programme and Temple Quarter. During discussion, Members sought clarification on: • The scope of the planned cyber security audit, including controls relating to the use of artificial intelligence systems and protection of confidential information; • How corporate risks, including environmental and climate-related risks, were reflected within the audit plan; • The timing of planned CRSTS audit work in light of anticipated programme expenditure.

	Internal Audit confirmed that: • The cyber security review would consider controls relating to approved systems and the restriction of unauthorised AI tools; • Environmental and climate-related risks will be considered within relevant audits rather than as a standalone review; • An audit of the CRSTS programme is currently underway under the existing audit plan and will be reported to the Committee, with further follow-up work planned later in the year. **Resolved:** That the Committee: (1) Approved the Internal Audit Annual Audit and Assurance Plan for 2026/27; (2) Noted the intention to keep the plan under regular review, including a six-month progress assessment, to ensure audit resources could be prioritised appropriately.
10	**Grant Thornton - Audit progress report and Sector Updates [External Audit]** The Committee considered a report from Grant Thornton providing an update on the progress of the external audit and relevant sector developments and outlining the current position in respect of the 2024/25 audit and the planned approach for the 2025/26 audit, supported by a representative of the audit team. In respect to the 2024/25 Audit Update the Committee noted that: • The auditor's opinion on the 2024/25 financial statements was concluded and signed in early December, confirming that the accounts present a true and fair view. • An interim Auditor's Annual Report on Value for Money (VfM) arrangements was presented to the Committee in September. • The conclusion of the 2024/25 VfM work remained outstanding due to: ○ An objection received from a member of the public, currently under consideration with Public Sector Audit Appointments (PSAA); and ○ Additional matters brought to the auditor's attention, one of which has been concluded with no impact on the VfM conclusion. • Confirmation is also awaited from the National Audit Office in respect of Whole of Government Accounts requirements. It was confirmed that the matters raised did not affect the auditor's opinion on the financial statements and were below materiality thresholds. In respect of the 2025/26 Audit Update the Committee noted that: • Interim and planning audit work for 2025/26 had commenced in February 2026. • The audit plan was expected to be issued shortly and would be presented to a future meeting of the Committee. • The audit plan would set out the identified significant risks requiring special audit consideration. • Value for Money work for 2025/26 had commenced, with the Auditor's Annual Report expected later in the year. Sector Updates

	The Committee was advised of several sector-wide developments, including: • The publication of Grant Thornton's report on the local government audit "backstop", highlighting the national backlog of unissued audit opinions. • Ongoing reductions to statutory audit timescales and the importance of effective working practices between audited bodies and auditors. • An annual local government accounts webinar attended by the Authority's Section 73 Officer and finance team, covering common accounting, disclosure and audit issues. • Emerging sector developments, including anticipated governance and accountability reforms, and related challenge questions for audit committees. Members sought clarification regarding: • Whether delays at a national level could result in increased audit fees; • The impact of audit delays on value for money; • Preparations for future sector-wide accountability and governance changes. The auditor confirmed that: • Audit fees are set through PSAA and will be detailed in the audit plan; • Additional fees would only arise where audits are significantly delayed due to incomplete or untimely information; • The Authority continues to demonstrate strong, timely audit performance relative to the wider sector. **Resolved**: That the Committee noted the Grant Thornton Audit Progress Report and Sector Updates.
11	**Value for Money Report - Improvement Recommendation - Update** The Committee considered a report providing an update on progress made against the improvement recommendations arising from the Grant Thornton Value for Money Report presented to the Committee in September 2026 specifically in relation to strengthening procurement and contingent labour governance, including IR35 compliance, reporting arrangements and contractual controls. The report was introduced by the Head of HR and Organisational Development and the Head of Commercial, who advised that delivery of the actions had been undertaken jointly to ensure alignment between HR, commercial, procurement and finance functions. The Committee noted that the update addressed seven agreed actions, including: • Implementation of quarterly commercial and procurement compliance reporting, now embedded with reported compliance rates exceeding 90%; • Review and enhancement of contract and service agreement templates, including ethical conduct and confidentiality provisions; • Amendments to the procurement request and approval process to incorporate IR35 compliance checks jointly with HR; • Delivery of commercial and workforce governance training across the organisation; • Strengthened IR35 assessment processes, with assessments retained on file for all contingent workers; • Development of a single source of truth for contingent labour reporting, integrating HR, commercial and financial data and reported quarterly to the Corporate Leadership

	Team. During discussion, Members sought further clarification on: • The extent of any retrospective IR35 or contingent labour review and the Authority's exposure to potential HMRC scrutiny; • Visibility of the cost of contingent labour, including comparison with direct employment costs; • The mechanisms in place to identify and address non-compliant procurement activity; • The scope and completeness of quarterly procurement compliance reporting; • The use of frameworks and contracts for engaging contingent labour rather than ad-hoc arrangements. Officers confirmed that: • IR35 checks had been completed for all current contingent workers; • Formal contractual arrangements and frameworks were in place for professional services and contingent labour; • Procurement compliance is monitored through established approval thresholds and governance controls, with corrective action taken where required; • No breaches of procurement legislation had been identified within the reporting period. Members requested that additional information be provided to support ongoing assurance. **Resolved**: That the Committee: (1) Noted the progress made against the Value for Money Report improvement recommendations relating to the appointment and management of contractors and contingent labour; and (2) Requested that a further report be presented to a future meeting of the Committee providing: a. A clear explanation of IR35 and its application within the Combined Authority; b. Additional information on retrospective IR35 risk and mitigation; c. Data on the number, cost, duration and organisational placement of contingent labour engagements, including comparative information on direct employment where appropriate; and d. Further detail on actions taken in response to instances of procurement non-compliance.
12	**City Region Sustainable Transport Settlement Programme Update on Rebaseline** The Committee received a report providing an update on the outcome of the City Region Sustainable Transport Settlements (CRSTS) Programme rebaselining exercise. Officers reported that the CRSTS programme was originally deliberately over-programmed in 2024, with a requirement for construction completion by March 2027. Revised guidance issued by the Department for Transport (DfT) has since amended this requirement, with funding now required to be contractually committed by that date rather than fully constructed. This change has reduced delivery and spend risk across the programme. The Committee noted that at its October meeting it approved the allocation of £140m of Transport for City Regions (TCR) funding to support delivery of the CRSTS programme and

	delegated authority to officers to rebaseline the programme and submit a formal change request to DfT. Officers confirmed that the rebaselining exercise had now been completed and the change request submitted, with a decision expected from DfT later this month. It was explained that: • The revised baseline programme is set out in the report appendices. • Programme risks reflect a point-in-time position, and submission of the DfT change request is a mitigating action which is expected to be reflected in future risk assessments. • Rebaselining does not alter total funding allocations to constituent councils or the Combined Authority. In discussion, Members raised questions regarding: • Funding and delivery of micromobility parking, including demand, trial status, and parking compliance. • Officers confirmed work is being undertaken collaboratively with constituent highway authorities and operators, that current funding remains available pending final designs, and that parking compliance has increased to 99% following operational changes. • The trial status of micromobility schemes and the flexibility of non-permanent infrastructure. • Equality and accessibility impacts, including the role of Equalities Impact Assessments (EQIAs) and monitoring of scheme usage and benefits. • Officers confirmed EQIAs are undertaken at scheme level as part of grant assurance, and that monitoring and evaluation will assess outcomes and usage following completion. • Removal of certain schemes and treatment of associated funding. • Officers clarified that funding envelopes remain fixed by organisation and that any funding released through scheme changes remains within the relevant constituent council's allocation. A specific query regarding a change in funding allocation for a named work package was noted, with officers undertaking to confirm details separately. **Resolved** The Committee noted the update on the City Region Sustainable Transport Settlements Programme rebaselining exercise.
13	**National Fraud Initiative Outcome 2024-25** The Committee received a report on progress and outcomes to date arising from the Combined Authority's participation in the 2024–25 National Fraud Initiative (NFI) exercise. The National Fraud Initiative is a national data-matching exercise designed to identify potential fraud, duplicate payments, and weaknesses in financial controls. The NFI system uses a deliberately sensitive matching algorithm, meaning that generated matches are prompts for investigation rather than evidence of fraud. The following points were confirmed: • Approximately 1,400 potential matches had been identified over the three-year review period. • A structured, risk-based approach was adopted, prioritising higher value and higher risk matches to provide early assurance.

	• To date: ○ £16.2 million of potential duplicate payment transactions had been reviewed. ○ £6.1 million of input VAT transactions had been examined. ○ All duplicate creditor standing data cases had been fully reviewed. • No duplicate payments, VAT overclaims, fraud, or control weaknesses had been identified. • Reviews of supplier setup controls, payment authorisation processes, and segregation of duties confirmed that controls were operating as intended. • Additional assurance was provided through: e. Quarterly VAT reconciliations f. A recent HMRC VAT audit • Remaining matches were lower value and lower risk and were currently being progressed. • Three procurement–payroll matches remained under review; at this stage no evidence of inappropriate procurement activity had been identified. • All remaining reviews were scheduled for completion by 31 March 2026. Assurance Based on work completed to date, officers were satisfied that the Authority's creditor, VAT, and related financial controls were robust and operating effectively. No questions were raised by Members. **Resolved**: The Committee: (1) Noted the progress to date in reviewing the 2024–25 National Fraud Initiative potential matches; and (2) Noted the planned completion of all remaining reviews by 31 March 2026.
14	**Social Value in Procurement and Contracts** The Committee considered a report setting out the proposed approach to embedding social value within procurement and contract management for the West of England Combined Authority (WECA). The report formalised the organisation's Social Value Framework, building on a Social Value Policy recently drafted and approved, and following an informal briefing provided to the Audit Committee held in November 2025. It was explained that the framework applies to procurements and contracts entered into directly by the Combined Authority and was intended to strengthen and systematise the approach to social value going forward. Members welcomed the report and supported the direction of travel, noting that the proposed framework reflected a more positive and ambitious approach to social value which would likely be welcomed by the public. A question was raised regarding accountability and reporting, particularly where delivery of schemes (such as transport projects) is undertaken by constituent local authorities rather than directly by the Combined Authority. Clarification was sought on how social value requirements would be managed in those circumstances. In response, officers clarified that the report related specifically to procurements and contracts

	let by WECA, and that social value obligations would be embedded contractually with suppliers engaged directly by the Combined Authority. Members queried the scale of annual procurement spend and whether the framework could be more ambitious by setting clearer, quantifiable social value objectives (for example in relation to child poverty), rather than relying solely on qualitative scoring. Officers advised that typical annual procurement spend was in the region of £100 million, though funding flows varied year by year. Social value requirements would be specified at the individual contract level, tailored to the subject matter of the procurement, and assessed through Invitations to Tender. Measurement would be based on commitments made by successful bidders. Officers noted that improved contract management arrangements would enhance the Authority's ability to monitor and manage social value outcomes over time. A Member asked when the Committee might expect to review progress and consider learning from implementation of the framework. Officers suggested that, subject to approval, a review no earlier than six months would be appropriate, allowing time for training, embedding the framework internally, and generating meaningful data. Concern was expressed that some elements of the scoring framework might allow suppliers to "buy" higher scores through charitable donations or staff volunteering, rather than embedding social value through their core business practices. Officers acknowledged the risk of gaming but explained that this would be mitigated through careful design of tender questions, appropriate evaluation by informed officers, and the fact that social value would be only one element of the overall evaluation. Further discussion highlighted the need for greater granularity around local spend, particularly in demonstrating where and how benefits were being delivered locally. Officers agreed this was a useful point and undertook to consider further refinement. A further question was raised regarding the monetary value of social value outcomes, noting that the report did not include even a high-level estimate of the value generated in previous or future years. Officers advised that while a minimum 10% weighting for social value was applied in evaluation, this did not directly translate into a monetary figure. The development of a business-wide target or valuation approach was identified as a potential area for further work. Members commented that a clearer monetary articulation of social value could help demonstrate return on investment and improve understanding of the impact being achieved. **Resolved**: The Committee noted the proposed approach to social value within procurement and contract management, as set out in the report.
15	**Constitutional Review: Audit Committee Terms of Reference** Members received a report seeking the Audit Committee's endorsement of proposed amendments to the Audit Committee Terms of Reference as part of Phase One of the Constitution Review, as recommended by the Authority's Constitutional Working Group. The amendments to the Audit Committee Terms of Reference (ToR) were proposed in order to strengthen governance, transparency, accountability, and clarity of the Committee's functions. Members were reminded that a report on the review had been received by the Committee in December 2025, setting out the drivers, principles, and scope. In response to a question officers confirmed that any constitutional changes must be

approved by the Combined Authority Committee. It was proposed that Phase One changes, including the amended Terms of Reference, would be presented to the Annual Meeting in June, with the revised constitution taking effect from that meeting.

Officers confirmed that the proposals both clarified existing responsibilities and expanded the Committee's remit. Notable expansions included:

- Explicit responsibility for assurance over information governance, including compliance with data protection, freedom of information, and environmental information regulations;
- Responsibility for standards matters, including the establishment of a Hearings Subcommittee to deal with Code of Conduct complaints, in the absence of a separate Standards Committee.

Members broadly supported the need for clearer and more comprehensive Terms of Reference.

Independent Chair Proposal

Extensive discussion took place regarding the proposal that the Chair of the Audit Committee be an independent person.

Several members expressed concern that:

- An independent Chair could weaken political accountability.
- Existing elected Chairs had performed the role effectively.
- Neither legislation nor CIPFA guidance mandates an independent Chair.

An alternative proposal for co-chairs (one independent and one elected member) was also discussed.

The Committee **agreed unanimously**:

- To **remove** the requirement that the Chair be an independent person.
- To **remove** the provision that the Combined Authority Committee appoint the Chair.
- To replace these with a provision that **the Audit Committee itself appoints its Chair** at its first meeting of the municipal year.

A subsequent proposal to introduce **co-chairs** (one independent and one elected member) was put to the vote and was **not agreed**.

Detailed Consideration of the Terms of Reference

The Committee considered the draft Terms of Reference section by section and agreed the following key points and amendments:

- **Assurance Role**: Members agreed that "assurance" is an appropriate term to describe the Audit Committee's role, reflecting its core purpose.
- **Standards and Hearings Subcommittee**:
    g. Clarification to be made that the Hearings Subcommittee's decisions are final and not subject to ratification.
    h. Drafting to be reviewed to ensure clarity regarding delegation and reporting arrangements.
- **Independent Members**:
    - Clarification requested that independent members serve for a maximum of **two**

	terms of three years. o Officers confirmed that appointments of independent members must be made by the Combined Authority Committee in accordance with statutory requirements. • **Political Balance**: o Members raised concerns about how political balance, including independent groups, would be calculated, particularly if additional constituent authorities join. o Officers agreed to give further consideration to transparency and clarity in this area. • **Mayor Attendance**: The Committee agreed an amendment allowing the Audit Committee to **request the Mayor to attend for specific agenda items where deemed necessary**, rather than imposing a standing expectation of attendance. • **Subcommittees and Quorum**: Members noted and accepted statutory provisions regarding voting arrangements, including the absence of a casting vote. The Committee requested that the minutes of the Constitutional Working Group, the membership of the group and the comments received from the UA Monitoring Officers during the consultation be made available. The recommendations were proposed by Cllr Simon and seconded by Cllr Blenkinsop. **Resolved:** The Committee: (1) Endorsed the amended Audit Committee Terms of Reference, as amended by the Committee during the meeting, as set out in Appendix 1 to the report. (2) That an extraordinary meeting of the Audit Committee be held in April 2026 to consider further proposals from the working group relating to other provisions for amendments of the constitution beyond the Audit Committee's terms of reference. The meeting adjourned at 1:05pm. Consideration of the remaining items on the agenda took place on 27 April 2026. The minutes of the consideration of the remaining reports are set out below. For information regarding attendance etc please refer to the minutes from 27 April 2026. NB: Subsequent to this meeting the extraordinary meeting of the Committee was cancelled. Please see the minutes of the meeting from 27 April 2026 for a statement in regards to this.
16	**Information Governance Update** The Committee received a report updating Members on: • the ongoing review of the Combined Authority's Information Governance Framework; and • the Authority's performance in responding to requests under the Freedom of Information Act 2000 (FOIA) and the Environmental Information Regulations 2004 (EIR). The Deputy Monitoring Officer introduced the report and advised that this was intended to be the first of a regular series of reports to the Committee following the amendment of the Committee's Terms of Reference to include responsibility for Information Governance.

The Committee was advised that the Information Governance Framework provides the policies, processes and controls for managing information assets, ensuring that information is secure, accurate, available and processed lawfully.

Members noted that the Framework was currently under review to reflect the strategic context of extending regional devolution and achieving the integrated settlement, and that the work was being undertaken alongside the Digital and Data Strategy to ensure alignment and consistency.

The proposed Framework would include:

- governance and accountability arrangements for information governance, including the Committee's oversight role;
- clear ownership and accountability for information, including the establishment of an Information Governance Board, Information Asset Owners and Information Asset Custodians;
- a review of existing statutory and best-practice information governance policies, which would be brought back to the Committee for comment and approval;
- assurance of compliance with legal and regulatory requirements, including the introduction of new procedures for data subject complaints arising from forthcoming legislation;
- information lifecycle management arrangements, including data retention schedules, sharing and disposal;
- risk management and assurance measures, including information risk assessments, Data Protection Impact Assessments and breach management processes; and
- training and awareness, including role-based training and guidance for staff to promote a culture of accountability and compliance.

It was noted that the updated Framework and associated policies would be reported to a future meeting of the Committee.

Members noted the distinction between FOIA and EIR requests and the statutory timescales that apply.

The Committee was advised that, for the year-end position:

- 175 information requests had been received;
- 90% of requests had been responded to within the statutory timescale of 20 working days, meeting the Information Commissioner's Office (ICO) performance expectation;
- one complaint had been escalated to the ICO and was not upheld; and
- three internal reviews had been requested, two of which were completed within timescale.

It was proposed that performance statistics would be reported to the Committee on a regular basis, alongside general updates on information governance.

In response to questions, it was agreed that officers would explore whether benchmarking information on FOI performance across other combined authorities could be obtained and reported to a future meeting, subject to data availability.

Members discussed the frequency of reporting, with differing views expressed on whether reporting should be quarterly or six-monthly, having regard to Committee workload.

	The Committee also discussed: • whether additional context or trend data could be included in future reports to allow Members to assess performance over time; • the statutory nature of the FOI regime and the importance of focusing officer resources on compliance with legal obligations and timeliness of responses; • suggestions around capturing informal feedback from requesters, noting the existing statutory review and appeal mechanisms; and • the potential future use of artificial intelligence to support records management and FOI handling, noting that this was not currently in use but may form part of future digital ambitions. **Resolved**: That the report be noted.
17	**Treasury Management Monitoring Report Q3 2025/26** The Committee received a report providing the treasury management monitoring position for Quarter 3 (to 31 December 2025), presented in accordance with the CIPFA Treasury Management Code of Practice, including the requirement for quarterly reporting of treasury management prudential and treasury indicators. Members noted that: • Total investment balances at the end of Quarter 3 had reduced by £25m from the previous quarter to £485m. • All investments continued to be made in line with the approved Treasury Management Strategy, using approved counterparties and operating within the requirements of the CIPFA Code. • Total investment income achieved to Quarter 3 was £17m, at an average return of approximately 4.6%, with full-year income projected to be in the region of £22m. • The capital value of pooled funds had improved since Quarter 2, with a reported unrealised capital loss of £3.4m at Quarter 3. • All treasury management indicators were operating within approved limits. • A four-year treasury outturn would be reported to a future meeting of the Committee. In response to questions, Members were advised that: • Year-end investment balances were approximately £460m, reflecting significant grant payments made in the final weeks of the financial year, offset by advance receipt of funding relating to subsequent periods. • The year-end unrealised capital position on pooled funds was an estimated loss of around £4m, broadly consistent with in-year trends. • Members were reminded that, at this point in the previous year, unrealised losses were approximately £5m, and that prior to recent geopolitical events, pooled funds had begun to recover in value. • The Authority continued to consider longer-term exit strategies for pooled funds that returned to break-even or surplus positions, while recognising their comparatively strong income returns. The Committee discussed the role of pooled funds within the investment portfolio and noted that: • Pooled funds represented a relatively small proportion of overall investments and had delivered average income returns in excess of 5% over the longer term.

	• Capital losses remained unrealised and would only crystallise if investments were exited. • A statutory accounting override allowed unrealised losses to be held outside the revenue account until 2029. • A Treasury Management reserve had been built up since 2019 to mitigate potential future investment losses. • Treasury advisers (Arling Close) continued to advise that the existing pooled fund investments remained appropriate and had not been materially impacted by recent disruption in US credit markets. Members queried references within the report to counterparties aligning with the UN Principles for Responsible Investment, UN Principles for Responsible Banking, the Net Zero Banking Alliance, and the Net Zero Asset Managers Initiative. It was clarified that: • These principles had been reflected in treasury reporting since 2025. • While not individually listed in the Treasury Management Strategy Statement, they were incorporated within the overarching commitment to responsible investment. • The Net Zero Banking Alliance had ceased operations following widespread withdrawal of participating institutions, which Members noted. Members noted: • The distinction between returns available through pooled funds and those in the local authority lending market. • That treasury activity reflected expected movements in interest rates, with a strategy of placing investments in advance of anticipated base rate reductions. • That forecast base rates were expected to remain at approximately 3.75%, supporting the Authority's strategy of locking in higher returns earlier in the year. **Resolved**: (1) That the Treasury Management Monitoring Report for Quarter 3 2025/26, covering the position as at 31 December 2025, be noted. (2) Committee noted the assurance that all treasury management activities and indicators remained within approved limits and in compliance with the CIPFA Treasury Management Code of Practice.
18	**Review of Reserves Policy** The Committee received a report presenting a refreshed Financial Reserves Policy for scrutiny and noting, together with the proposed approach to ongoing annual reporting and governance. The Head of Finance introduced the report and advised that the existing policy had last been approved in 2021. The refreshed policy provided: • clearer definitions of the Authority's key reserves, including the General Fund Reserve, the Treasury Management Reserve, and the Transport Levy Smoothing Reserve; • clearer benchmark levels, particularly for the General Fund Reserve and the Transport Levy Smoothing Reserve; • a stronger link between reserves, the Medium-Term Financial Strategy (MTFS) and the Authority's corporate risk framework; and

- confirmation that all reserves would be reviewed annually through the year-end outturn process and the MTFS, with the Audit Committee receiving regular updates.

Treasury Management Reserve

In response to questions, Members were advised that:

- the Treasury Management Reserve currently comprised a single £5m risk reserve, established primarily to mitigate potential losses associated with pooled fund investments;
- there were no additional treasury reserves beyond this amount at present; and
- the level of reserve represented an assessed appropriate level of risk cover.

General Fund Reserve

Members noted that:

- the policy benchmarked the General Fund Reserve at 5% of net annual revenue expenditure, reflecting accepted local government practice; and
- this benchmark was consistent with advice from the Authority's external auditors.

Transport Levy Smoothing Reserve

The Committee discussed the Transport Levy Smoothing Reserve and noted that:

- transport expenditure can fluctuate significantly between years due to factors outside the Authority's control, including changes in concessionary fare reimbursement rates;
- although the policy set an aim to hold at least 5% of relevant expenditure in the reserve, this was a target rather than a fixed requirement;
- during the current financial year the reserve was being drawn down to a nil balance due to unexpected financial pressures; and
- future forecasts would need to consider opportunities to rebuild the reserve to ensure sufficient resilience.

Officers undertook to consider whether the wording of the policy could be clarified to better reflect the intended flexible and aspirational nature of this reserve.
Size, Location and Investment of Reserves

In response to questions, it was clarified that:

- the 5% benchmarks referred to 5% of net annual revenue expenditure (for the General Fund) and 5% of Transport Levy expenditure (for the smoothing reserve);
- specific cash values were not included in the policy to avoid the need for annual updates, with actual figures instead reported through the outturn process; and
- reserves formed part of the Authority's overall cash flow and treasury management arrangements, rather than being held separately, and were therefore invested in accordance with the Treasury Management Strategy, generating a return.

Responsible Investment Considerations

Members raised questions about the relationship between reserves, treasury investments and the Authority's climate and corporate risk objectives. It was noted that:

- investment decisions were governed by the Treasury Management Strategy; and

	• officers would consider making an explicit cross-reference within the Reserves Policy to confirm that reserves were managed in accordance with that strategy, for consistency and clarity. **Resolved**: (1) That the revised Financial Reserves Policy at Appendix 1 be noted. (2) That the Committee notes the proposed arrangements for annual reserves reporting and oversight through the Audit Committee and year-end outturn reporting.
19	**United Kingdom Shared Prosperity Fund (UKSPF)** The Committee received a report providing an update on the United Kingdom Shared Prosperity Fund (UKSPF) programme as it approaches its conclusion in September 2026. Members noted that the report had been updated since original publication, with a revised version circulated via a link in the agenda. The Chair welcomed Councillor Tshabalala who arrived to the meeting at this point. Members noted that the report: • provided background to the UKSPF, including its duration and objectives; • set out the scale of funding allocated to the Combined Authority, with contextual comparison to other Mayoral Combined Authorities and places nationally; • explained the government allocation methodology, including its basis in nationally determined needs-based criteria; • summarised the strategy development process undertaken by the Combined Authority and the programmes and projects supported; and • included, at Appendix 1, a summary of all funded projects and the outputs delivered. The Committee noted: • the role of the Combined Authority as lead authority for UKSPF delivery; • the findings and assurance provided by an internal audit review of the programme; and • that no significant issues had been raised requiring escalation to the Committee. In response to questions, it was confirmed that: • funding allocations were determined by the Ministry of Housing, Communities and Local Government (MHCLG) using a nationally applied formula; • the formula took account of factors such as population, deprivation indices and unemployment; and • further detail on the calculation methodology was published by MHCLG. Members discussed the effectiveness of the programme and noted that: • a national evaluation would be undertaken by MHCLG when the programme formally ends; • all funded projects were required to participate in that evaluation process; • the Combined Authority would also be able to draw out lessons learned, including on programme design, outcomes, and the use of non-ringfenced funding; and • some outcomes, particularly around skills and employment support, were inherently more difficult to quantify than capital or place-based outputs and would be assessed through evaluation processes.

	It was noted that some programmes, including *We Work for Everyone*, were also funded through other Combined Authority funding streams and would be subject to further evaluation. The Committee noted that: • in the final year of the programme, UKSPF funding had supported local regeneration activity, the regional business support service, and the *We Work for Everyone* programme; • all three had secured continuation funding through the Combined Authority's Investment Fund, meaning there should be no gap in service delivery when UKSPF concludes; • where UKSPF funding had supported staff within unitary authorities, continuation funding arrangements mitigated risks of staff displacement. Members discussed successor funding arrangements and noted that: • UKSPF had replaced EU structural funding post-Brexit; • there was no confirmed direct replacement fund for UKSPF for combined authorities; • the Government had introduced alternative funding streams, including Pride in Place and town-related funding, which tended to be targeted directly at unitary authorities rather than MCAs; and • unitary authorities were able to submit business cases to the Combined Authority for funding consideration through other investment routes to continue effective initiatives. Members emphasised the importance of: • ensuring the legacy of effective UKSPF projects continued beyond the life of the fund; • joining up successor funding opportunities to avoid geographic or thematic gaps; and • maintaining alignment between local authority priorities and Combined Authority strategic investment decisions. **Resolved**: That the contents of the report and any relevant issues identified, including evaluation, legacy planning and alignment with successor funding streams be noted.
20	**Interim Audit Committee Annual Report 2025/26** The Committee received a report presenting the Interim Audit Committee Annual Report for 2025/26. The purpose of the report was to bring together, in a single document, a summary of the work undertaken by the Audit Committee during the year, in line with current best practice for audit committees. Members noted that: • the report represented the Audit Committee's own assessment of its activities and effectiveness during the year; • the report was an interim version, which would be updated to include matters considered at the meeting of 2 March and the current meeting; • a final version would be presented to a future meeting later in the year (expected in June or July 2026); and • the Chair and Vice-Chair had reviewed the draft interim report in advance of the meeting. A minor typographical error was identified in Section 3.5 – Financial Governance and

	Treasury Management, where an incorrect number had been inserted into the reference to the Treasury Management Strategy for 2026/27. Officers confirmed that this would be corrected. No other amendments were proposed. As this was a formal report from the Audit Committee, a vote was required. The recommendations were proposed by Councillor Simon and seconded by Councillor Hucker. Upn being put to a vote the recommendations were carried with one abstention. **Resolved**: (1) That the Interim Audit Committee Annual Report 2025/26 be approved, subject to the correction of the identified typographical error. (2) That authority be delegated to officers, in consultation with the Chair and Vice-Chair, to update the report to reflect subsequent meetings prior to submission of the final version.
21	**Forward Work Plan** The Committee received a report setting out the proposed Forward Work Plan for future meetings of the Audit Committee. It was advised that the work plan grouped anticipated Committee business across meetings expected to take place in summer, autumn, winter and spring 2027. Members were invited to comment on any proposed additions, deletions or amendments. It was noted that: • the report had originally been prepared for the previous meeting; and • provision had been made for consideration of constitutional amendments in the autumn meeting, reflecting recent discussions. Member Comments Members commented that the proposed work plan appeared particularly full, with the potential for lengthy meetings. The Chair thanked Members for their ongoing commitment to attending Audit Committee meetings. The Chair queried whether there was scope to schedule additional meetings, beyond the current programme, to help distribute business more evenly and reduce congestion on agendas. Officers undertook to review this with the Chair and Vice-Chair and report back as appropriate. Members were advised that: • offline briefings would continue to be arranged between formal meetings; • these briefings would be programmed and spaced throughout the year where possible; and • some briefings occurred at fixed points annually (for example, Treasury Management briefings typically scheduled around November). In response to a query about senior officer attendance, it was confirmed that:

	• there was no formal requirement for the Chief Executive to attend Audit Committee meetings; and • the matter would be raised with the Chief Executive for information. The Committee confirmed that the meeting remained quorate. As approval was required, a vote was taken on the Forward Work Plan: It was resolved with one abstention **Resolved**: (1) That the Forward Work Plan be approved. (2) That officers, in consultation with the Chair and Vice-Chair, review the feasibility of additional meetings to manage the volume of business. (3) That Members be kept informed of the programme of offline briefings as these are scheduled.
22	**Points to Refer to Main Committee** The Chair advised Members that the next meeting of the Main Committee, including consideration of the Annual Business Report, was scheduled to take place on 5 June 2026. Members were invited to raise any matters they wished the Chair to present to the Main Committee on behalf of the Audit Committee. It was confirmed that any such points could be submitted to the Chair by email for consideration in advance of that meeting. No matters were raised at the meeting. **Resolved:** That no points be formally referred to the Main Committee at this stage.
23	**Feedback Section** The Chair invited Members to provide feedback on the conduct of the meeting. One Member commented that the meeting had been constructive and welcomed the clearer structuring following the workload pressures experienced at the previous meeting. However, a note of caution was raised regarding the risk of agenda overloading, particularly given the volume of items identified in the Forward Work Plan. Members were encouraged to remain mindful of capacity when programming future meetings, to ensure there was sufficient flexibility to accommodate additional or emerging business. The Chair noted the comments. The Chair thanked Members and officers for their attendance and contributions and declared the meeting closed.
	Monday, 27 April 2026, 10.30 am, 70 Redcliff Street

West of England Combined Authority
West of England Combined Authority Audit Committee

Monday, 27 April 2026, 10.30 - 11.35 am
70 Redcliff Street

Present:

Cllr David Wilcox, Bristol City Council
Cllr Toby Simon, Bath & North East Somerset Council
Cllr Ben Burton, South Gloucestershire Council
Cllr Jonathan Hucker, Bristol City Council
Cllr John Leach, Bath & North East Somerset Council
Cllr Adrian Rush, South Gloucestershire Council
Cllr Sibusiso Tshabalala, Bristol City Council
Cllr John Bradbury, South Gloucestershire Council (as substitute for Cllr David Addison)
Cllr Nicholas Coombes, Bristol City Council (as substitute for Cllr Stephen Williams)

Officers In Attendance:

Bob Brown, Director of Legal Services
Selonge Russell, Director of Finance, Investments & Commercial (Section 73 Officer)

Apologies:

Cllr David Addison, South Gloucestershire Council
Cllr Emily Clarke, Bristol City Council
Mark Hatcliffe, Independent Member of Audit Committee
Jennifer Whitten, Independent Member of Audit Committee
Cllr Stephen Williams, Bristol City Council

Minutes

1 **Apologies for absence**

Prior to the meeting's commencement the Authority's Monitoring Officer made a statement for the reasons for the cancellation of the originally planned Extraordinary Meeting that had been due to take place later this day.

It was reported that, following discussions with the Ministry of Housing, Communities and Local Government (MHCLG), the cancellation was necessary due to a delay in the granting of Royal Assent to the Devolution Bill.

As a result of this delay, it had not been possible to bring forward a comprehensive review of the Constitution incorporating all amendments arising from the Devolution Bill. Members were advised that presenting amendments on a piecemeal basis would have been unsatisfactory, particularly where changes could affect voting arrangements.

Instead, a consolidated set of constitutional amendments would be brought to the Committee for review, in accordance with the Constitution, prior to being submitted for final approval. This would ensure Members had the opportunity to consider the full package of changes together.

It was confirmed that this approach had been agreed with MHCLG and that the delay would not impact the Authority's application for established status or the integrated settlement.

The Chair welcomed everybody to the meeting and explained that this was a reconvening of the meeting held on 2 March 2026 which had been adjourned at 1pm following consideration of Item 15. This meeting would consider the remaining items from that meeting.

	Those present introduced themselves. The following apologies for absence had been received: • Cllr Stephen Williams, Bristol City Council (Councillor Nicholas Coombes attended as substitute) • Cllr Emily Clark, Bristol City Council • Cllr David Addison, South Gloucestershire Council (Councillor John Bradbury attended as substitute) • Mark Hatcliffe, Independent Member • Jennifer Whitten, Independent Member
2	**Declarations of Interest under the Localism Act 2011** There were no declarations of interest made in relation to any of the agenda items under the Localism Act 2011.
3	**Consideration of Items 16-23 from the adjourned meeting on 2 March 2026** This meeting was reconvened following the adjournment of the Committee on 2 March 2026. The original meeting had ended following consideration of Item 15. This meeting considered the remaining items from that meeting only (Items 16-23). The minutes for these remaining items are included in the minutes for the meeting held on 2 March 2026.
	Monday, 6 July 2026, 10.30 am, 70 Redcliff Street

TERMS OF REFERENCE OF THE WEST OF ENGLAND MAYORAL COMBINED AUTHORITY AUDIT COMMITTEE

1. Purpose

1.1 Legislation requires that the West of England Combined Authority must arrange for the appointment by the authority of an audit committee.

1.2 Audit committees are a key component of an authority's governance framework. Their purpose is to provide an independent and high-level focus on the adequacy of governance, risk and control arrangements. The committee's role in ensuring that there is sufficient assurance over governance risk and control gives greater confidence to all those charged with governance that those arrangements are effective.

1.3 The committee has oversight of both internal and external audit together with the financial and governance reports, helping to ensure that there are adequate arrangements in place for both internal challenge and public accountability.

1.4 The West of England Combined Authority has determined to establish an Audit Committee to discharge the functions set out below.

2. Functions

2.1 The Audit Committee shall have the following statutory powers:

(a) to review and scrutinise the authority's financial affairs;

(b) to review and assess the authority's risk management, internal control and corporate governance arrangements;

(c) to review and assess the economy, efficiency and effectiveness with which resources have been used in discharging the authority's functions; and

(d) to make reports and recommendations to the Combined Authority in relation to reviews conducted under paragraphs (a) (b) and (c);

2.2 The Audit Committee shall undertake the following functions for the Combined Authority:

<u>Accounts and Financial Reporting</u>

Consider and approve the annual statement of accounts.

Approve the Combined Authority's statutory accounting statements and policies.
Consider any issues arising from External Auditor's audit of the accounts.

Ensure there is effective scrutiny of the Combined Authority's treasury management strategy and policies in accordance with CIPFA's Code of Practice.

Governance

Review corporate governance arrangements against the good governance framework.

Consider the findings of the annual review of the effectiveness of the system of internal control and approve the annual governance statement.

Annually review the assurance framework to ensure it adequately addresses risks and priorities including governance arrangements of significant partnerships.

Monitor the Combined Authority's risk and performance management arrangements including reviewing the risk register, progress with mitigating actions and assurances.

Review and monitor the anti-fraud and whistle blowing policies and the complaints process.

Maintain an overview of the Combined Authority's Constitution and consider proposed amendments to keep the Constitution effective and up to date.

Internal Audit

Approve the internal audit plan, within the budget agreed by the Combined Authority, to monitor its delivery and effectiveness and to consider and make recommendations on any significant matters arising from Internal Audit work.

Provide assurances over the effectiveness of internal audit functions and assuring the internal control environments of key partners.

Consider reports and assurances from the s73 Officer in relation to:

(a) Internal Audit performance;

(b) Annual Assurance Opinion on the adequacy and effectiveness of the framework of governance, risk management and control;

(c) Risk management and assurance mapping arrangements;

(d) Progress to implement recommendations including concerns or where managers have accepted risks that the Combined Authority may find unacceptable.

External audit

To agree the West of England Combined Authority's External Audit Plan and to monitor the delivery of that Plan.

Receive and review the external auditor's reports, including the auditor's annual report and value for money conclusions.

Monitor management responses to external audit findings.

Standards

(a) to promote and maintain high standards of conduct by Members;

(b) to assist Members of the Combined Authority to observe the Combined Authority's Code of Conduct for Members;

(c) to advise the Combined Authority on the adoption, revision or replacement of the Combined Authority's Code of Conduct for Members and the Combined Authority's Arrangements for Dealing with Complaints that Combined Authority Members have failed to comply with the Combined Authority's Code of Conduct for Members ("the Authority's Arrangements");

(d) to monitor the operation of the Combined Authority's Code of Conduct for Members and the Combined Authority's Arrangements;

(e) to advise, train or arrange to train Members of the Combined Authority to observe the Combined Authority's Code of Conduct for Members;

(f) to decide, in accordance with the Combined Authority's Arrangements, whether a Member has failed to comply with the Combined Authority's Code of Conduct for Members and, if so, to decide what action (if any) to take in respect of the Combined Authority Member, such actions to include:–

• publication of the findings of the Combined Authority's Hearings Sub-Committee in respect of the Subject Member's conduct;

• reporting the findings of the Combined Authority's Hearings Sub- Committee to the Combined Authority for information;

• recommendation to the Combined Authority that the Subject Member should be censured;

• instructing the Combined Authority's Monitoring Officer to arrange training for the Subject Member; or

• recommendation to the Combined Authority that the Subject Member should be removed from all appointments to which the Subject Member has been appointed or nominated by the Combined Authority; and

(g) to decide appeals against the Monitoring Officer's decision on the grant of dispensations.

Information Management

(a) to determine on behalf of the Combined Authority, information management policies and procedures and monitor their application; and

(b) to report to the Combined Authority on an annual basis, the up-to-date position regarding information management policies, procedures and their application.

General

To review any issue referred to the Audit Committee by the Chief Executive, Directors, s73 Officer, or Monitoring Officer.

An issue may be referred to the Audit Committee by notifying the Monitoring Officer at least seven working days before an Audit Committee meeting. The Chair of the Audit Committee will be informed of the referral following which the Chair, in consultation with the Monitoring Officer, will decide whether the issue falls within the remit of the Audit Committee and additionally decide at which meeting the issue will be discussed.

Report and make recommendations to the Combined Authority in relation to the above.

3. Membership

3.1 The West of England Combined Authority will appoint to the Committee annually following the annual meetings of its Constituent Councils.

3.2 The Combined Authority shall decide the size and membership of the Audit Committee and shall include at least 2 co-opted members who are Independent Persons.

3.3 The term of office of the elected members appointed from the Constituent Councils shall be one year from the date of the Annual Meeting of the Constituent Councils that nominated them to the Audit Committee unless:

(i) they cease to be an elected Member of the Constituent Council that appointed them; or

(ii) they no longer wish to participate in the Audit Committee and communicate this in writing to the Proper Officer of their Constituent Council; or

(iii) the Combined Authority is advised by any of the Constituent Councils that it wishes to change one or more of its appointees to the Audit Committee.

3.4 The Monitoring Officer has delegated authority to accept changes to membership of the Audit Committee notified by Constituent Councils during the municipal year to ensure there is a full complement of members or substitute members at Audit Committee meetings.

3.5 All members of the Audit Committee will have voting rights at the Audit Committee.

Independent Person

3.6 For the purposes of paragraph 3.2 above, an individual is an Independent Person if that person:

(i) is not a member, substitute member, co-opted member or officer of the West of England Combined Authority;

(ii) is not a relative (within the meaning of "relative" contained in Article 2(2) of the Combined Authorities (Overview and Scrutiny Committees, Access to Information and Audit Committees) Order 2017), or close friend, of a person within (i) above; and

(iii) was not at any time during the 5 years ending with their appointment to the Audit Committee a member, substitute member, co-opted member or officer of the West of England Combined Authority.

3.7 In accordance with the Combined Authorities (Overview and Scrutiny Committees, Access to Information and Audit Committees) Order 2017, a person may not be appointed as an Independent Person unless—

(a) the vacancy for the Audit Committee has been advertised in such manner as the combined authority considers is likely to bring it to the attention of the public;

(b) the person has submitted to the authority an application to fill the vacancy; and

(c) the person's appointment has been approved by a majority of the members of the authority.

3.8 The length of tenure for an Independent Person will be set at three years from the date of appointment unless the Independent Person resigns from the Audit Committee or is removed by the West of England Combined Authority Committee. An Independent Person may be reappointed for a maximum of one additional term, provided that they continue to meet the independence criteria set out in the Constitution.

3.9 No Independent Person may serve on the Audit Committee for a total period exceeding six years, whether the terms are consecutive or otherwise.

Political Balance

3.10 In appointing Members to the Committee, the Combined Authority must ensure that the Members of the Committee taken as a whole reflect so far as reasonably practicable the balance of political parties for the time being prevailing among Members of the Constituent Councils when taken together.

3.11 A change in the party-political composition of any of the Constituent Councils, shall require a review of the membership of the Committee in order to determine whether any amendment to its membership is required. If the review requires a change in membership, Constituent Councils will be advised of any changes they will need to make to their appointments at the earliest opportunity.

3.12 The Combined Authority shall appoint at least one Substitute Member from each Constituent Council who may be invited to attend as full members of the Audit Committee when apologies have been received. The Substitute Members shall be from the same political party as the Member being substituted, in order to maintain the political balance.

4. Chair and Vice Chair

4.1 The Audit Committee shall appoint the Chair of the Committee on an annual basis at its first meeting following the annual meeting of the West of England Combined Authority.

4.2 The Audit Committee shall appoint a Vice-Chair of the Committee at its first meeting following the annual meeting of the Combined Authority.

4.3 The Chair of Audit Committee has a standing invitation to attend meetings of the West of England Combined Authority.

5. Sub-Committees

5.1 The Audit Committee may appoint one or more sub-committees and arrange for the discharge of any of its functions by any such sub-committee.

5.2 The Audit Committee shall determine the membership of the sub-committee, subject to meeting the requirements relating to political balance.

5.3 These rules also apply to any sub-committee established.

5.4 The Committee may establish panels and ad-hoc working groups as it considers expedient to assist it.

6. Hearings Sub-Committee

6.1 The Audit Committee shall appoint a Hearings Sub-Committee.

Functions of the Hearings Sub-Committee

6.2 The Hearings Sub-Committee shall exercise the following functions:
(a) to decide, in accordance with the Combined Authority's arrangements, whether a Member has failed to comply with the Combined Authority's Code of Conduct for Members and, if so, to decide what action (if any) to take in respect of the Combined Authority Member, such actions to include:–

• publication of the findings of the Hearings Sub-Committee in respect of the Subject Member's conduct;

• reporting the findings of the Hearings Sub-Committee to the Combined Authority for information;

• recommendation to the Combined Authority that the Subject Member should be censured;

• instructing the Combined Authority's Monitoring Officer to arrange training for the Subject Member; or

• recommendation to the Combined Authority that the Subject Member should be removed from all appointments to which the Subject Member has been appointed or nominated by the Combined Authority;

(b) to decide appeals against the Monitoring Officer's decision on the grant of dispensations.

Membership of the Hearings Sub-Committee

6.3 The membership of the Hearings Sub-Committee shall consist of:

3 members from amongst the Audit Committee being one member from each of the Constituent Councils, or their substitutes; and

1 Independent Person from the Audit Committee.

The Independent Person will not be entitled to vote at meetings of the Hearings Sub- Committee.

Chairing the Hearings Sub-Committee

6.4 The Independent Person is appointed as the Chair of the Hearings Sub-Committee.

Quorum of the Hearings Sub-Committee

6.5 The quorum for the Hearings Sub-Committee is 3 members from amongst the Audit Committee being one member from each of the Constituent Councils (or their substitutes); and

1 Independent Person from the Audit Committee.

Voting at the Hearings Sub-Committee

6.6 Each Member of the Hearings Sub-Committee appointed from the Constituent Councils is to have one vote and no Member is to have a casting vote.

6.7 Any questions that are to be decided by the Hearings Sub-Committee are to be decided by a simple majority of the Constituent Councils' Members present and voting.

6.8 If a vote is tied on any matter, it is deemed not to have been carried.

7. Meeting frequency

7.1 The Audit Committee will schedule regular meetings, of sufficient frequency to effectively discharge their functions.

7.2 The calendar of meetings will be agreed by the Combined Authority at the start of the municipal year.

7.3 An extraordinary meeting of an Audit Committee may be called by:

(a) the Chair of the Committee;

(b) the Head of Paid Service;

(c) The s73 Officer; or

(d) the Monitoring Officer

8. Quorum

8.1 No business is to be transacted at a meeting of the Audit Committee unless at least two thirds of the total number of Members on the Committee are present. This is set out in the Combined Authorities (Overview and Scrutiny Committees, Access to Information and Audit Committees) Order 2017.

8.2 The quorum requirement also applies to any sub committees established (other than the Hearings Sub-Committee).

8.3 The meeting must start no later than 15 minutes after its advertised starting time, if there are not two third of the members of the committee present then no meeting can take place.

8.4 If a meeting is inquorate those members present may still wish to informally discuss any issues which were due to be discussed at the meeting. However, this informal meeting cannot transact any formal business, its discussions cannot be minuted, and any issues which members wish to bring to a decision makers attention would need to be raised again at a formally constituted meeting of that Audit committee.

9. Voting at the Audit Committee

9.1 Any matters that are to be decided by the Committee are to be decided by consensus of the Committee where possible.

9.2 Where a vote is required, any questions that are to be decided by the Committee are to be decided by a simple majority of the Members present and voting. Each Member of the Committee is to have one vote and no Member (including the Chair) is to have a casting vote.

9.3 If a vote is tied on any matter, it is deemed not to have been carried.

9.4 No deadlocked decisions of the Committee shall be referred to the Combined Authority.

9.5 In the sole instance of a tied vote on the matter of the election of a Vice Chair the matter shall be resolved by a coin toss, conducted by an officer of the Combined Authority.

10. Conflicts of Interest

10.1 Members must comply with the Member Code of Conduct within the Constitution.

11. Requests to Audit Committee

11.1 The Mayor or the Combined Authority may resolve to ask the Audit Committee to review any of its functions including:

(a) The authority's financial affairs;

(b) The authority's risk management, internal control and corporate governance arrangements;

(c) The economy, efficiency and effectiveness with which resources have been used in discharging the authority's functions.

12. Attendance at Audit Committee

12.1 The following officers (or their representatives) will normally attend meetings of the committee:

Section 73 Officer / Chief Finance Officer

The Monitoring Officer

Head of Internal Audit

External Audit representative (as required)

13. Annual Report

13.1 The Audit Committee shall report to the Combined Authority annually on the Audit Committee's self-assessment of its performance in relation to the terms of reference and the effectiveness of the Audit Committee, using the CIPFA self-assessment of good practice.

13.2 The Audit Committee shall publish an annual report on the work of the Audit Committee, including a conclusion on the compliance with the CIPFA Position Statement on Audit Committees.

14. Procedure at Meetings

14.1 The West of England Combined Authority's Standing Orders will apply.

REPORT TO: **WEST OF ENGLAND COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **TREASURY MANAGEMENT OUTTURN REPORT 2025/26**

DIRECTOR: **DIRECTOR OF FINANCE, INVESTMENT & COMMERCIAL (S73 OFFICER)**

Key Decision **No**
Purpose of Report The Chartered Institute of Public Finance and Accountancy (CIPFA) Treasury Management in the Public Services: Code of Practice requires the Mayoral Combined Authority to approve a Treasury Management Strategy before the start of each financial year, review performance during the year, and approve an annual report after the end of each financial year. This report provides a review of performance to 31 March 2026.
Recommendation The West of England Mayoral Combined Authority Committee is required to: Note the Treasury Management Outturn Report to 31st March 2026, prepared in accordance with the CIPFA Treasury Code of Practice and the Treasury Management Indicators to 31st March 2026
Reasons for recommendation Statutory Requirement.
Voting arrangements None Required.
Publication Requirements For Publication.

Background

2 The CIPFA Code of Practice requires that the West of England Combined Authority Committee considers the treasury management outturn report after the end of each financial year.

Summary

2.1 The average rate of investment return for 2025/26 was 4.6%, which is above the 2025/26 average SONIA (Sterling Overnight Index Average) benchmark rate of 4.2%.

2.2 The Mayoral Combined Authority's Prudential Indicators for 2025/26 were agreed by the Mayoral Combined Authority at its meeting on 31st January 2025 and performance against the key indicators is shown in **Appendix 1**.

Summary of Returns

2.3 The Mayoral Combined Authority's investment position as at 31st March 2026 is detailed in **Appendix 2**. This shows a fall in Investment balances to £452.61m as at 31st March 2026 from £462.26m at 31st March 2025.

2.4 The Mayoral Combined Authority is the Accountable Body for the West of England Revolving Investment Fund, (RIF). The balance as at 31st March 2026 was £16.5m and this sum, prior to distribution, is being invested in line with the Authority's Treasury Management Strategy, with the interest earmarked to the RIF.

2.5 Gross interest earned on all investments for April 2025 to March 2026 was £22.9m. Interest earned for RIF is ringfenced to those funds, giving rise to an income outturn for the West of England Mayoral Combined Authority activities of £22.3m v £15.1m budget, a favourable variance of £7.2m.

Strategic & Tactical Decisions

2.7 Both the CIPFA code and government guidance require the Authority to invest its funds prudently, and to have regard to the security and liquidity of its treasury investments before seeking the optimum rate of return or yield. The Authority's objective when investing money is to strike an appropriate balance between risk and return, minimising the risk of incurring losses from defaults and the risk of receiving unsuitably low investment income. The approach, given these are public funds is minimising risk first with return as the second consideration.

2.8 As shown in the charts at **Appendix 2**, the investment portfolio has been diversified across UK Banks and Local Authorities, which totalled £374.2m. The Mayoral Combined Authority also uses AAA rated Money Market funds (MMF) to maintain very short-term liquidity with £26.4m invested in Money Market Funds as at 31st March 2026. Bank Rate reduced from 4.50% to 4.25% in May 2025, followed by a further reduction to 4.00% in August 2025 and to 3.75% in December 2025. Short term interest rates have largely followed these levels.

2.9 The Authority retains units invested in the CCLA Property Fund of £9.9m, Investec £10m, Kames £10m, Royal London £10m, M & G £3.5m, Columbia Threadneedle £3.5m and Fundamentum Real Estate Investment Trust £5m. The Authority has

invested a total of £52m across the funds. These investments seek to enhance yields, provide diversification, and are intended to be held for higher returns over a long period of time.

2.10 During the 2025/26 financial year, financial markets were characterised by generally positive risk asset performance for much of the period, but with significant volatility, particularly at the beginning and end of the year. The period was effectively bookended by market disruption associated with US trade and foreign policy, initially following the announcement of US 'Liberation Day' tariffs in April 2025 and then, towards the year end, by the escalation of the US and Israel conflict with Iran in March 2026. Between these two episodes, market sentiment improved as inflation generally eased and expectations for further interest rate cuts increased, supporting both bond and equity markets.

For much of the year, the backdrop for government bonds became more constructive than had been the case in recent years. In the UK in particular, falling inflation and growing expectations of further Bank of England rate cuts supported sentiment, although yields remained volatile as investors also had to contend with fiscal concerns and an uncertain economic outlook. As a result, income returns remained attractive, while capital values were more variable. By the final quarter, however, the rise in oil and other commodity prices caused by the conflict with Iran raised concerns that inflation could move higher again and that further monetary easing could be delayed or even reversed, leading to renewed pressure on bond markets.

Equity markets also recovered well from the tariff-related weakness seen early in the financial year, supported by improving sentiment around inflation and interest rates, resilient corporate earnings and continued enthusiasm for artificial intelligence-related investment. AI remained a dominant theme in global equity markets throughout the year, although there was also concern that valuations in parts of the market had become too stretched and that an AI-driven bubble could unwind. Despite these concerns, equity markets generally made gains through much of the period before the deterioration in sentiment at the year end as geopolitical risks intensified. For strategic pooled investments, this meant capital values were supported for much of the year, while income distributions continued to provide an important component of total return.

UK commercial property experienced a more stable backdrop than in the most difficult period following the sharp rise in yields in 2022 and 2023. Lower interest rate expectations and a firmer tone in markets for much of the year helped support valuations, although capital values were broadly flat overall. Income remained the main driver of returns, with rental income providing a relatively resilient contribution. However, as with other asset classes, the environment became more uncertain towards the end of the period.

Income returns remained above budget at 4.6%. Income received up to 31st March 2026 was £2.3m.

2.11 Because these funds have no defined maturity date, but are available for withdrawal after a notice period, their performance and continued suitability in meeting the

Authority's medium- to long-term investment objectives are regularly reviewed. These investments are made in the knowledge that capital values will move both up and down on months and quarters, but with the confidence that over a three to five-year period, total returns will exceed interest rates. They provide regular revenue income and in 2025-26 provided an average total return of 4.7%. In light of their performance over the medium-long term, investment in these funds has been maintained. The change in the Authority's funds capital values and income earned over the 12-month period is shown in **Appendix 2**.

Future Strategic & Tactical Issues

2.13 The Authority's treasury management advisors have provided an economic and market review for 2025/26 – attached at **Appendix 4**.

2.14 Following the reduction in Bank rates during 2025-26, the Mayoral Combined Authority will expect to receive lower income (3.75% to 4.00% from its cash and short-dated investments, including money market funds in 2026/27).

2.15 **Statutory override**: Further to consultations in April 2023 and December 2024 MHCLG wrote to finance directors in England in February 2025 regarding the statutory override on accounting for gains and losses in pooled investment funds. On the assumption that when published regulations follow this policy announcement, the statutory override will be extended up until the 1st April 2029 for investments already in place before 1st April 2024. The override will not apply to any new investments taken out on or after 1st April 2024. The Mayoral Combined Authority had set up a reserve of £5m to mitigate the impact of the statutory override not being extended. In view of the fact that the override may not be extended past 2029 the Mayoral Combined authority has decided to maintain this reserve

2.16 Responsible investment involves considering environmental, social and governance (ESG) issues when making investment decisions. It complements traditional financial analysis with the aim of generating an acceptable financial return and, where possible, achieving positive outcomes for people and the planet, while avoiding negative ones. The Mayoral Combined Authority will continue to use the Arlingclose ESG and Responsible Investment Service, designed to guide and advise authorities on incorporating and monitoring ESG in its treasury investment decisions. Whilst the Mayoral Combined Authority is a responsible investor and considers ESG issues when investing, it complies with the primary principles of the security and liquidity of its invested treasury monies, as required by the CIPFA Treasury Management Code

2.17 All the Mayoral Combined Authority's current investments with Banks, Money Market Funds and Pooled Funds are with signatories of the United Nations Principles of Responsible Investment (PRI), the world's leading proponent of responsible investment and where applicable, the Net Zero Asset Managers Initiative.

Summary Of Borrowings

3 The Mayoral Combined Authority does not currently have any underlying need to borrow long term to fund capital expenditure. As part of it's approach to liquidity management, the Mayoral Combined Authority may borrow short term loans to cover any unplanned cash flow shortages as they arrive. As at 31st March 2026 the Mayoral Combined Authority held no loans.

Other Options Considered

4 None.

Risk Management/Assessment

5 The Mayoral Combined Authority's lending & borrowing list is regularly reviewed, and credit ratings are monitored throughout the year. All lending/borrowing transactions are within approved limits, with approved institutions. Investment and Borrowing advice is provided by our Treasury Management consultants Arlingclose.

The CIPFA Treasury Management in the Public Services: Code of Practice requires the Mayoral Combined Authority nominate a committee to be responsible for ensuring effective scrutiny of the Treasury Management Strategy and policies. The West of England Mayoral Combined Authority Audit Committee carries out this role.

Diversity, Equality and Inclusion Implications

6 The Treasury Management Outturn report primarily focuses on financial performance and Prudential indicators. While it does not have direct EDI implications, it is important to consider inclusive financial decision making and the potential indirect impacts of treasury management strategies on diverse communities and stakeholders.

Climate Change Implications

7 It is critical that our Treasury Management is conducted in a way that reflects the priorities of the Mayoral Combined Authority. With respect to the Climate and Nature crisis, our investments should be done in a way that supports our strategic goals. Detail provided in section 2.16 of this report underlines the organisations commitment in this area.

Finance Implications

8 A breakdown of the revenue budget that was set for interest income and the year-end outturn position is included in **Appendix 5**. The budget for 2025-26 investment income was £15,094m and following the Mayoral Combined Authority's successful treasury strategy and investment decisions, have achieved an outturn position of

£22.260m which is a positive variance of £7.166m. This surplus can be utilised in the support of the Mayoral Combined Authority's priorities on delivering for the region.

Legal Implications:

8 There are no legal implications arising directly from this report.

Human Resources Implications

9 There are no HR implications.

Commercial and Procurement

10 There are no Commercial implications to note in this report

Health Improvement and Health Inequalities

11. There are no Health Improvement or Health Inequalities implications in the adoption of this report

Appendices & Background papers:

Appendix 1 – Performance Against Prudential Indicators
Appendix 2 – The Mayoral Combined Authority's Investment Position at 31 March 2026
Appendix 3 – The Mayoral Combined Authority's External Borrowing Position at 31 March 2026
Appendix 4 – Arlingclose's Economic & Market Review for 2025/26
Appendix 5 – Interest & Capital Financing Budget Monitoring 2025/26
Appendix 6 – Summary Guide to Credit Ratings

Background Papers: Treasury Management Strategy Statement & Investment Strategy 2025/26 – As reported to West of England Mayoral Combined Authority Committee on 31st January 2025.

West of England Mayoral Combined Authority Contact:

Report Author: Steve Finnegan
Contact Details: Steve.Finnegan@westofengland-ca.gov.uk

APPENDIX 1

Performance against Treasury Management Indicators (as approved in the Treasury Management Strategy Statement)

The Mayoral Combined Authority measures and manages its exposure to treasury management risks using the following indicators.

1. Security

The Mayoral Combined Authority has adopted a voluntary measure of its exposure to credit risk by monitoring the value-weighted average credit rating of its investment portfolio. This is calculated by applying a score to each investment (AAA=1, AA+=2, etc.) and taking the arithmetic average, weighted by the size of each investment.

Credit risk indicator	Target	Actual
Minimum portfolio average credit rating	A-	A+

2. Liquidity

The Mayoral Combined Authority has adopted a voluntary measure of its exposure to liquidity risk by monitoring the amount it can borrow each quarter without giving prior notice.

Liquidity risk indicator	Target	Actual
Total sum borrowed in past 3 months without prior notice	£40m	£0m

3. Interest Rate Exposure

This indicator is set to control the Mayoral Combined Authority's exposure to interest rate risk. The upper limits on the one-year revenue impact of a 1% rise or fall in interest rates will be:

Interest rate risk indicator	Limit	Actual
Upper limit on one-year revenue impact of a 1% fall in interest rates	£2m	£1.97m

4. Principal sums invested for periods longer than a year:

The purpose of this indicator is to control the Mayoral Combined Authority's exposure to the risk of incurring losses by seeking early repayment of its investments. The limits on the long-term principal sum invested to final maturities beyond the period end will be:

Price risk indicator	2025/26 Target	2025/26 Actual	2026/27 Target	2026/27 Actual	2027/28 Target	2027/28 Actual	+3 Years Target	+3 Years Actual
Limit on principal invested beyond 364 days as % of total cash balance	50%	14%	30%	14%	20%	11%	20%	11%

Long term investments 3 years plus include strategic pooled funds and real estate investment trusts with no fixed maturity.

APPENDIX 2

The Mayoral Combined Authority's Investment position as at 31st March 2026

Table: 1 Investments by Type

	31-Mar-25 Actual Portfolio £m	Net Movement £m	31-Mar-26 Actual Portfolio £m	31-Mar-26 Average Rate %
Treasury investments by type:				
Banks & building societies (unsecured)	10.0	-5.8	4.2	2.0
Government (incl. local authorities)	351.0	9.0	360.0	4.7
Registered Providers	10.0	0	10.0	4.8
Money Market Funds	39.3	-12.9	26.4	4.0
Social Housing Real Estate Investment Trust	5.00	0	5.00	3.2
Other pooled funds:				
CCLA Property Fund	10.0	0	10.0	4.3
Investec	10.0	0	10.0	4.2
Kames	10.0	0	10.0	5.3
Threadneedle	3.5	0	3.5	5.4
M & G	3.5	0	3.5	5.9
Royal London Enhanced Cash Plus Fund	10.0	0	10.0	4.1
Total treasury investments	462.3	-9.7	452.6	4.6

Table: 2 Term of investments

	Balance at 31st March 2026 £000s
Notice (instant access funds)	**30,650**
Up to 1 month	**50,000**
1 month to 3 months	**105,000**
4 to 6 months	**75,000**
6 to 12 months	**120,000**
More than 12 months	**20,000**
Pooled Funds *	**51,957**
Total	**452,607**

The Mayoral Combined Authority had a total average net positive balance of £494m during the period April 2025 to March 2026

* Notice period 4 days except property fund which is 90 days

Table 3: Pooled Funds as at 31/03/2026

Fund Name	Asset Class	Purchase Value £000s	Fair Value as at 31/03/26 £000s	Capital Growth/(Loss) £000s	Income Return In Year
CCLA Property Fund	Property	9,956	8,856	-1,100	4.30%
Ninety One Diversified Income Fund (Investec)	Multi Asset	10,000	9,018	-982	4.15%
Aegon Diversified Monthly Income Fund (Kames)	Multi Asset	10,000	9,576	-424	5.29%
Threadneedle Strategic Bond Fund	Bond	3,500	3,121	-379	5.37%
M&G UK Income Distribution Fund	Equity - UK	3,500	4,123	623	5.89%
Royal London Short Term Enhanced Cash Fund	Cash Plus	10,000	10,207	207	4.05%
Fundamentum Social Housing REIT	Property	5,000	3,048	-1,952	3.21%
		51,956	47,949	-4,007	4.61%

Chart 1 : West of England Mayoral Combined Authority Investments by Funding Source (£452.607m) at 31st March 2026

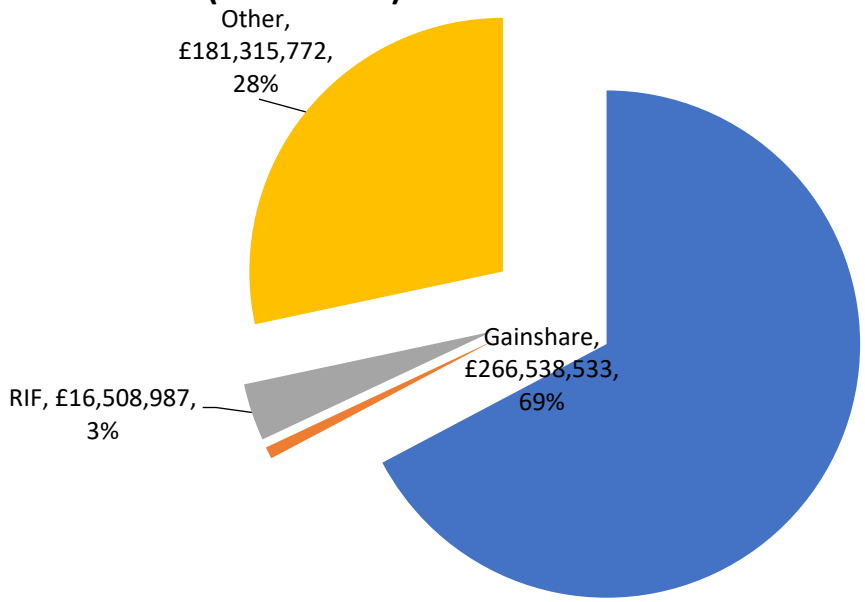
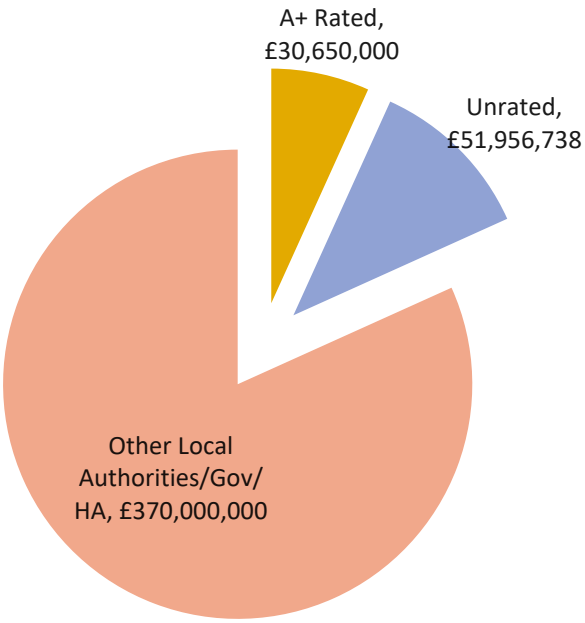
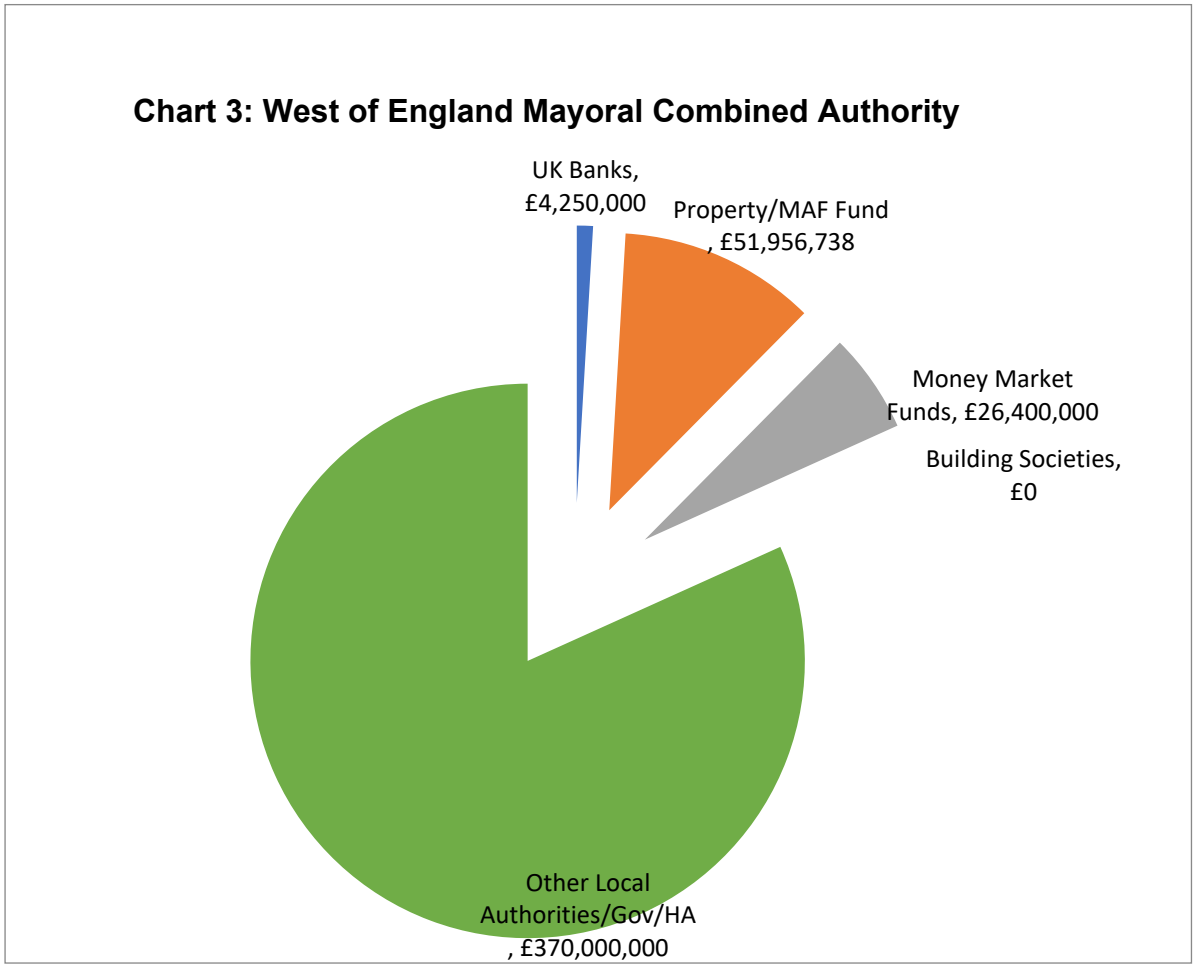


Chart 2: West of England Mayoral Combined Authority Investments per lowest equivalent Long Term credit rating (£452.607m) at 31st March 2026



Unrated investments are the Pooled Funds



APPENDIX 4

Economic and Market Review for 2025/26

Economic background: The financial year was largely dominated by two periods of significant uncertainty and volatility. The first being the US trade tariff 'Liberation Day' in April 2025 and the second was the US/Israel war with Iran at the end of February 2026.

After the initial fallout from US trade tariffs, the following months saw some improvements as equity markets made gains and bond yields eased modestly. However, in the UK this trend in bond yields reversed somewhat as an uncertain economic outlook together with concerns around the government's fiscal position and autumn Budget saw 'term premia' rise as investors demanded a higher return for holding gilts.

The Budget itself was more muted than had been expected. Despite a weak economic outlook, this helped UK markets perform better with gilt yields trending downwards, inflation easing, and expectations for cuts in Bank of England (BoE) Bank Rate increasing.

The end of February 2026 saw the start of the war between US/Israel and Iran. The conflict caused oil and other commodity prices to rise sharply as the shipping lanes in the region became effectively closed, restricting global oil supply. At the end of the period, the economic outlook remained highly uncertain in terms of its impact on inflation as well as countries' fiscal and monetary policy conditions around the globe.

Prior to the start of the war, headline UK consumer price inflation (CPI) inflation had generally been trending downwards, albeit the 3% in February 2026 was unchanged from January. Core CPI also stayed put at 3.1%. Inflation was expected to fall further over the coming months to the BoE's 2% target, but the war changed this. Inflation is now expected to rise again, but how quickly and by how much depends on the duration of the war and how long commodity prices are elevated.

The Office for National Statistics (ONS) reported the UK economy expanded by 0.1% in Q4 2025. This followed previous modest gains of 0.2% in Q2 and by 0.1% in Q3. Of the subsequent monthly figures, the ONS estimated that GDP showed no growth in January 2026. As this is from before the war started the impact on growth will not be seen formally in the data for a couple more months.

While the most recent labour market figures were slightly better than expected, the general trend has been one of persistent weakness. In the three months to January 2026, the unemployment rate rose to 5.2% (from 5.1%), while the employment rate held at 75.1%. Despite inflation being expected to rise in the coming months, labour market conditions remain loose and so any upward pressure on wages from general inflation is likely to be tempered by the weaker labour market environment.

After cutting Bank Rate to 3.75% in December 2025, the BoE's Monetary Policy Committee (MPC) voted 5-4 to hold rates in February 2026 and then unanimously to do so again in March. Until the war started, financial markets were expecting Bank Rate to be cut to 3.5% at the

March meeting. However, the conflict in the Middle East quickly changed this. The MPC noted the risks to both inflation and growth and indicated they could move rates either up or down depending on the conditions. Financial markets quickly responded to this by pricing in rate hikes.

Following the March MPC meeting, Arlingclose, the authority's treasury adviser, revised its central interest rate view and now predicts Bank Rate will be held at 3.75%. However, the conflict makes the outlook for rates highly uncertain. In the short-term the risks are to the upside with the chance of higher Bank Rate should the MPC decide it wishes to quickly quash potential second-round effects from higher inflation. Further out, if Bank Rate is hiked quickly, the pace and magnitude of subsequent cuts could take it far lower than was previously anticipated as policymakers add significant stimulus to a much weaker economic growth outlook.

The US Federal Reserve had been cutting rates over the period, reducing Fed Funds Rate target range by 0.25% at its December meeting to 3.50%-3.75%. At the three subsequent meetings, the rate was held at the same range. Policymakers noted that while inflation was elevated, economic activity had been expanding but the war with Iran made the path of monetary policy highly uncertain. Despite this, the Fed still suggested that further rate cuts were likely in 2026 and 2027.

The European Central Bank (ECB) has kept its key interest rates on hold since June 2025, maintaining the deposit rate at 2.0% and main refinancing rate at 2.15%. At its March 2026 meeting, the ECB noted the war in the Middle East had significantly increased uncertainty, creating upside risks for inflation and downside risks for growth, leading it to revise up its forecasts accordingly.

Financial markets: After declining sharply early in the financial year following the announcement of US tariffs, sentiment in financial markets had improved but equity and bond markets remained volatile throughout. However, the latter part of the period was dominated by the US/Israel war with Iran, which saw equity markets fall sharply, and bond yields rise as concerns over the inflationary impact from sharply higher oil and other commodity prices outweighed the flight-to-quality into government bonds often seen in conflicts.

Equity markets had been registering gains after the declines during the April sell-off, but the war reversed this and markets saw another sharp drawdown. Both the FTSE 100 and 250 fell by around 10% over the month from the start of the conflict to the end of the financial year.

The period saw significant volatility in gilt yields. The 10-year UK benchmark gilt yield started the year at 4.65% and ended at 4.86%. However, over this time the 10-year yield hit a low of 4.23% and a high of 4.95% in the space of a month. It was a similar picture for the 20-year gilt which started at 5.18% and ended at 5.45% with a low and high of 4.92% and 5.55% respectively. The Sterling Overnight Rate (SONIA) averaged 4.01% over the 12 months to 31st March.

Credit review: Arlingclose maintained its recommended maximum unsecured duration limit on most of the banks on its counterparty list at 6 months. The other banks remain on 100 days.

Earlier in the period, Fitch upgraded NatWest Group and related entities to AA- from A+ and placed Clydesdale Bank's long-term A- rating on Rating Watch Positive. Fitch later upgraded Clydesdale Bank and HSBC, but downgraded Lancashire CC and Close Brothers.

Moody's affirmed OP Corporate's rating at Aa3 In May 2025. Later in the period, Moody's upgraded Transport for London, Allied Irish Banks, Bank of Ireland, Toronto-Dominion Bank, DZ Bank, Nordea and HSBC and downgraded Close Brothers. In the last quarter of 2025 S&P upgraded Clydesdale Bank, Allied Irish Banks and Bank of Ireland, and assigned Warrington Council a BBB+ rating.

After spiking in April 2025 following the US trade tariff announcements, UK credit default swap (CDS) prices had trended down before picking up modestly in October and November. After declining again in December and into the new calendar year, they rose sharply once again when the war in the Middle East started. They were still elevated at the end of the period, but prices for all banks on Arlingclose's counterparty list remained within limits deemed satisfactory for maintaining credit advice at current durations.

Overall, European banks' CDS prices have generally been flatter and lower compared to the UK, as have Singaporean and Australian lenders while some Canadian bank CDS prices have remained elevated since the beginning of the period in part due to ongoing trade tensions with the US.

Financial market volatility is expected to remain, and CDS levels will be monitored for signs of ongoing credit stress. As ever, the institutions and durations on the Authority's counterparty list recommended by Arlingclose remain under constant review.

APPENDIX 5

Interest & Capital Financing Costs – Outturn Position for 2025/26

April 2025 to March 2026	Year End Position Budgeted Income £'000	Outturn Income £'000	Outturn over or under spend £'000	Adv/Fav
Interest & Capital Financing				
- Debit Costs (Borrowing)	0	0	0	-
- Interest on Balances				
West of England Mayoral Combined Authority	15,094	22,260	7,166	Fav
Revolving Infrastructure Fund (RIF)	580	671	91	Fav
Total - Interest & Capital Financing	**15,674**	**22,931**	**7,257**	**Fav**

APPENDIX 6

Summary Guide to Credit Ratings

Rating	Details
AAA	Highest credit quality – lowest expectation of default, which is unlikely to be adversely affected by foreseeable events.
AA	Very high credit quality - expectation of very low default risk, which is not likely to be significantly vulnerable to foreseeable events.
A	High credit quality - expectations of low default risk which may be more vulnerable to adverse business or economic conditions than is the case for higher ratings.
BBB	Good credit quality - expectations of default risk are currently low but adverse business or economic conditions are more likely to impair this capacity.
BB	Speculative - indicates an elevated vulnerability to default risk, particularly in the event of adverse changes in business or economic conditions over time.
B	Highly speculative - indicates that material default risk is present, but a limited margin of safety remains. Capacity for continued payment is vulnerable to deterioration in the business and economic environment.
CCC	Substantial credit risk - default is a real possibility.
CC	Very high levels of credit risk - default of some kind appears probable.
C	Exceptionally high levels of credit risk - default is imminent or inevitable.
RD	Restricted default - indicates an issuer that has experienced payment default on a bond, loan or other material financial obligation but which has not entered into bankruptcy filings, administration, receivership, liquidation or other formal winding-up procedure, and which has not otherwise ceased operating.
D	Default – indicates an issuer that has entered into bankruptcy filings, administration, receivership, liquidation or other formal winding-up procedure, or which has otherwise ceased business.

WEST OF ENGLAND MAYORAL COMBINED AUTHORITY

REPORT TO: **WEST OF ENGLAND COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **INTERNAL AUDIT ANNUAL REPORT 2025/26**

RESPONSIBLE OFFICER: **HEAD OF AUDIT & ASSURANCE (INTERNAL AUDITOR)**

Key Decision

No

Purpose of Report

1. The work of the Internal Audit Service is to provide independent assurance to the West of England Combined Authority's (WECA) senior officers and members that governance, risk management and controls are sufficient to ensure delivery of the objectives. As part of meeting statutory and professional requirements, the Head of Audit & Assurance is also required to provide an opinion on WECA's control environment.

2. This is the closing Internal Audit Report to the Audit Committee for the financial year 2025/26. Included is a summary of audit performance and key issues as well as the formal opinion on the internal control framework.

Recommendation

The Audit Committee is asked to note the Internal Audit Annual Report for 2025/26 and the opinion on the Internal Control environment.

Reasons for recommendation

All public sector bodies must have effective governance and accountability frameworks. The Audit Committee is asked to note the Internal Audit Report 2025/26 and the formal opinion on internal control framework.

Voting arrangements
The voting arrangements of the West of England Combined Authority Audit Committee as set out at page A51 para. A20 of Part A of the West of England Combined Authority Constitution (as amended 17.3.2023) are not applicable as the West of England Combined Authority Audit Committee is asked only to review and comment on the report.
Publication Requirements
Report to be discussed in a public session.

Background

1. The Audit Committee approved the Annual Internal Audit Plan for the financial year 2025/26 at its meeting on 3rd March 2025.

2. The Plan forms the principal work of the Internal Audit Service and is a significant source of assurance for the effectiveness of WECA's internal control environment.

3. In determining the scope, depth, and breadth of the Internal Audit Plan, the Audit Committee accepts limitations in coverage and the inherent risks associated with this. As resources and organisational risks may change dynamically over a year, audit coverage can be affected, and this may impact on the level of assurance achieved through delivering the audit plan.

Completion of the 2025/26 Internal Audit Plan

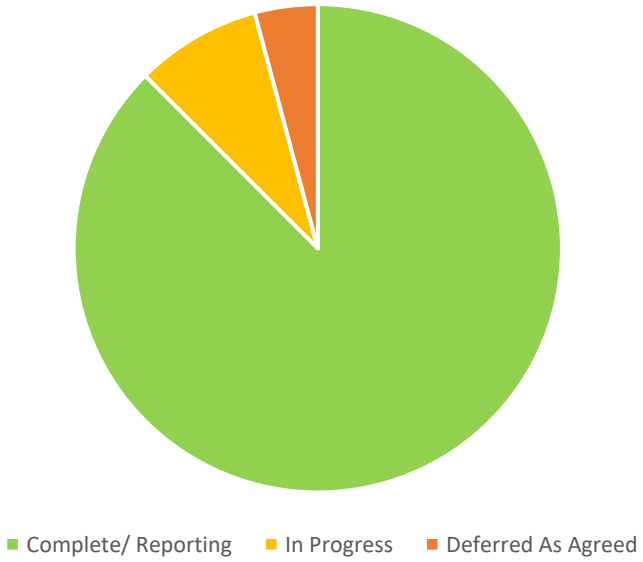
4. The summary position for the financial year 2025/26 was as follows:

   - Work on the 2025/26 plan is almost complete with 21 of 24 items recorded as finalised/ reporting.
   - A small number of audits are currently at draft report stage. In these cases, the Internal Audit work has been completed, and a draft report has been issued to management for progression to a final report. Assurance opinions for these audits will be provided to the Audit Committee following issuance of the final reports.
   - Three items were deferred for completion alongside the following years audit plan, as requested by WECA S73 Officer. One of these is now underway, and two are due to commence for completion in Q2.
   - Requests for unplanned work were received in year, with one particular piece of work relating to the Organisational Improvement Programme, requiring a significant and ongoing amount of Internal Audit resource.

- Recommendations due to be implemented within 2025/26 were followed up in full by the Internal Audit service. All recommendations have been fully implemented, except for three from a single audit, which have been given a revised follow up date.
- In addition to the formal reviews carried out as part of the 2025/26 planned programme of work, a large amount of grant expenditure review and certification work was also undertaken. The total value of grants subject to Internal Audit review and sign-off in 2025/26 was circa £31.8 million.
- Overall, the state of the Internal Control framework is satisfactory, based on our audit opinions.

5. The performance dashboard in Figure 1 shows delivery of the Audit Plan as approved by this Committee in March 2025.

Fig 1. 2025/26 Internal Audit Plan Delivery



6. The 'Audit Plan End of Year Position Statement 2025/26' below provides an up-to-date position of the planned internal audit reviews as at June 2026.

Core Audit Work

Item	Audit Title	Assurance Opinion
1	Performance Management	Level 4 - Substantial
2	Payroll Variations	Level 4 - Substantial
3	Organisational Improvement Programme Governance	Level 3 - Reasonable

4	Core Systems & Process - Purchase Cards	Level 3 - Reasonable
5	CRSTS Delivery and Governance	Level 3 - Reasonable
6	IT - Patch Management	Level 3 - Reasonable
7	Core Systems & Processes - Travel and Subsistence	Level 3 - Reasonable
8	WESTlocal Project Governance	Level 3 - Reasonable
9	WEST Rapid Transport Embedded Project Approach	Level 3 - Reasonable
10	Counter Fraud & Corruption (Conflicts of Interest/ Dual Roles and Ethical Barriers)	Draft Report
11	Transparency Reporting (Unplanned)	Preparing Draft Report
12	Financial Management - Net Zero Hub	Draft Report
13	Business Continuity Management Planning	WECA deferred to Q1/2 2026/27 - Fieldwork in Progress
14	Transport Levy Governance	WECA deferred to Q2 2026/27 - Scoping in Progress
15	MetroWest 1 Project Management Delivery	WECA deferred to Q2 2026/27
16	Quarterly Observer Attendance at OIP Board	Complete
17	Governance - Annual Governance Statement	Complete
18	Governance - Audit Committee, Advice and Guidance	Complete
19	Follow ups of Previous Year Recommendations	Complete

Grant Certifications

Item	Grant Name	Funding Body	Value Certified	Certification Status
20	Growth Hub 2024/25	Department for Business & Trade	£380,000	Pass
21	Social Housing Decarbonisation Fund 2.1 Consortium 1	Department for Energy Security & Net Zero	£15,280,053	Pass
22	Social Housing Decarbonisation Fund 2.1 Consortium 2		£14,944,700	Pass
23	Local Industrial Decarbonisation Fund	Innovate UK	£66,003	Pass
24	Bus Service Operators Grant	Department for Transport	£1,147,621	Pass

7. For all grants reviewed, no significant issues were identified, and we were able to provide independent assurance that WECA had complied with grant expenditure terms and conditions – e.g. eligibility of spend.

Unplanned Audits/ Reviews

8. Two pieces of unplanned work were carried out in 2025/26. Firstly, a review relating to the Governance of the Organisational Improvement Programme (OIP), and a review of WECA's financial Transparency Reporting.

9. The OIP Governance review received an assurance opinion of Reasonable Assurance.

10. A follow up review of recommendations raised in the OIP Governance was completed in year during 2025/26 and all recommendations were found to have been implemented.

11. Internal Audit retains an observer status at meetings of the OIP Board and attend on a quarterly basis to provide ongoing embedded assurance and consultancy advice as required.

12. A further Internal Audit review of delivery against OIP objectives is scheduled for completion in 2026/27.

13. Internal Audit work on the Transparency Reporting review is largely complete, and a draft report is being prepared to provide to management for consideration and progression to a final report. Any recommendations raised in the Transparency Reporting review will be followed up during 2026/27, and the outcomes will be reported to the Audit Committee.

Implementation of Recommendations

14. During 2025/26, follow up work was carried out on the previous year's audit reports to determine whether agreed audit recommendations had been implemented by the agreed due date.

15. The follow up process requires management to provide their feedback on the extent to which recommendations have been implemented. The auditor, carrying out the follow up work, will seek evidence to support the implementation of a recommendation when it is addressing a high priority recommendation.

16. The performance dashboard below records 65 recommendations from a total of 68 having been implemented in full (96%). The remaining three recommendations (4%) are noted as in progress and scheduled for further follow up within 2026/27.

Audit Title	Assurance Opinion	Final Report Recommendations			Implementation Status
		High	Med	Low	
Stepping Up	Briefing Paper	0	5	0	Complete
Capital Programme & the Role of the Portfolio Review Board	Briefing Paper	0	4	0	Complete
Budgetary Control & Forecasting	Substantial	0	4	0	Complete
Grant Management Assurance	Substantial	0	3	1	Complete
UK Shared Prosperity Fund	Substantial	0	3	0	Complete
Portfolio Green Recovery Fund Governance	Substantial	0	1	2	Complete
Procurement & Commercial Governance	Substantial	0	4	0	Complete
Mandatory Staff Training	Reasonable	1	2	0	Complete
Core Systems & Processes - Payroll	Reasonable	0	3	0	Complete
Counter Fraud & Corruption - Counter Fraud Arrangements	Reasonable	1	6	1	Complete
Cyber Security	Reasonable	0	3	1	Complete
MaaS - Application	Reasonable	0	3	2	Complete
Starters, Leavers & Post Changes	Limited	1	2	0	Complete
WestLink DRT (Initiation)	Limited	0	5	3	Complete
MaaS - Project Management	Limited	4	2	1	Partially Complete

17. The 2024/25 audit of Mobility as a Service Project Management was followed up in January 2026, with four of seven recommendations confirmed as implemented.

    One high priority and two medium priority recommendations originally followed up were noted as partially implemented and in progress.

18. The progress to date on the outstanding items is noted, and a revised date for follow up has been agreed and scheduled for August 2026. An update will be provided to the Audit Committee in due course.

19. The three outstanding recommendations due for a secondary follow up are in relation to:

- H1 - Innovation Project Methodology
- M1 - Project Documentation
- M2 - Risk Analysis Reporting

20. It is pleasing to report that officers and management across WECA continue to display a proactive approach to implementing recommendations raised in Internal Audit reports, and positively engage in follow up reviews.

    This reflects the prior two years where 100% implementation was noted, further strengthening the internal control framework.

Fraud - National Picture and Strategy

21. The Chartered Institute of Public Finance and Accountancy (CIPFA) has a key role in co-ordinating the fight against fraud and corruption across the public sector.

    In 2020 CIPFA, the Local Government Association and key partners published the Counter Fraud and Corruption Strategy for local government 'Fighting Fraud and Corruption Locally 2020'. This sets out the strategic approach local authorities should take and the main areas of focus (pillars) in response to fraud and corruption risks, as illustrated below:

Pillar	Description
Govern	Having robust arrangements and executive support to ensure anti-fraud, bribery & corruption measures are embedded throughout the organisation.
Acknowledge	Accessing and understanding fraud risks. Committing the right support and tackling fraud and corruption. Demonstrating that it has a robust anti-fraud response. Communicating the risks to those charged with governance.
Prevent	Making the best use of information and technology. Enhancing fraud controls and processes. Developing a more effective anti-fraud culture. Communicating its activity and successes.
Pursue	Prioritising fraud recovery and use of civil sanctions. Developing capability and capacity to punish offenders. Collaborating across geographical and sectoral boundaries. Learning lessons and closing the gaps.
Protect	Against serious and organised crime. Protecting individuals from becoming victims of crime and protecting against the harm that fraud can do to an authority.

22. The West of England Combined Authority has a Counter-Fraud, Bribery, and Corruption Strategy which acknowledges and includes these pillars in its objectives to ensure that the approach to fraud continues to be in line with best practice.

23. Discussion of any fraud related items is included within the quarterly meetings held between Internal Audit, Head of Finance and the S73 Officer.

24. Overarching Counter Fraud arrangements for WECA were most recently reviewed by Internal Audit during 2024/25 as part of the Annual Internal Audit Plan, and a number of strengths were identified. An overall audit opinion of Reasonable Assurance was provided for this piece of work.

25. A follow up review of recommendations raised in the audit report was carried out in October 2025 with all actions found to have been implemented.

Fraud Prevention Networks

26. One West continues to provide management with advice and guidance on fraud and corruption threats.

27. Information regarding known and emerging fraud risks are obtained from a number of organisations and professional bodies. One of these is the National Anti-Fraud Network (NAFN). NAFN are one of the largest shared services in the country, managed by, and for the benefit of its members. Currently, almost 90% of local authorities are members.

Internal Audit Counter Fraud Targeted Work and Investigations

28. A specific targeted Counter Fraud review is included in each year's Annual Internal Audit Plan.

29. The Counter Fraud audit in 2025/26 reviewed Conflicts of Interest/ Dual Roles and Ethical Barriers. The work on this review is complete, and the draft report is with management for progression to final reporting.

30. The 2026/27 Annual Internal Audit Plan includes a targeted Counter Fraud review with a focus on Business Support and Employability Grants.

31. The risk of fraud is considered during all internal audit planning activity and members can see evidence of this throughout this annual report. This includes right from initially building the Annual Internal Audit Plan (i.e. the audit reviews planned to be carried out during the financial year) through to considering the

objectives, fraud risks, controls and focus of each review to be carried out, i.e. each individual audit work programme.

32. During 2025/26, Internal Audit have not been involved in any investigations or been party to any whistleblowing submissions.

Fraud - Data Analytics

33. Data analysis and data matching are important tools for identifying fraud and error in local government. The 'Fighting Fraud and Corruption Locally Strategy for the 2020s' recommends that local authorities should share data across its own departments and engage in the use of data analytics as a key response to fraud.

34. Data Analytics at WECA incorporates participation in the National Fraud Initiative and data matching undertaken as part of audit testing for individual audit reviews using Excel and advanced internal audit data analytics software/ A.I.

35. An update on the National Fraud Initiative was most recently provided by the WECA Financial Accountant at the March 2026 meeting of the Audit Committee.

36. Examples of audit reviews reported in 2025/26 that have included use of Data Analytics include Core Systems & Processes (both Travel & Subsistence and Purchase Cards), Payroll Variations, Transparency Reporting, and Financial Management - Net Zero Hubs.

Fraud - Staff Training and Awareness

37. Fraud information and awareness is promoted and communicated to staff throughout the year.

38. 'International Fraud Awareness Week' takes place in November 2026 and a special article authored by Internal Audit will be circulated to all WECA staff.

Assurance Level Provided

39. The Audit Plan End of Year Position Statement 2025/26 provides details of all the work undertaken during the year and the assurance rating assigned where appropriate.

Formal Opinion on the Internal Control Framework

40. Statement of the Head of Audit & Assurance

As part of our statutory requirements, the Head of Audit & Assurance, in fulfilling the role of the Chief Internal Auditor/ Chief Audit Executive for WECA, is required to give an opinion on the internal control framework.

In forming this view, I have considered the work of the Internal Audit function as well as other assurances I can rely on and consideration of the wider governance framework and performance of WECA.

As highlighted during previous reports to the Audit Committee within 2025/26, we are reporting the state of the internal control framework as satisfactory based on our audit opinions and delivery of the 2025/26 Annual Internal Audit Plan.

Overall, WECA's internal control framework and systems to manage risk had not altered significantly from the previous year and it is therefore my opinion that, based on the work completed, the internal control framework and systems to manage risk continue to be reasonable.

- Reasonable assurance can be provided over the systems of internal control, helping to ensure corporate priorities can be achieved.
- There were not any significant reported breaches of WECA's policies, including Financial Regulations and Contract Standing Orders.
- Managers throughout WECA were aware of the importance of maintaining adequate and effective governance arrangements.
- Appropriate arrangements were in operation to prevent and detect fraud and audit reviews did not identify any systemic failures.
- Senior Management demonstrate a proactive approach to the fundamental themes of good governance and risk management.
- There were no fundamental system failures or control breakdowns to business-critical functions.

A robust Internal Audit service is a vital component of WECA's governance systems and provides the third and final line of defence in relation to the internal control framework.

The Audit Committee's support of our work and maintaining effective corporate governance is appreciated and I would like to thank all Audit Committee members for their input and guidance throughout the year.

Alternative Options Considered

41. Not applicable

Consultation and Engagement

42. To develop and deliver the Annual Internal Audit Plan the Internal Audit Service has consulted widely with officers and members. Ongoing consultation will continue with the Audit Committee throughout the year.

Key Risks

43. Significant risks to WECA arising from an ineffective Internal Audit Service include lack of internal control, failures of governance and weak risk management. Specific risks include supplementary External Audit Fees and undetected fraud. Internal Audit assists WECA in identifying risks, improvement areas and recommending good practice.

44. The Audit Committee has specific responsibility for ensuring WECA's Risk Management and Financial Governance framework is robust and effective.

Equality, Diversity and Inclusion Implications

45. Embedded within the audit process is consideration of compliance with statutory guidance and regulations which includes those relating to equality and diversity.

Climate Change Implications

46. No direct implications.

Financial Implications

47. No direct implications

Legal Implications

48. No direct implications.

Human Resources Implications

49. No direct implications.

Commercial and Procurement

50. No direct implications.

West of England Mayoral Combined Authority Contact:

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WEST OF ENGLAND MAYORAL COMBINED AUTHORITY

REPORT TO:	**WEST OF ENGLAND COMBINED AUTHORITY AUDIT COMMITTEE**
DATE:	**06 JULY 2026**
REPORT TITLE:	**EXPANSION OF THE WEST OF ENGLAND COMBINED AUTHORITY**
RESPONSIBLE OFFICER:	**DIRECTOR OF STRATEGY**

Key Decision	**No**

Purpose of Report

To provide Audit Committee with an overview of the work underway to expand of the West of England Combined Authority (WECA) to include North Somerset Council (NSC).

Recommendation

That Audit Committee:

1) note the information.

Reasons for recommendation

To provide Audit Committee with an update.

Voting arrangements

No voting required as item is for information only.

Publication Requirements

For publication.

Background

1. At the 8 December 2025 meeting of the West of England Combined Authority Audit Committee, members were provided with an overview of the process for potential expansion of the Combined Authority to include North Somerset. This paper provides an update.

2. Since the last update to Audit Committee, WECA Committee has:

- Supported the Mayor's intention to submit a proposal for expansion of WECA and launching of a public consultation.
- Informally confirmed that there is agreement that the outcome of the consultation process does not require any amendments to be made to the expansion proposal.
- At their meeting on Friday 5 June, voted to support the Mayor's intention to consent to the submission of a formal proposal to expand the West of England Combined Authority (WECA) to incorporate North Somerset Council, noting that under the English Devolution and Community Empowerment Act 2026 (the 'Devolution Act'), this is the final consent point for the expansion of an Authority.

3. North Somerset Council considered this matter at their full council meeting on Tuesday 12 May and voted to support that North Somerset Council becomes a member of the West of England Combined Authority.

4. Mayor Helen Godwin and Cllr Mike Bell submitted the expansion proposal and consultation findings to the Secretary of State Ministry of Housing, Communities and Local Government (MHCLG) on Friday 12 June.

Key Considerations

Process for expansion of a Combined Authority

5. Under previous legislation, final Committee consent for expansion would have come at a later stage. Government now requires the use of the consent process as set out in the Devolution Act (which received Royal Assent on 29th April 2026). This brings the consent point forward. Under the Devolution Act, the final consent is required at the point of submission of the expansion proposal.

6. Government will review the proposal against their tests before the Secretary of State confirms whether he approves expansion progressing. Legislation would then be drafted and once confirmed through the normal Parliamentary process, North Somerset Council would be confirmed as a member of WECA. Timing of the Government and Parliamentary process are outside regional control so the exact timing of WECA expansion is not yet clear. That said, Government has indicated the process could be concluded within 2026.

7. Current governance arrangements would be maintained until any formal expansion is legislated for.

Alternative Options Considered

8. The process for Combined Authority membership expansion is a statutory process. WECA Committee decision and North Somerset Council decision showing support for expansion provides assurance that local consent is in place. As such, there are no alternative options to consider.

Consultation and Engagement

9. Expansion of the Combined Authority requires a public consultation process. The formal proposal to expand WECA has been consulted on and took place from 13th February – 13th April 2026. In total, the consultation on membership received 1,275 responses, of which 1,268 were included in analysis and reporting)

Key Risks

10. This paper provides an update on governance arrangements with the West of England Combined Authority (WECA) and North Somerset Council (NSC), in considering the potential expansion of WECA to include formalised membership of NSC. The risks associated with implementation of governance and wider arrangements to support delivery will be mitigated with a detailed transition plan.

Diversity, Equity and Inclusion Implications

11. The proposed expansion of WECA to include North Somerset Council has equality, diversity and inclusion relevance because it would broaden the geography, communities and stakeholders within the Combined Authority's strategic decision-making arrangements. At this stage, the paper is for noting and does not implement new powers, services, programmes or delivery changes, so no immediate equality impacts have been identified. However, the consultation findings highlight mixed views on whether a wider Combined Authority area would support the diverse needs and interests of local communities, including some greater concern from North Somerset respondents. These points should inform future engagement, communication and partnership working. If expansion progresses, future strategies, programmes and investment decisions should consider the needs of communities across the full regional geography, including rural, coastal, urban and more isolated communities, and should be supported by appropriate equality analysis at the relevant decision points. This will help ensure that the benefits and impacts of expansion are understood, accessible and fairly considered across the region.

Health Improvement and Health Inequalities

12. This paper focusses on the process of expanding the Combined Authority to include North Somerset. There will be no changes or new powers implemented yet. As such, there is no immediate consideration or impact on health improvement or health inequalities.

13. Further consideration on health improvement and addressing health inequalities will be given at the point of implementation.

Climate Change Implications

14. The MCA has committed to addressing the climate and ecological emergencies and reiterated these commitments through proposals in the regional growth strategy. North Somerset also has similar commitments, so the proposed expansion would have aligned approaches on climate and nature commitments.

15. The proposal itself does not have any specific climate change impacts.

Financial Implications

16. The recommendation does not in itself create any new financial commitments or approve additional expenditure. If the expansion proceeds, there may be future financial, budgetary and governance implications associated with incorporating North Somerset Council into the Combined Authority, including the treatment of funding, costs, levies, responsibilities and operating arrangements. These will need to be worked through as part of implementation and brought forward through the Combined Authority's normal budget, financial management and decision-making processes, with detailed financial implications set out in future reports as required.

Legal Implications

17. As this report only requires Audit Committee to note certain points, there are no direct legal implications arising from this report.

Human Resources Implications

18. The proposals within this report relate to WECA's expansion to include North Somerset. This report is only asking Audit Committee to note process matters, therefore as yet there are no direct workforce or organisational structure changes

arising from the recommendations set out in this report.

19. As individual strategies and programmes progress to development and delivery stages, any workforce implications, including possible TUPE, resourcing, skills requirements or programme capacity, will be considered through the Combined Authority's established policies, workforce planning and governance processes and brought forward in relevant future reports where appropriate.

Commercial and Procurement

20. There are no specific commercial implications which arise from this report. Should the expansion of the West of England Combined Authority to include North Somerset Council require the input of Procurement and/or third-party suppliers, then this will be subject to the Procurement Act and will require the appropriate level of approval by the Commercial Board. Further engagement with the Commercial team will be required to assess this in more detail.

Appendices

- None

West of England Mayoral Combined Authority Contact:

Report Author: Rachel Pykett
Contact Details: Rachel.Pykett@westofengland-ca.gov.uk

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WEST OF ENGLAND | MAYORAL COMBINED AUTHORITY

REPORT TO: **WEST OF ENGLAND MAYORAL COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **PROJECT MANAGEMENT PLAN FOR DELIVERY OF THE 2025-26 AUDIT [EXTERNAL AUDIT]**

RESPONSIBLE OFFICER: **DIRECTOR OF FINANCE, INVESTMENTS AND COMMERCIAL (S73 OFFICER)**

Key Decision	**No**
Purpose of Report To receive and note the Project Management Plan for delivery of the 2025-26 audit as set out in the Accounts and Audit (Amendment) Regulations 2024.	
Recommendation That the Audit Committee note the Authority's requirements as set out in the External Audit's Letter dated 21 May 2026 and note that a meeting has been provisionally timetabled for 2 November 2026.	
Reasons for recommendation The Audit Committee are receiving notice from its External Auditors for the audit requirements ahead of the November 2027 deadline.	
Voting arrangements The Committee is being asked to note the contents of the letter.	
Publication Requirements For Publication	

Purpose

The purpose of this report is to present to members of the West of England Mayoral Combined Audit Committee the Project Management Plan for delivery of the 2025-26

audit as set out in the letter received from the Authority's External Auditors and dated 21 May 2026.

Summary

1. The Authority's External Auditors have sent a letter informing the Authority of its plans for the audit timelines over the course of the next two years and what the auditors needed from the Authority as part of these plans.

2. The Accounts and Audit (Amendment) Regulations 2024 has now come into force. This legislation has introduced a series of backstop dates for local authority audits.

3. The backstop dates have been introduced with the purpose of clearing the backlog of historic financial statements and enable a reset of local audit.

4. In order to be able to achieve the targets for the next two financial years, Grant Thornton are looking to put things in place to enable them to achieve the end of November 2027 deadline.

5. To help make this achievable, Grant Thornton had asked to undertake a dry run of finishing its work on the 2025-26 Accounts by the end of November 2026.

6. On this basis, Grant Thornton would like the Committee to assist with this process by firstly setting an Audit Committee date in advance of the end of November 2026, to enable the sign off its opinion by that date. It was noted that the NAO had already set a requirement that the Value for Money (VfM) work be completed by 30 November each year which had been set to align with the upcoming 30 November accounts deadline.

7. In advance of that, Grant Thornton were looking to start its work on the accounts from the middle of June 2026 and had agreed that the Authority provide its draft financial statements to GT by 30 June 2026.

8. This plan should allow Grant Thornton to deliver its 2025-26 audit by the end of November 2026, which would then put it in a strong position ahead of the backstop formally moving to the end of November 2027.

9. Some Key Performance measures and milestones that both could sign up to are set out in Appendix A.

10. Appendix B (as referenced in the letter) provided a more detailed schedule of audit activity with planned start and completion dates. This has not been included due to the level of detail but will be referenced in the Auditor's presentation.

Contact officer: Selonge Russell Selonge.russell@westofengland-ca.gov.uk

Position: Director of Finance, Investments and Commercial (S73 Officer)

Grant Thornton

Our ref: WECA2526
Your ref:

Grant Thornton UK LLP
2 Glass Wharf
Temple Quay
Bristol
BS2 0EL

21 May 2026

Dear Selonge

Project Management Plan for delivery the 2025-26 audit

Ahead of us starting our work on your 2025-26 Accounts, we wanted to send you a letter to set out our plans for your audit timelines over the course of the next two years and what we will need from you as an Authority as part of these plans. As I am sure you are aware, on 30 September 2024, the Accounts and Audit (Amendment) Regulations 2024 came into force. This legislation introduced a series of backstop dates for local authority audits. These Regulations required audited financial statements to be published by the following dates:

- For years ended 31 March 2025 by 27 February 2026
- For years ended 31 March 2026 by 31 January 2027
- For years ended 31 March 2027 by 30 November 2027

The statutory instrument is supported by the National Audit Office's (NAO) new Code of Audit Practice 2024. The backstop dates were introduced with the purpose of clearing the backlog of historic financial statements and enable to the reset of local audit. Where audit work is not complete, this will give rise to a disclaimer of opinion. This means the auditor has not been able to form an opinion on the financial statements.

In order to be able to achieve the targets for the next two financial years, as a firm we are looking to put things in place to enable us to achieve the end of November 2027 deadline. To help make this achievable, we are going to undertake a dry run of finishing our work on the 2025-26 Accounts by the end of November 2026. On this basis, we would like you to assist with this process by firstly setting an Audit Committee date in advance of the end of November 2026, to enable us to sign off our opinion by that date. We would note that the NAO has already set a requirement that our Value for Money (VfM) work is completed by 30 November each year which has been set to align with the upcoming 30 November accounts deadline.

In advance of that, we are looking to start our work on your accounts from the middle of June 2026 and we have agreed that you will provide your draft financial statements to us by 30 June 2026, and before if available. Whilst we recognise this is in advance of the formal deadline for you as a Local Authority to publish your accounts, we feel this is an important first step towards achieving closure by the end of November. From this date, we will request information from you to enable us to start initial sample selections and will then provide this to you in order for you to collate appropriate and sufficient audit evidence in advance of us

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commencing your formal audit visit on 15 June 2026. In agreement with officers, some working papers will be available to auditors on this date, to enable early work where possible.

In Appendix A overleaf, we have set out some Key Performance measures and milestones that we both sign up to. Appendix B provides a more detailed schedule of audit activity with planned start and completion dates that we can mutually hold each other to account to ensure that the audit is delivered in line with planned expectations. This is a summarised version of the more detailed delivery plan that the audit team have developed which goes down to individual activity level.

We will regularly share progress against this plan as part of our regular liaison meetings to ensure that we both fully sighted on the stage of completion and where there are potential areas of focus where action is required to get back on track. This will also act as an early warning where additional time is required or further testing is being undertaken that might lead to additional fees and hopefully provide an opportunity to address or mitigate this.

This plan should allow us as a firm to deliver our 2025-26 audit by the end of November 2026, which will then put us in a strong position ahead of the backstop formally moving to the end of November 2027. We appreciate this will require a change on how both sides will need to work to make this a reality, but we are committed to making this happen. We will undertake early engagement with your finance team to clearly set out our expectations and what is needed to make a success of these plans. MHCLG have asked us as a firm to report by 31 July 2026, on a case by case basis, our assessment of the Combined Authority's ability to both maintain and where necessary rebuild assurance. Having a clear and agreed project plan to complete all financial statements and VfM work by 30 November 2026 is a key part of this assurance.

If you have any queries or questions, then do not hesitate to let us know.

Yours sincerely



Peter A Barber

Engagement Lead

APPENDIX A

KPI measure	Target	Achieved
Delivery of accounts by agreed audit deadline	30 June 2026	Yes/No
Delivery of accounts by statutory deadline (30 June)	Statutory deadline met / not met	Yes/No
RAG rating of quality and completeness of draft financial statements	Green	Green – draft accounts are complete and of good quality Amber – draft accounts are complete with some missing notes or incomplete disclosures Red – draft accounts are not complete with areas of work still in progress and/or significant notes are incomplete
% of audit working papers requests available at commencement of audit deadline (30 June)	80%	X%
% of audit working papers requests available within 10 working days of audit deadline (30 June)	100%	X%
RAG rating of quality and completeness of working papers	Green	Green – working papers are generally complete and of good quality with clear cross referencing to the financial statements Amber – working papers generally of a reasonable quality but some additional clarification or reconciliation needed to agree to the financial statements Red – working papers are generally unclear and do not provide appropriate audit trail between the financial statements and the accounting records
% of audit samples returned within 5 working days	100%	X%
% of audit queries responded to within 2 working days	100%	X%
RAG rating of quality and completeness of audit sampling evidence in general	Green	Green – sample documentation is generally comprehensive and of good quality with clear cross referencing to the items sampled Amber – sample documentation is generally of a reasonable quality but some additional clarification or reconciliation needed to agree to items sampled Red – sample documentation is generally unclear or incomplete and does not provide appropriate audit evidence to support the items sampled
Draft audit findings report issued in advance of audit committee	2 weeks prior to audit committee	Yes/No
Draft Auditors Annual report issued in advance of audit committee	3 weeks prior to audit committee	Yes/No
Audit opinion issued by agreed target date	30 November	Yes/No

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WEST OF ENGLAND MAYORAL COMBINED AUTHORITY

REPORT TO:	**WEST OF ENGLAND MAYORAL COMBINED AUTHORITY AUDIT COMMITTEE**
DATE:	**6 JULY 2026**
REPORT TITLE:	**THE AUDIT PLAN FOR WEST OF ENGLAND COMBINED AUTHORITY – YEAR ENDING 31 MARCH 2026**
RESPONSIBLE OFFICER:	**DIRECTOR OF FINANCE, INVESTMENTS AND COMMERCIAL (S73 OFFICER)**

Key Decision No
Purpose of Report To receive and note Grant Thornton's Audit Plan for the West of England Combined Authority for Year Ending 31 March 2026.
Recommendation That the Audit Committee note and comment on the attached Audit Plan.
Reasons for recommendation The document provides an overview of the planned scope and timing of the statutory audit of West of England Combined Authority ('the Authority') for those charged with governance.
Voting arrangements This report is for noting.
Publication Requirements For Publication.

Purpose

The purpose of this report is to present to members of the West of England Mayoral Combined Audit Committee the Audit Plan for the West of England Combined Authority for Year Ending 31 March 2026.

Summary

1. The report from the External Auditors sets out the following:

    - Significant and other risks identified
    - Other audit responsibilities
    - The approach to materiality
    - Progress against prior year recommendations
    - VfM arrangements
    - Fee Estimate

2. The Authority's External Auditors, Grant Thornton, will be in attendance at the meeting to present their report.

Contact officer: Selonge Russell Selonge.russell@westofengland-ca.gov.uk

Position: Director of Finance, Investments and Commercial (S73 Officer)

The Audit Plan for West of England Combined Authority

Year ending 31 March 2026

12 March 2026

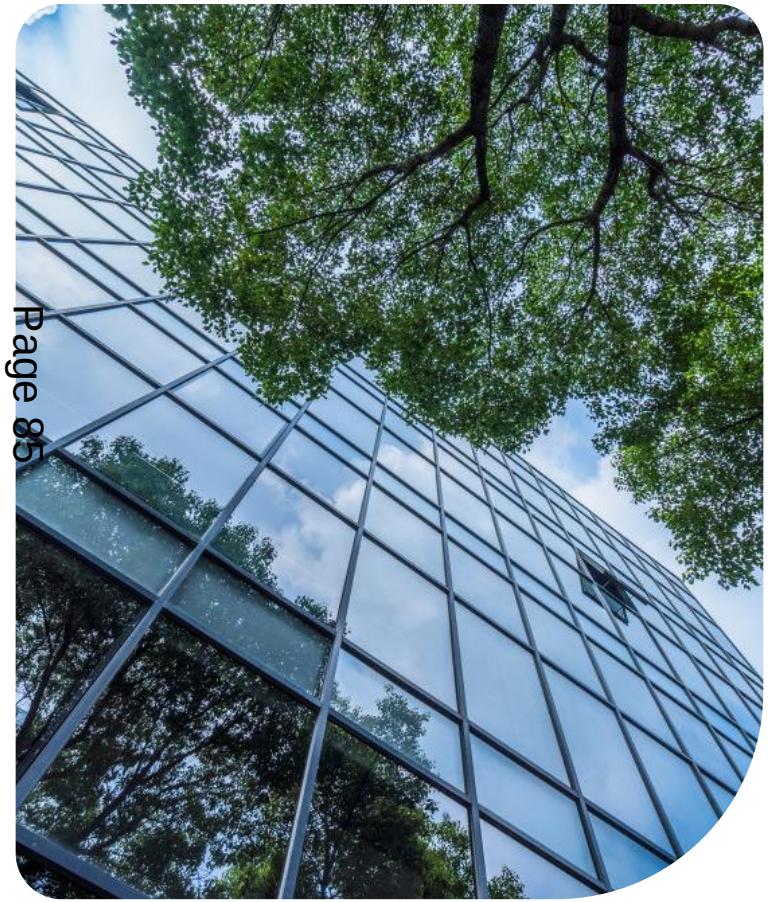


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1. Introduction and headlines



Purpose

This document provides an overview of the planned scope and timing of the statutory audit of West of England Combined Authority ('the Authority') for those charged with governance.

Respective responsibilities

The National Audit Office ('the NAO') has issued the Code of Audit Practice ('the Code'). This summarises where the responsibilities of auditors begin and end and what is expected from the audited body. Our respective responsibilities are also set out in the agreed in the Terms of Appointment and Statement of Responsibilities issued by Public Sector Audit Appointments (PSAA), the body responsible for appointing us as auditor of West of England Combined Authority. We draw your attention to these documents.

Scope of our Audit

The scope of our audit is set in accordance with the Code and International Standards on Auditing (ISAs) (UK). We are responsible for forming and expressing an opinion on the Authority's financial statements that have been prepared by management with the oversight of those charged with governance (the Audit Committee); and we consider whether there are sufficient arrangements in place at the Authority for securing economy, efficiency and effectiveness in your use of resources. Value for money relates to ensuring that arrangements are in place to use resources efficiently in order to maximise the outcomes that can be achieved as defined by the Code of Audit Practice.

The audit of the financial statements does not relieve management or the Audit Committee of your responsibilities. It is the responsibility of the Authority to ensure that proper arrangements are in place for the conduct of its business, and that public money is safeguarded and properly accounted for. We have considered how the Authority is fulfilling these responsibilities.

Our audit approach is based on a thorough understanding of the Authority and is risk based.

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1. Introduction and headlines (continued)

Significant risks

Those risks requiring special audit consideration and procedures to address the likelihood of a material financial statement error have been identified as:

- Management override of control
- Valuation of the net pension liability

We will communicate significant findings on these areas as well as any other significant matters arising from the audit to you in our Audit Findings (ISA 260) Report.

Materiality

We have determined planning materiality to be £6.550m (PY £5.900m) for the Authority, which equates to 2.50% of your prior year gross operating costs for the year.

We are obliged to report uncorrected omissions or misstatements other than those which are 'clearly trivial' to those charged with governance. Clearly trivial has been set at £0.327m (PY £0.200m).

Value for Money arrangements

Our risk assessment regarding your arrangements to secure value for money has identified the following risks of significant weakness:

- There is a risk of significant weakness in arrangements for governance culture. Our Auditor's Annual Report for 2024/25 reported that the Authority should complete its journey towards a strong governance culture; and focus the time and effort of officers and members on its operational challenges and opportunities.
- There is a risk of significant weakness in arrangements for progressing capital programmes. Our Auditor's Annual Report for 2024/25 reported that the Authority must demonstrate improved governance arrangements leading to significant progress in delivering capital projects within the CRSTS programme over 12 months, in line with the acceleration plan, but further improvements are required.

We will continue to monitor and update our risk assessment and responses until we issue our Auditor's Annual Report.

Audit logistics

Our interim visit has taken place in February 2026 and our final visit will take place in July to September 2026. Our key deliverables are this Audit Plan, our Audit Findings Report, our Auditor's Report and Auditor's Annual Report.

Our proposed fee for the audit is £194,731 (PY: £165,428*) for the Authority, subject to the Authority delivering a good set of financial statements and working papers, no significant changes in scope to the Audit, management being responsive to audit requests and providing sufficient appropriate audit evidence when requested.

We have complied with the Financial Reporting Authority's Ethical Standard (revised 2024) and we as a firm, and each covered person, confirm that we are independent and are able to express an objective opinion on the financial statements.

**Subject to additional fees in respect of wider statutory powers*

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2. Significant risks identified

Significant risks are defined by ISAs (UK) as risks that, in the judgement of the auditor, require special audit consideration. In identifying risks, audit teams consider the nature of the risk, the potential magnitude of misstatement, and its likelihood. Significant risks are those risks that have a higher risk of material misstatement.

Significant risk	Audit team's assessment	Planned audit procedures
Management override of controls Under ISA (UK) 240 there is a non-rebuttable presumed risk that the risk of management override of controls is present in all entities. **Risk relates to** Authority	We have therefore identified management override of controls, in particular journals, management estimates and transactions outside the course of business as a significant risk of material misstatement.	We will: • review accounting estimates, judgements and decisions made by management • test journal entries • review unusual significant transactions.

"In determining significant risks, the auditor may first identify those assessed risks of material misstatement that have been assessed higher on the spectrum of inherent risk to form the basis for considering which risks may be close to the upper end. Being close to the upper end of the spectrum of inherent risk will differ from entity to entity and will not necessarily be the same for an entity period on period. It may depend on the nature and circumstances of the entity for which the risk is being assessed. The determination of which of the assessed risks of material misstatement are close to the upper end of the spectrum of inherent risk, and are therefore significant risks, is a matter of professional judgment, unless the risk is of a type specified to be treated as a significant risk in accordance with the requirements of another ISA (UK)." (ISA (UK) 315).

In making the review of unusual significant transactions "the auditor shall treat identified significant related party transactions outside the entity's normal course of business as giving rise to significant risks." (ISA (UK) 550).

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2. Significant risks identified

Significant risks are defined by ISAs (UK) as risks that, in the judgement of the auditor, require special audit consideration. In identifying risks, audit teams consider the nature of the risk, the potential magnitude of misstatement, and its likelihood. Significant risks are those risks that have a higher risk of material misstatement.

Significant risk	Audit team's assessment	Planned audit procedures
Valuation of the pension fund net liability Risk relates to Authority	The Authority's net defined benefit liability, as reflected in its balance sheet, represents a significant estimate in the financial statements. The pension fund liability is considered a significant estimate due to its size and the sensitivity of the estimate to changes in key assumptions. The assessment of pension liabilities is commonly reliant on various assumptions, including the discount rate, life expectancy, and anticipated future salary and benefit increases. These assumptions may be subject to considerable estimation uncertainty, and alterations in these assumptions can exert a substantial influence on the valuation of pension liabilities. We have therefore identified the valuation of the Authority's pension fund liability as a significant risk.	We will: • update our understanding of the processes and controls put in place by management to ensure that the Authority's net defined benefit liability is not materially misstated and evaluate the design of the associated controls; • evaluate the instructions issued by management to their management expert (the actuary) for this estimate and the scope and the actuary's work; • assess the competence. capabilities and objectivity of the actuary who carried out the Authority's pension fund valuation; • assess the accuracy and completeness of the information provided by the Authority to the actuary to estimate the liability; • test the consistency of the pension fund asset and liability and disclosures in the notes to the core financial statements with the actuarial report from the actuary; • undertake procedures to confirm the reasonableness of the actuarial assumptions made by reviewing the report of the consulting actuary (as auditor's expert) and performing any additional procedures suggested within the report; and • obtain assurances from the auditor of Avon Pension Fund as to the controls surrounding the validity and accuracy of membership data, contributions data, and benefits data sent to the actuary by the pension fund and the fund assets valuation in the pension fund financial statements.

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2. Significant risks identified (continued)

Significant risk	Audit team's assessment	Planned audit procedures
The revenue cycle includes fraudulent transactions Under ISA (UK) 240 there is a rebuttable presumed risk that revenue may be misstated due to the improper recognition of revenue **Risk relates to** Authority	We have identified and completed a risk assessment of all revenue streams for the Authority. We have rebutted the presumed risk that revenue may be misstated due to the improper recognition of revenue for all revenue streams. Where we have rebutted the risk of fraud in revenue recognition for revenue streams this is due to the low fraud risk in the nature of the underlying transactions, or immaterial nature of the revenue streams both individually and collectively.	As we do not view this as a significant risk for the Combined Authority, we will conduct standard audit procedures. We will keep this rebuttal under review throughout the audit to ensure this judgement remains appropriate.

Management should expect engagement teams to challenge them in areas that are complex, significant or highly judgmental which may be the case for accounting estimates, going concern, related parties and similar areas. Management should also expect to provide engagement teams with sufficient evidence to support their judgments and the approach they have adopted for key accounting policies referenced to accounting standards or changes thereto.

Where estimates are used in the preparation of the financial statements management should expect teams to challenge management's assumptions and request evidence to support those assumptions.

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2. Significant risks identified (continued)

Significant risk	Audit team's assessment	Planned audit procedures
The expenditure cycle includes fraudulent transactions Practice Note 10 (PN10) states that as most public bodies are net spending bodies, then the risk of material misstatements due to fraud related to expenditure may be greater than the risk of material misstatements due to fraud related to revenue recognition. As a result under PN10, there is a requirement to consider the risk that expenditure may be misstated due to the improper recognition of expenditure. **Risk relates to** Authority	We have identified and completed a risk assessment of all expenditure streams for the Authority. We have considered the risk that expenditure may be misstated due to the improper recognition of revenue for all expenditure streams, including capital expenditure, and concluded that there is not a significant risk. Where we have not identified a significant risk of fraud in expenditure recognition for expenditure streams this is due to the low fraud risk in the nature of the underlying transactions, or immaterial nature of the expenditure streams both individually and collectively.	As we do not view this as a significant risk for the Combined Authority, standard audit procedures will be carried out. We will keep this consideration under review throughout the audit to ensure this judgement remains appropriate.

Table continues overleaf

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2. Other risks identified

Other risks are, in the auditor's judgement, those where the likelihood of material misstatement cannot be reduced to remote, without the need for gaining an understanding of the associated control environment, along with the performance of an appropriate level of substantive work. The risk of misstatement for another risk is lower than that for a significant risk, and they are not considered to be areas that are highly judgemental, or unusual in relation to the day-to-day activities of the business.

Risk	Description	Planned audit procedures
Data migration (system upgrade of Unit4 to the cloud) **Risk relates to** Authority	We have identified the system upgrade of Unit4 to the cloud as a risk due to error. However, since this is a system upgrade rather than a new system, we do not consider this to pose a significant risk.	For the risk identified in the Unit4 system upgrade to the cloud we will: • understand the process used for the transfer of data to the cloud • identify potential risks created or heightened by the ledger transfer • develop appropriate audit procedures to gain the required assurance related to the risks identified • test the data migration • complete a review of user access restrictions • document and gain an appropriate understanding of corresponding ITGCs.



"The auditor determines whether there are any risks of material misstatement at the assertion level for which it is not possible to obtain sufficient appropriate audit evidence through substantive procedures alone. The auditor is required, in accordance with ISA (UK) 330 (Revised July 2017), to design and perform tests of controls that address such risks of material misstatement when substantive procedures alone do not provide sufficient appropriate audit evidence at the assertion level. As a result, when such controls exist that address these risks, they are required to be identified and evaluated."
(ISA (UK) 315)

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2. Other matters

Other work

In addition to our responsibilities under the Code of Practice, we have a number of other audit responsibilities, as follows:

- We read your Narrative Report and Annual Governance Statement to check that they are consistent with the financial statements on which we give an opinion and our knowledge of the Authority.
- We carry out work to satisfy ourselves that disclosures made in your Annual Governance Statement are in line with requirements set by CIPFA.
- We carry out work on your consolidation schedules for the Whole of Government Accounts process in accordance with NAO group audit instructions.
- We consider our other duties under legislation and the Code, as and when required, including:
  - giving electors the opportunity to raise questions about your financial statements, consider and decide upon any objections received in relation to the financial statements;
  - issuing a report in the public interest or written recommendations to the Authority under section 24 of the Local Audit and Accountability Act 2014 (the Act);
  - application to the court for a declaration that an item of account is contrary to law under section 28 or a judicial review under section 31 of the Act;
  - issuing an advisory notice under section 29 of the Act.
- We certify completion of our audit.

Other material balances and transactions

Under International Standards on Auditing, 'irrespective of the assessed risks of material misstatement, the auditor shall design and perform substantive procedures for each material class of transactions, account balance and disclosure'. All other material balances and transaction streams will therefore be audited. However, the procedures will not be as extensive as the procedures adopted for the risks identified in this report.

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3. Our approach to materiality

The concept of materiality is fundamental to the preparation of the financial statements and the audit process and applies not only to the monetary misstatements but also to disclosure requirements and adherence to acceptable accounting practice and applicable law.

Description	Planned audit procedures
Determination We have determined planning materiality (financial statement materiality for the planning stage of the audit) based on professional judgement in the context of our knowledge of the Authority including consideration of factors such as stakeholder expectations, sector developments, financial stability and reporting requirements for the financial statements	• We determine planning materiality in order to: – establish what level of misstatement could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements – assist in establishing the scope of our audit engagement and audit tests – determine sample sizes and – assist in evaluating the effect of known and likely misstatements in the financial statements
Other factors An item does not necessarily have to be large to be considered to have a material effect on the financial statements	• An item may be considered to be material by nature when it relates to: – instances where greater precision is required
Reassessment of materiality Our assessment of materiality is kept under review throughout the audit process	• We reconsider planning materiality if, during the course of our audit engagement, we become aware of facts and circumstances that would have caused us to make a different determination of planning materiality

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3. Our approach to materiality (continued)

Description	Amount (£)	Qualitative factors considered
Materiality for the Authority financial statements	£6,550,000	Financial Statement materiality at planning was determined based on 2.50% of the prior year's gross expenditure of the Authority,
Performance materiality	£4,585,000	We have reduced our Performance Materiality benchmark from 75% to 70% due to the system upgrade of Unit4 to the cloud.
Triviality	£327,500	The triviality threshold is calculated using a 5% benchmark of materiality.
Materiality for specific transactions, balances or disclosures – Senior Officer Remuneration Disclosures	£20,000	A lower materiality has been set for individual officer remuneration disclosures because of the heightened political sensitivity and public interest concerns in this area. We will continue to audit this area more closely to the level of disclosure, and require amendments if errors are identified that impact the disclosure.

Misstatements, including omissions, are considered to be material if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements; Judgments about materiality are made in light of surrounding circumstances, and are affected by the size or nature of a misstatement, or a combination of both; and judgements about matters that are material to users of the financial statements are based on a consideration of the common financial information needs of users as a group. The possible effect of misstatements on specific individual users, whose needs may vary widely, is not considered. (ISA (UK) 320)

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4. Progress against prior year audit recommendations

We identified the following issues in our 2024/25 audit of the Authority's financial statements, which resulted in 3 recommendations being reported in our 2024/25 Audit Findings Report. We have followed up on the implementation of our recommendations and 2 are still to be addressed.

Assessment	Issue and risk previously communicated	Update on actions taken to address the issue(s)
Complete	Our testing of journals identified one instance of an individual posting and approving their own journal.	Through our journals walkthrough, we have confirmed that management's response has been followed through by the authority. No additional risks to consider for journals this year.
In progress	We have identified numerous classification errors in the grants received in advance (GRIA) and agency liability notes. Examples in the draft accounts include in-year drawdowns having been allocated to the wrong grant or to revenue rather than capital. This has been a consistent theme for several years. Accurate disclosure is essential for a user to be able to understand these complex notes to the accounts.	We will consider progress on this issue during the year-end audit as part of our GRIA testing.
In progress	As part of our audit, we verified the accuracy of agency expenditure recorded in the accounts. For certain samples we were unable to obtain formal third-party evidence. While management provided internal workings reconciling grant income to expenditure and confirmed verbal discussions with partners, no written confirmations (e.g. spend letters) were received despite multiple follow up attempts. This reliance on internal calculations without formal external validation represents a control weakness.	We are satisfied that appropriate processes are in place to capture all spend and accruals and will gain further assurance over this through our substantive testing procedures. We will consider progress on this issue during the year-end audit as part of our agency expenditure testing.

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5. IT audit strategy

In accordance with ISA (UK) 315, we are required to obtain an understanding of the IT environment related to all key business processes, identify all risks from the use of IT related to those business process controls judged relevant to our audits and assess the relevant IT general controls (ITGCs) in place to mitigate them. Our audits will include completing an assessment of the design and implementation of ITGCs related to security management; technology acquisition, development and maintenance; and technology infrastructure.

The following IT applications are in scope for IT controls assessment based on the planned financial statement audit approach. We will perform the indicated level of assessment:

IT application	Audit area	Planned level IT audit assessment
Unit 4 Agresso	Financial Reporting	• ITGC assessment (design and implementation effectiveness only)
iTrent	Payroll	• ITGC assessment (design and implementation effectiveness only)

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5. IT audit strategy (continued)

In addition, due to the activity during the period, specifically the data migration from Unit 4 to the cloud-based version of Unit 4, additional audit procedures will be completed to address the additional risks of material misstatement identified.

IT application	Event	Relevant risks	Planned IT audit procedures
Unit 4 Agresso	Data migration	Post migration data completeness and accuracy; system functionality operating to design.	We will: • understand the process used for the transfer of data to the cloud • identify potential risks created or heightened by the ledger transfer • develop appropriate audit procedures to gain the required assurance related to the risks identified • test the data migration • complete a review of user access restrictions • document and gain an appropriate understanding of corresponding ITGCs.

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6. Value for Money Arrangements

Approach to Value for Money work for the period ended 31 March 2026

The National Audit Office updated its Code of Audit Practice in November 2024. The Code expects auditors to consider whether the Authority has put in place proper arrangements to secure economy, efficiency and effectiveness in its use of resources. Auditors are expected to report a commentary each year under the specific reporting criteria and where significant weaknesses in arrangements are identified. The new Code requires auditors to share a draft Auditor's Annual Report (AAR) with those charged with governance by a nationally set deadline each year, and for the audited body to publish the AAR thereafter. This new deadline requirement was introduced from November 2025. The three specified reporting criteria are set out below:

Financial sustainability

How the Authority plans and manages its resources to ensure it can continue to deliver its services.

Governance

How the Authority ensures that it makes informed decisions and properly manages its risks.

Improving economy, efficiency and effectiveness

How the Authority uses information about its costs and performance to improve the way it manages and delivers its services.

We will continue our review of your arrangements until we sign the opinion on your financial statements before we issue our AAR. Should any further risks of significant weakness be identified, we will report this to those charged with governance as soon as practically possible. Any significant weaknesses identified will be reflected in our AAR and included within our audit opinion.

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6. Risks of significant weakness in VFM arrangements

Initial risk assessment of the Authority's VFM arrangements

The Code of Audit Practice 2024 (the Code) sets out that the auditor's work is likely to fall into three broad areas: planning; additional risk-based procedures and evaluation; and reporting. We undertake initial planning work to inform this Audit Plan and the assumptions used to derive our fee. Consideration of prior year significant weaknesses and known areas of risk is a key part of the risk assessment for 2025/26. We will continue to evaluate risks of significant weakness and if further risks are identified, we will report these to those charged with governance. We set out our reported assessment below:

Criteria	2024/25 Assessment of arrangements	2025/26 Risk assessment	2025/26 risk-based procedures planned
Financial sustainability	G	No significant weaknesses in arrangements identified. We note that reserve levels were at the recommended level at the end of 2024/25.	No risk of significant weakness identified.	As no risk of significant weakness has been identified, no additional risk-based procedures are specified at this stage. We will undertake sufficient work to document our understanding of your arrangements as required by the Code.

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendation(s) made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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6. Risks of significant weakness in VFM arrangements

Criteria	2024/25 Assessment of arrangements	2024/25 Assessment of arrangements	2025/26 Risk assessment	2025/26 risk-based procedures planned
Governance	R	Significant progress has been made in 2024/25 enabling us to close the two statutory and six key recommendations from prior years. There is a residual significant weakness reflecting the need to complete and embed new arrangements. We have also identified a new area of significant weakness in respect of programme governance.	There is a risk of significant weakness in arrangements for governance culture. Our Auditor's Annual Report for 2024/25 reported that the Authority should complete its journey towards a strong governance culture; and focus the time and effort of officers and members on its operational challenges and opportunities. In our view, this should include: • The successful completion of all key aspects of the Organisational Improvement Plan (OIP). • Embedding effective programme governance arrangements to achieve the required acceleration in the delivery of capital programmes (including CRSTS). • The sustained development of strong constructive relationships between officers, the Mayor, constituent unitary authorities and other key partners. • A period of stability in the management team and an increased focus on operational outcomes rather than on mitigating deficiencies in governance. • Evidence that improvements in governance culture and process compliance around the appointment of directors and senior contractors are effectively embedded.	• We will review progress with the Organisational Improvement Plan. • We will assess governance arrangements for accelerating delivery of the capital programme; building relationships with partners; and maintaining a strong senior management team (including through new appointments).

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6. Risks of significant weakness in VFM arrangements (continued)

Criteria	2024/25 Assessment of arrangements	2025/26 Risk assessment	2025/26 risk-based procedures planned
Governance	R	There is a risk of significant weakness in arrangements for governance over progressing capital programmes. Our Auditor's Annual Report for 2024/25 reported that the Authority must demonstrate improved governance arrangements leading to significant progress in delivering capital projects within the CRSTS programme over 12 months, in line with the acceleration plan.	• We will evaluate the extent to which any change in the pace of capital programme delivery can be attributed to changes in governance arrangements.

Significant progress has been made in 2024/25 enabling us to close the two statutory and six key recommendations from prior years. There is a residual significant weakness reflecting the need to complete and embed new arrangements. We have also identified a new area of significant weakness in respect of programme governance.

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6. Risks of significant weakness in VFM arrangements

Criteria	2024/25 Assessment of arrangements	2025/26 Risk assessment	2025/26 risk-based procedures planned
Improving economy, efficiency and effectiveness	G	No risks of significant weakness identified	As no risk of significant weakness has been identified, no additional risk-based procedures are specified at this stage. We will undertake sufficient work to document our understanding of your arrangements as required by the Code.

No significant weaknesses in arrangements identified. We have determined that the matters identified in our risk assessment will be considered under the governance theme above. The publishing of outcomes against strategic framework priorities is now included in the annual financial statements.

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6. Risks of significant VFM weaknesses

As part of our initial planning work, we considered whether there were any risks of significant weakness in the Authority's arrangements for securing economy, efficiency and effectiveness in its use of resources where we needed to perform additional procedures. The risks we have identified are detailed on the table overleaf along with the further work we will perform. We will continue to review the Authority's arrangements and report any further risks of significant weaknesses we identify to those charged with governance. We may need to make recommendations following the completion of our work. The potential different types of recommendations we could make are set out in the table below.

Potential types of recommendations



Statutory recommendation

Written recommendations to the Authority under Section 24 (Schedule 7) of the Local Audit and Accountability Act 2014. A recommendation under schedule 7 requires the Authority to discuss and respond publicly to the report.



Key recommendation

The Code of Audit Practice requires that where auditors identify significant weaknesses in arrangements to secure value for money they should make recommendations setting out the actions that should be taken by the Authority.
We have defined these recommendations as 'key recommendations'.



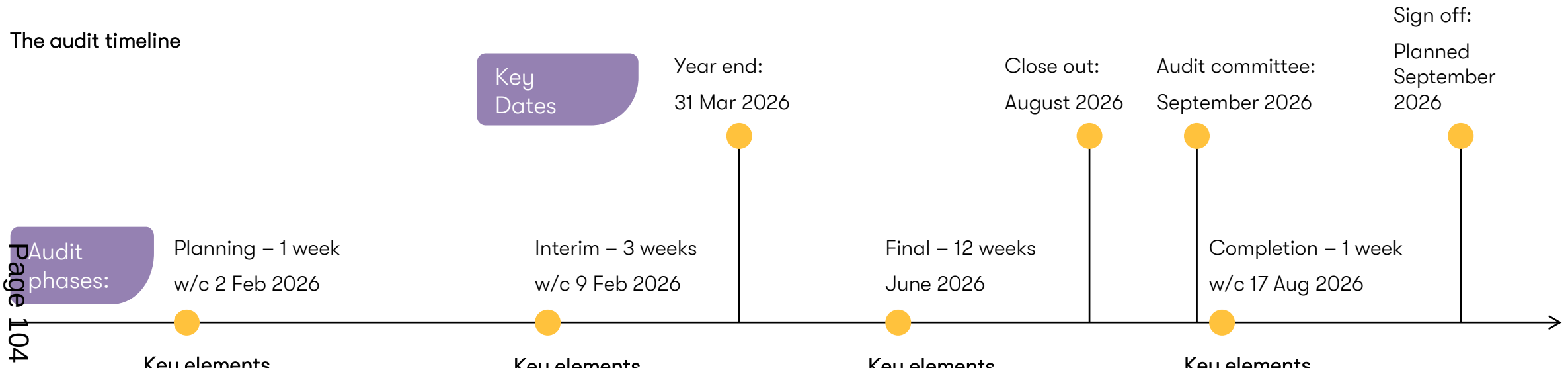
Improvement recommendation

Auditors may also include areas for improvement or to keep in view even if they do not identify any underlying significant weaknesses in arrangements. These recommendations set out actions for consideration which are not a result of identifying significant weaknesses in arrangements, but which if not addressed could increase the risk of a significant weakness in future periods.

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7. Logistics

The audit timeline



Key elements

- Planning meeting with management to set audit scope
- Planning requirements checklist to management
- Agree timetable and deliverables with management and Audit Committee
- Issue the Audit Plan to management and Audit Committee
- Planning meeting with Audit Committee to discuss the Audit Plan

Key elements

- Document design effectiveness of systems and processes
- Review of key judgements and estimates
- Issue Audit progress report and sector update to management and Audit Committee
- New IT system - additional testing

Key elements

- Audit teams onsite to complete fieldwork and detailed testing
- Weekly update meetings with management

Key elements

- Draft Audit Findings issued to management
- Audit Findings meeting with management
- Draft Audit Findings issued to Audit Committee
- Audit Findings presentation to Audit Committee
- Auditor's Annual Report
- Finalise and sign financial statements and audit report

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7. Our team and communications

Grant Thornton core team

Peter Barber

Engagement Lead/Key Audit Partner

- Key contact for senior management and Audit Committee
- Overall quality assurance

Sophie Morgan-Bower

Audit Manager

- Audit planning
- Resource management
- Performance management reporting

Toby Huxtable

In-charge

- On-site audit team management
- Day-to-day point of contact
- Audit fieldwork

We may also involve our pool of specialists and other technical specialists (e.g. IT audit) where required.

	Service delivery	Audit reporting	Audit progress	Technical support
Formal communications	• Annual client service review	• The Audit Plan • The Audit Findings • Auditor's Annual Report	• Audit planning meetings • Audit clearance meetings • Communication of issues log	• Technical updates
Informal communications	• Open channel for discussion		• Communication of audit issues as they arise	• Notification of up-coming issues

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8. Our fee estimate

Our fee estimate

We have set out below our specific assumptions made in arriving at our estimated audit fees, we have assumed that the Authority will:

- prepare good quality sets of accounts, supported by comprehensive and well presented working papers which are ready at the start of the audit
- provide appropriate analysis, support and evidence to support all critical judgements and significant estimates made during the course of preparing the financial statements
- provide early notice of proposed complex or unusual transactions which could have a material impact on the financial statements
- maintain adequate business processes and IT controls, supported by an appropriate IT infrastructure and control environment.

Previous year

In 2024/25 the scale fee set by PSAA was £134,428. The actual fee charged for the audit was £165,428, subject to additional fees in respect of wider statutory powers.

**Subject to additional fees in respect of wider statutory powers*

Entity	Audit Fee for 2024/25 (£)	Proposed fee for 2025/26 (£)
Combined Authority Audit (scale fee)	£134,428	£194,731
Combined Authority Audit (Value for Money, IFRS 16, and additional testing fee variations)	£31,000	TBC
Combined Authority Audit (New IT system implementation – additional work)	N/a	TBC
Total (Exc. VAT)	**£165,428***	**£194,731**

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8. Our fee estimate (continued)

Relevant professional standards

In preparing our fee estimate, we have had regard to all relevant professional standards, including paragraphs 4.1 and 4.2 of the FRC's Ethical Standard (revised 2024) which stipulate that the Engagement Lead (Key Audit Partner) must set a fee sufficient to enable the resourcing of the audit with partners and staff with appropriate time and skill to deliver an audit to the required professional and Ethical standards.

PSAA

Local Government Audit fees are set by PSAA as part of their national procurement exercise. In 2018/19 PSAA awarded a contract of audits for the Authority. The scale fee set out in the PSAA contract for the 2025/26 audit is £194,731.

This contract sets out four contractual stage payments for this fee, with payment based on delivery of specified audit milestones:

- Production of the final auditor's annual report for the previous Audit Year or opinion issued (but not before 1 December2025)
- Production of the draft audit planning report to Audited Body
- 50% of planned hours of an audit have been completed
- 75% of planned hours of an audit have been completed

Any variation to the scale fee will be determined by PSAA in accordance with their procedures as set out here Fee Variations Overview – PSAA

Updated Auditing Standards

The FRC has issued updated Auditing Standards in respect of Quality Management (ISQM 1 and ISQM 2). It has also issued an updated Standard on quality management for an audit of financial statements (ISA 220). We confirm we will comply with these standards.

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9. Independence considerations

Ethical Standards and ISA (UK) 260 require us to give you timely disclosure of all significant matters that may bear upon the integrity, objectivity and independence of the firm or covered persons (including its partners, senior managers, managers). In this context, we confirm there are no matters that we are required to report.

As part of our assessment of our independence at planning we note the following matters:

Matter	Conclusions
Relationships with Grant Thornton	We are not aware of any relationships between Grant Thornton and the Authority that may reasonably be thought to bear on our integrity, independence and objectivity.
Relationships and Investments held by individuals	We have not identified any potential issues in respect of personal relationships with the Authority or investments in the Authority held by individuals.
Employment of Grant Thornton staff	We are not aware of any former Grant Thornton partners or staff being employed, or holding discussions in respect of employment, by the Authority as a director or in a senior management role covering financial, accounting or control related areas.
Business relationships	We have not identified any business relationships between Grant Thornton and the Authority.
Contingent fees in relation to non-audit services	No contingent fee arrangements are in place for non-audit services provided.
Gifts and hospitality	We have not identified any gifts or hospitality provided to, or received from, a member of the Authority's board, senior management or staff (that would exceed the threshold set in the Ethical Standard).

We confirm that there are no significant facts or matters that impact on our independence at planning as auditors that we are required or wish to draw to your attention and consider that an objective reasonable and informed third party would take the same view. The firm and each covered person have complied with the Financial Reporting Authority's Ethical Standard and confirm that we are independent and are able to express an objective opinion on the financial statements.

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9. Fees and non-audit services

The page below sets out the non-audit services that we have been engaged to provide or charged from the beginning of the financial year to March 2026 as well as the threats to our independence and safeguards have been applied to mitigate these threats.

There were no fees for the provision of non-audit services.

For the purposes of our audit we have made enquiries of all Grant Thornton teams within the Grant Thornton International Limited network member firms providing services to West of England Combined Authority. We did not identify any fees for the provision of non-audit services.

Other non-audit services

Service	£	Threats Identified	Safeguards applied
Other Non-Audit Services	0	Not applicable	Not applicable
Total	0		

Total audit and non-audit fee	
Audit Fee £194,731*	Non-Audit Fee £0

**Subject to additional fees in respect of the new IT system implementation.*

This covers all services provided by us and our network to the Authority, its directors and senior management and its affiliates, and other services provided to other known connected parties that may reasonably be thought to bear on our integrity, objectivity or independence.

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10. Communication of audit matters with those charged with governance

Our communication plan	Audit Plan	Audit Findings
Respective responsibilities of auditor and management/those charged with governance	●	
Overview of the planned scope and timing of the audit, form, timing and expected general content of communications including significant risks and Key Audit Matters	●	
Planned use of internal audit	●	
Confirmation of independence and objectivity	●	●
A statement that we have complied with relevant ethical requirements regarding independence. Relationships and other matters which might be thought to bear on independence. Details of non-audit work performed by Grant Thornton UK LLP and network firms, together with fees charged. Details of safeguards applied to threats to independence	●	●
Significant matters in relation to going concern	●	●

ISA (UK) 260, as well as other ISAs (UK), prescribe matters which we are required to communicate with those charged with governance, and which we set out in the table here.

This document, the Audit Plan, outlines our audit strategy and plan to deliver the audit, while the Audit Findings will be issued prior to approval of the financial statements and will present key issues, findings and other matters arising from the audit, together with an explanation as to how these have been resolved.

We will communicate any adverse or unexpected findings affecting the audit on a timely basis, either informally or via an audit progress memorandum.

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10. Communication of audit matters with those charged with governance (Continued)

Respective responsibilities

As auditor we are responsible for performing the audit in accordance with ISAs (UK), which is directed towards forming and expressing an opinion on the financial statements that have been prepared by management with the oversight of those charged with governance.

The audit of the financial statements does not relieve management or those charged with governance of their responsibilities.

Our communication plan	Audit Plan	Audit Findings
Views about the qualitative aspects of the Authority accounting and financial reporting practices including accounting policies, accounting estimates and financial statement disclosures		●
Significant findings from the audit		●
Significant matters and issue arising during the audit and written representations that have been sought		●
Significant difficulties encountered during the audit		●
Significant deficiencies in internal control identified during the audit		●
Significant matters arising in connection with related parties		●
Identification or suspicion of fraud involving management and/or which results in material misstatement of the financial statements		●
Non-compliance with laws and regulations		●
Unadjusted misstatements and material disclosure omissions		●

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11. Financial reporting changes

Changes to the CIPFA Code of practice on local authority accounting for 2025/26

The main change is a revaluation expedient for property, plant and equipment. From 1 April 2025, revaluations are required once every five years or on a five year rolling basis with indexation in intervening years. This is a substantial change to the accounting for non current asset, that may require engagement with valuers, changes to underlying systems, asset records and accounting treatment.

New or revised accounting standards that are re expected to be adopted by the CIPFA Code in future years.

Amendment to IFRS 9 and IFRS 7 - Contracts Referencing Nature-dependent Electricity

The International Accounting Standards Board (IASB) issued amendments to IFRS 9 and IFRS 7 to improve the reporting of nature-dependent electricity contracts, such as power purchase agreements (PPAs). These contracts, which secure electricity from sources like wind and solar power, can vary due to uncontrollable factors like weather. The amendments clarify the 'own-use' requirements, permit hedge accounting for these contracts, and introduce new disclosure requirements to help users of the accounts understand their impact on an entity's financial performance and cash flows. The amendments are expected to be adopted by the CIPFA Code for 2026/27.

Amendments to IFRS 9 and IFRS 7 – Classification and measurement of financial instruments

These amendments clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities (including settling financial liabilities using an electronic payment system), adds guidance on the solely payment of principal and interest (SPPI) criteria, and includes updated disclosures for certain instruments. The amendments are expected to be adopted by the CIPFA Code for 2026/27.

IFRS 18 Presentation and Disclosure in the Financial Statements

IFRS 18 will replace IAS 1 Presentation of Financial Statements. All entities reporting under IFRS Accounting Standards will be impacted.

The new standard will impact the structure and presentation of the comprehensive income and expenditure statement as well as introduce specific disclosure requirements. Some of the key changes are:

- introducing new defined categories for the presentation of income and expenses
- introducing specified totals and subtotals, for example the mandatory inclusion of 'Operating profit or loss' subtotal
- disclosure of management defined performance measures
- enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

IFRS 18 will be effective in the UK from 1 January 2027 and so could impact the CIPFA Code from 2027/28.

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WEST OF ENGLAND | MAYORAL COMBINED AUTHORITY

REPORT TO:	**WEST OF ENGLAND MAYORAL COMBINED AUTHORITY AUDIT COMMITTEE**
DATE:	**6 JULY 2026**
REPORT TITLE:	**WEST OF ENGLAND COMBINED AUTHORITY FINAL AUDITOR'S ANNUAL REPORT - YEAR ENDING 31 MARCH 2025**
RESPONSIBLE OFFICER:	**DIRECTOR OF FINANCE, INVESTMENTS AND COMMERCIAL**

Key Decision **No**

Purpose of Report

To receive and note Grant Thornton's West of England Combined Authority Final Auditor's Annual Report - Year ending 31 March 2025.

Recommendation

That the Audit Committee note and comment on the final Auditor's Annual Report for Year Ending 31 March 2025.

Reasons for recommendation

This report brings together a summary of all the work Grant Thornton had undertaken for West of England Combined Authority during 2024/25 as the appointed External Auditor. The core element of the report is the commentary on the value for money (VfM) arrangements. The responsibilities of the Combined Authority are set out in Appendix A. The Value for Money Auditor responsibilities are set out in Appendix B. Follow-up of previous improvement recommendations is at Appendix C.

Voting arrangements

This report is for noting.

Publication Requirements

For Publication.

Purpose

The purpose of this report is to present to members of the West of England Mayoral Combined Audit Committee Grant Thornton's West of England Combined Authority Final Auditor's Annual Report for year ending 31 March 2025.

Summary

1. The report from the External Auditors contains the following elements:

- External Auditors' assessment of value for money arrangements;
- Follow up on previous Statutory and Key recommendations
- Details of key recommendations KR7 & KR8;
- Details regarding other audit responsibilities;
- Opinion on the Financial Statements;
- Commentary on Value for Money, Financial sustainability and Governance Arrangements;

2. The Authority's External Auditors, Grant Thornton, will be in attendance at the meeting to present their report.

Contact officer: Selonge Russell Selonge.russell@westofengland-ca.gov.uk

Position: Director of Finance, Investments and Commercial (S73 Officer)

Grant Thornton

West of England Combined Authority

Final Auditor's Annual Report
Year ending 31 March 2025

18 May 2026



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The contents of this report relate only to those matters which came to our attention during the conduct of our normal audit procedures which are designed for the purpose of completing our work under the NAO Code and related guidance. Our audit is not designed to test all arrangements in respect of value for money. However, where, as part of our testing, we identify significant weaknesses, we will report these to you. In consequence, our work cannot be relied upon to disclose all irregularities, or to include all possible improvements in arrangements that a more extensive special examination might identify. We do not accept any responsibility for any loss occasioned to any third party acting, or refraining from acting, on the basis of the content of this report, as this report was not prepared for, nor intended for, any other purpose.

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01 Introduction and context

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Introduction

This report brings together a summary of all the work we have undertaken for West of England Combined Authority during 2024/25 as the appointed external auditor. The core element of the report is the commentary on the value for money (VfM) arrangements. The responsibilities of the Combined Authority are set out in Appendix A. The Value for Money Auditor responsibilities are set out in Appendix B.

Opinion on the financial statements

Auditors provide an opinion on the financial statements which confirms whether they:

- give a true and fair view of the financial position of the Combined Authority as at 31 March 2025 and of its expenditure and income for the year then ended
- have been properly prepared in accordance with the CIPFA/LASAAC Code of practice on local authority accounting in the United Kingdom 2023/24
- have been prepared in accordance with the requirements of the Local Audit and Accountability Act 2014

We also consider the Annual Governance Statement.

Auditor's powers

Under Section 30 of the Local Audit and Accountability Act 2014, the auditor of a local authority has a duty to consider whether there are any issues arising during their work that indicate possible or actual unlawful expenditure or action leading to a possible or actual loss or deficiency that should be referred to the Secretary of State. They may also issue:

- Statutory recommendations to the full Combined Authority which must be considered publicly
- A Public Interest Report (PIR).

Value for money

Under the Local Audit and Accountability Act 2014, we are required to be satisfied whether the Combined Authority has made proper arrangements for securing economy, efficiency and effectiveness in its use of resources (referred to as Value for Money). The National Audit Office (NAO) Code of Audit Practice ('the Code'), requires us to assess arrangements under three areas:

- financial sustainability
- governance
- improving economy, efficiency and effectiveness.

Our report is based on those matters which come to our attention during the conduct of our normal audit procedures, which are designed for the purpose of completing our work under the NAO Code and related guidance. Our audit is not designed to test all arrangements in respect of value for money. However, where, as part of our testing, we identify significant weaknesses, we will report these to you. In consequence, our work cannot be relied upon to disclose all irregularities, or to include all possible improvements in arrangements that a more extensive special examination might identify. The NAO has consulted on and updated the Code to align it to accounts backstop legislation. The new Code requires auditors to share a draft Auditor's Annual Report (AAR) with those charged with governance by a nationally set deadline each year, and for the audited body to publish the AAR thereafter. This new deadline requirement is introduced from November 2025.

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Local government – context

Local government has remained under significant pressure in 2024/25

National

Past



Funding Not Meeting Need

Combined authorities have seen increased investment for infrastructure and development but constituent councils face severe funding pressures as demand and demographic pressures for key statutory services increase.



Workforce and Governance Challenges

Recruitment and retention challenges in many service areas have placed pressure on governance.

Present



Financial Sustainability

Many Combined Authorities continue to face significant financial challenges, including the funding of transport.



External Audit Backlog

Combined Authorities, their auditors and other key stakeholders continue to manage and reset the backlog of annual accounts although the picture is improving.

Future



Funding Reform

The UK government plans to reform the system of funding for local government and introduce multi-annual settlements. Funding pressures are likely to continue for many constituent councils.



Reorganisation and Devolution

Many areas in England will be impacted by reorganisation and / or devolution, creating capacity and other challenges in meeting business as usual service delivery.

West of England Combined Authority (WECA or 'the Authority') was established in 2017 and includes three constituent councils - Bristol, Bath and North-East Somerset (BANES) and South Gloucestershire. The Authority is led by the directly elected Mayor supported by a management team that has grown in proportion to increasing access to funding and evolving responsibilities. WECA has a number of responsibilities primarily funded by government grants. The largest budgets relate to transport infrastructure programmes and bus services. Other areas include employment and skills and other aspects supporting economic development. The Authority has experienced a number of governance challenges and high turnover within its management team over the past 5 years culminating in a government 'best value' intervention in 2024. The current management team have worked hard to move away from this legacy and the best value notice was lifted in March 2025. WECA remains on an improvement journey supported by the new Mayor elected in May 2025.

It is within this context that we set out our commentary on the Authority's value for money arrangements in 2024/25.

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02 Executive Summary

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Executive Summary – our assessment of value for money arrangements

Our overall summary of our Value for Money assessment of West of England Combined Authority's arrangements is set out below. Further detail can be found on the following pages.

Criteria	2023/24 Assessment of arrangements		2024/25 Risk assessment	2024/25 Assessment of arrangements	
Financial sustainability	A	No significant weaknesses identified. One open improvement recommendation relating to reserves.	No significant weakness identified.	G	No significant weaknesses in arrangements identified. We note that reserve levels were at the recommended level at the end of 2024/25.
Governance	R	Three areas of significant weaknesses carry forward relating to partner relationships, programme governance and culture and behaviours.	Three potential significant risks were identified relating to Partner Relationships, Programme Governance and Leadership Culture.	R	Significant progress has been made in 2024/25 enabling us to close the two statutory and six key recommendations from prior years. There is a residual significant weakness reflecting the need to complete and embed new arrangements. We have also identified a new area of significant weakness in respect of programme governance.
Improving economy, efficiency and effectiveness	A	No significant weaknesses identified. One open improvement recommendation relating to the need to publish outcomes against the business plan.	Two potential risks of significant weakness were identified relating to programme delivery and senior staff turnover	G	No significant weaknesses in arrangements identified. We have determined that the matters identified in our risk assessment will be considered under the governance theme above. The publishing of outcomes against strategic framework priorities is now included in the annual financial statements.

G No significant weaknesses or improvement recommendations.
A No significant weaknesses, improvement recommendation(s) made.
R Significant weaknesses in arrangements identified and key recommendation(s) made.

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Executive Summary

We set out below the key findings from our commentary on the Authority's arrangements in respect of value for money.



Financial sustainability

WECA continues to demonstrate effective financial management in its core budgets. It delivered a surplus in 2024/25 that enabled a larger contribution to general reserves. This has facilitated an increase in reserves up to 5% of net revenue spend in line with our prior recommendation. The Authority has set a balanced budget for 2025/26. The medium-term financial plan sets out how service efficiencies will be used to mitigate future funding shortfalls. Future funding for bus services is a key area and the Authority is working to develop a sustainable service funded primarily by a local levy. The capital programme has generally delivered in line with forecast but the Authority is under pressure to deliver transport infrastructure programmes within the timeframe specified by the funding agreement.



Governance

The authority has made great progress in overcoming legacy challenges in governance, including removal of the government Best Value notice in March 2025. We are pleased to report that that two statutory and six key recommendations raised in prior years can now be closed. There remain areas of residual weakness to work through, particularly relating to senior staff appointments. The Authority must embed new arrangements and establish a period of stability with a renewed focus on programme delivery (see pages 9-10). A significant risk around programme governance crystallised in 2024/25, affecting the City Region Sustainable Transport Settlement (CRSTS). The new arrangements to accelerate delivery will need to demonstrate improved outcomes over the next 12 months (see pages 11-12).



Improving economy, efficiency and effectiveness

The Authority has focused on improvement for a number of years. We note the completion of the Best Value Improvement process has been augmented by delivery of a wide-ranging Organisational Improvement Plan (OIP) during 2024/25. This is designed to underpin service transformation and improvement across the organisation. The Authority has updated its performance management approach and a revised Monitoring & Evaluation (M&E) framework was developed to better assess project impact, value for money, and learning. A new CRSTS Programme Board provides challenge and support. WECA publishes performance outcomes against its strategic framework priorities as part of its annual financial statement narrative.

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Executive Summary – New Key Recommendation KR7

Significant weakness identified in relation to Governance - Embedding new arrangements to ensure good corporate governance

Key Finding

We are pleased to note the significant progress that WECA has made in improving its partner relationships, programme governance and Culture and Behaviours during 2024/25 and into 2025/26. We are satisfied that this is sufficient to enable us to close the remaining open Statutory (SR1 and SR2) and Key Recommendations (KR1-KR6) carried forward from our 2023/24 review (see pages 38-43). WECA's senior leadership acknowledge that further work is required to further strengthen governance culture within the organisation, building on the opportunity presented by the arrival of the new Mayor and the effort from all parties to move away from a legacy of poor relationships that has hampered progress in the past. Our work in 2024/25 has highlighted a number of legacy governance issues that crystallised in 2024/25. Individually these may not have constituted a significant weakness in their own right. However, collectively they reflect that legacy of poor governance and are an indicator that this will take further time to fully overcome.

We note that the current Chief Executive has acted quickly and decisively to strengthen arrangements and the supporting governance culture through the wide ranging Organisational Improvement Plan (OIP) which is being implemented. We are pleased to note that the work done under the Best Value process was such that government intervention was able to be lifted in March 2025 and we note that the Best Value Independent panel has continued to operate into 2025/26 to help support this effort. We look forward to reviewing progress in 2025/26 to consider whether this is sufficient to lift the significant weakness in governance.

Evidence

We note instances of the failure to follow the correct governance process for appointing senior staff and contractors (See pages 27 and 28). We also note a number of changes in the senior management team that have resulted directly or indirectly from this legacy, and the cost to the Authority that has arisen from the need to pay further exit payments. These have not only included statutory entitlements but also additional discretionary payments to ensure timely exit, that have cost the authority significant sums in the period under review. The payments are deemed reasonable in the context but the need to incur this type of cost is not reflective of good value for money in principle (see page 29) and we note the Authority's intent not to continue this practice in future. Finally, we note that weaknesses in programme governance around the delivery of CRSTS projects had not been detected and addressed sufficiently early, resulting in the need for a new governance framework and an accelerated delivery plan (note that we have identified this as a separate significant weakness - see page 12). In our view the context of poor relationships within WECA and the challenging working environment this created drew attention away from core operations and provides important context for these deficiencies. In that respect they are a legacy of the poor governance environment that the Authority started to move away from in 2024/25 and has made further significant progress on in the early part of 2025/26.

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Executive Summary – New Key Recommendation KR7 (continued)

Significant weakness identified in relation to Governance - Embedding new arrangements to ensure good corporate governance

Impact

The cumulative impact of the lapses in governance that have emerged indicate that there remained a residual significant weakness in governance in the year 2024/25 under review and it is appropriate that we reflect the need to complete and embed the process of improvement.

Key recommendation

KR7: WECA should complete its journey towards a strong governance culture and focus the time and effort of officers and members on its operational challenges and opportunities. In our view, a strong governance culture would be reflected by:

- The successful completion of all key aspects of the Organisational Improvement Plan (OIP).
- Embedding effective programme governance arrangements to achieve the required acceleration in the delivery of capital programmes (including CRSTS).
- The sustained development of strong constructive relationships between officers, the Mayor, constituent unitary authorities and other key partners.
- A period of stability in the WECA management team and an increased focus on operational outcomes rather than on mitigating deficiencies in governance.
- Evidence that improvements in governance culture and process compliance around the appointment of directors and senior contractors are effectively embedded.

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Executive Summary – New Key Recommendation KR8

Significant weakness identified in relation to Governance - Demonstrate effective governance to deliver the CRSTS Programme

Key Finding

The City Region Sustainable Transport Settlement (CRSTS) is a central government funding initiative aimed at enhancing local public transport networks to promote sustainability and economic growth. Established in 2021, CRSTS emerged from the UK government's commitment to address transport challenges, support regional economies and reduce carbon emissions. The West of England's CRSTS Programme has a total allocation of £616.4 million and is expected to deliver projects by March 2027. WECAs constituent councils have responsibility for delivering allocated capital projects within the programme.

WECA have identified deficiencies in the governance arrangements to ensure effective and timely delivery within the agreed timescales for the funding. We note that at the start of 2024/25, 87% of the value of projects within the CRSTS Programme had still to be delivered in the remaining three years of the programme and there was some doubt in the capacity of the supply chain to be able to deliver the majority of projects over the same reduced period of time. We note that forecast capital spend in 2025/26 is almost double that achieved in 2024/25. Significant steps have been taken to address this issue, including major changes to directorate leadership and strengthened programme governance arrangements. A paper was taken to the Combined Authority Committee in December 2024 that set out arrangements to de-risk under-delivery in the CRSTS programme. We have reviewed this paper and discussed progress with officers. The new arrangements reflect a significant step forward and should have a positive effect. However, the programme as a whole remains behind schedule. Following the departure of the former Director of Infrastructure, the Assistant Chief Executive took over management of the directorate on an interim basis from Autumn 2024 to the summer of 2025 and has overseen the implementation of the new governance arrangements. We note that a new Executive Director of Transport has now joined the Combined Authority to take the CRSTS programme forwards.

We have considered whether the deficiencies in the CRSTS Programme Governance identified and delayed outcome of capital programme delivery constitute a significant weakness in arrangements in 2024/25. In doing so we have considered the steps already taken in year by senior management to address the issues from June 2024 onwards. We are satisfied that the appropriate action has been taken but delivery of the CRSTS continues to carry a heightened risk and we recognise that over the next 12 months, WECA and the constituent councils will need to demonstrate significant progress. There are elements of this risk that are connected to the overarching significant weakness in governance that we have raised to reflect the need for the Authority to overcome past failings and strengthen overall governance arrangements (see KR7 above).

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Executive Summary – New Key Recommendation KR8 (continued)

Significant weakness identified in relation to Governance - Demonstrate effective governance to deliver the CRSTS Programme

Evidence

This finding was informed by an Internal Audit review of CRSTS Management completed in June 2024 that provided limited assurance, highlighting the lack of standardisation in project management and the lack of an effective sign-off process for key milestones. The report noted that 87% of the value of projects within the CRSTS Programme had to be delivered in the remaining three years of the programme and there was some doubt in the capacity of the supply chain to be able to deliver the majority of projects over the same reduced period of time. The current capital budget forecast data demonstrates that the programme remains significantly behind schedule due to deferred and delayed delivery.

Impact

Significant work and focus will be required to ensure that the programme is able to accelerate sufficiently to enable delivery within the timetable agreed with DfT.

Key recommendation

KR8

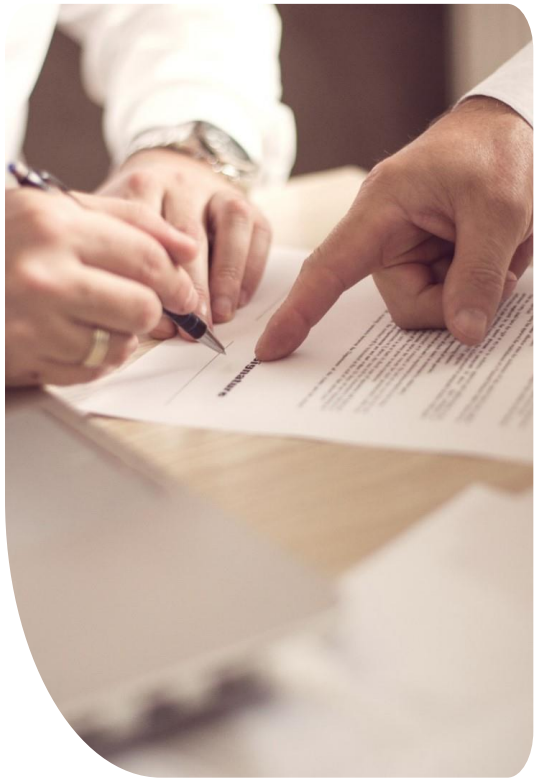
WECA must demonstrate that the improved governance arrangements lead to significant progress in delivering capital projects within the wider CRSTS programme over the next 12 months in line with the acceleration plan.

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Executive summary – auditor's other responsibilities

This page summarises our opinion on the Authority's financial statements and sets out whether we have used any of the other powers available to us as the Authority's auditors.

Auditor's responsibility	2024/25 outcome
Opinion on the Financial Statements	The Authority published its draft 2024/25 financial statements on the 2 July 2025, just missing the 30 June 2025 deadline. Delays were due to the need to ensure the document was fully accessible. We commenced our post-statements audit of these statements in late June 2025 and following presentation of our Audit Findings Report to Audit Committee in December, we issued an unqualified opinion on the Authority's 2024/25 financial statements on 8 December 2025.
Use of auditor's powers	We received an objection from a member of the public in respect of the award of contracts during the year and have been asked to consider issuing a public interest report. We also received further communications from 3 other members of the public that we have had regard to in undertaking our Value for Money responsibilities. We have now concluded our consideration of these communications. We are satisfied that the issues raised and our supplementary work in these areas does not warrant any revision to the initial judgements reported in our Interim Auditors Annual Report presented to Audit Committee in September 2025.



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Audit Fees

Following conclusion of our work in respect of the objection and matters bought to our attention we confirm below our final fees charged for the audit. There were no fees for the provision of non-audit services.

Audit fees	2023/24 Actual (£)	2024/25 Indicative at planning (£)	2024/25 Final (£)
Scale fee	120,598	134,428	134.428
ISA 315	5,020	N/A	
Fee variations for 2020/21 to 2022/23	121,000	N/A	
Fee per the Audit Plan		**134,428**	**134,428**
Additional work in respect of:			
Value for Money reflecting additional work undertaken given prior year statutory recommendations and the need for additional evidence gathering and communications with management			22,000
Wider statutory powers – consideration of an objection and wider communications from members of the public, including legal fees			41,300
IFRS 16 implementation	N/A	TBC	2,500
Audit queries in relation to exit package payments, related party disclosures, agency transactions and grants received in advance			6,500
Total final fee	**246,618**		**206,728***

* Final 2024/25 fees in addition to the scale fee await approval from PSAA being billing and payment by the Combined Authority.

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03 Opinion on the financial statements and use of auditor's powers

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Opinion on the financial statements

This page set out the key findings from our audit of the Authority's financial statements, and whether we have used any of the other powers available to us as the Authority's auditors.

Audit opinion on the financial statements

We have completed our audit of the 2024/25 financial statements.

We received the draft 2024/25 financial statements on 2 July 2025, two weeks later than anticipated in our audit plan as agreed with officers. We agreed to prioritise the Authority as a 'Phase 1' which required earlier accounts to ensure a timely finish enabling the audit team to move onto our Phase 2 audits in September. The delay in publishing the financial statements was due to the need to ensure they were fully accessible before publication, recognising the unformatted accounts were ready ahead of the national deadline.

Whilst our work did not identify any material adjustments to the financial statements, we did identify a large number of other audit adjustments, which have been corrected in the final version of the financial accounts, along with disclosure changes to improve the presentation of the financial statements.

The combination of a slightly later start and numerous changes to the accounts has resulted in additional work and a corresponding delay in concluding our work this year.

Following completion of our audit and the presentation of our ISA 260 Audit Findings Report to Audit Committee in December 2025 we issued an unqualified opinion on the 2024/25 financial statements on 8 December 2025.

Grant Thornton provides an independent opinion on whether the Authority's financial statements:

- give a true and fair view of the financial position of the Authority as at 31 March 2025 and of its expenditure and income for the year then ended.
- have been properly prepared in accordance with the CIPFA/LASAAC Code of practice on local authority accounting in the United Kingdom 2023/24.
- have been prepared in accordance with the requirements of the Local Audit and Accountability Act 2014.

We will conduct our audit in accordance with International Standards on Auditing (UK), the Code of Audit Practice (2024) published by the National Audit Office, and applicable law. We are independent of the Authority in accordance with applicable ethical requirements, including the Financial Reporting Council's Ethical Standard.

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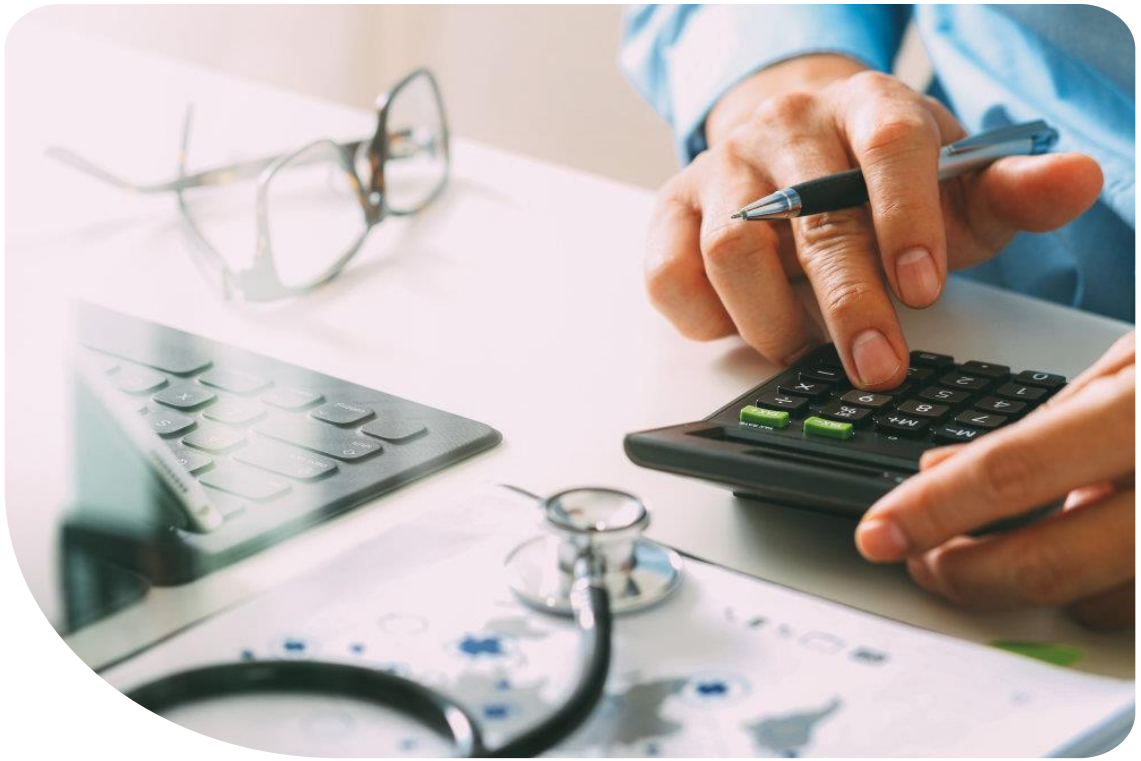
Other reporting requirements

Annual Governance Statement

Under the Code of Audit Practice published by the National Audit Office we are required to consider whether the Annual Governance Statement does not comply with the requirements of the CIPFA/LASAAC Code of Practice on Local Authority Accounting or is misleading or inconsistent with the information of which we are aware from our audit.

We are not required to consider whether the Annual Governance Statement addresses all risks and controls or that risks are satisfactorily addressed by internal controls.

Our findings were reported in our Audit Findings report with no material issues arising in this area.



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04 Value for Money commentary on arrangements

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Value for Money – commentary on arrangements

This page explains how we undertake the value for money assessment of arrangements and provide a commentary under three specified areas.

All local authorities are responsible for putting in place proper arrangements to secure economy, efficiency and effectiveness from their resources. This includes taking properly informed decisions and managing key operational and financial risks so that they can deliver their objectives and safeguard public money. Authorities report on their arrangements, and the effectiveness of these arrangements as part of their annual governance statement.

Under the Local Audit and Accountability Act 2014, we are required to be satisfied whether the Combined Authority has made proper arrangements for securing economy, efficiency and effectiveness in its use of resources. The National Audit Office (NAO) Code of Audit Practice ('the Code'), requires us to assess arrangements under three areas:



Financial sustainability

Arrangements for ensuring the Combined Authority can continue to deliver services. This includes planning resources to ensure adequate finances and maintain sustainable levels of spending over the medium term (3-5 years).



Governance

Arrangements for ensuring that the Combined Authority makes appropriate decisions in the right way. This includes arrangements for budget setting and budget management, risk management, and making decisions based on appropriate information.



Improving economy, efficiency and effectiveness

Arrangements for improving the way the Combined Authority delivers its services. This includes arrangements for understanding costs and delivering efficiencies and improving outcomes for service users.

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Financial sustainability – commentary on arrangements

We considered how the Authority:	Commentary on arrangements	Rating
identifies all the significant financial pressures that are relevant to its short and medium-term plans and builds these into them	WECA continues to demonstrate a good understanding of its financial pressures and has a successful track record of delivering to budget and generating small surpluses. The Authority reported a £1.2m underspend for the year 2024/25 which allowed it to make a £2.9 transfer to the General Reserve. This took the balance above the 5% budgeted revenue expenditure target enabling us to close our prior year recommendation to this effect. This ensures the Authority enters 2025/26 with a minimum recommended general reserve level that will help it to manage any unforeseen revenue pressures arising in future years. In addition, £3.6m was transferred to the Programme Risk Reserve to provide mitigation for any future slippage on the capital programme. Both the budget and Medium-Term Financial Strategy (MTFS) for 2025/26 indicate significant revenue expenditure and funding growth (25%). Investment income has become an important element in supporting the organisation's core costs, including staffing. As the organisation develops, more projects within the Capital Programme move from planning to delivery phases and will start to draw down and reduce cash balances available for investment. The Authority recognises that this will create a cost pressure that will have to be mitigated through efficiencies in the MTFS. Efficiency savings and transformation are used to manage medium term cost pressures. A £1.7m planned reduction in core costs will fund the organisational improvement programme. WECA is managing short-term financial risks through planned reserve use, including covering a £1.898m shortfall in the Transport Levy for 2025/26. The Combined Authority is transitioning from short-term risk management to longer-term sustainability with a clear commitment to rebuilding reserves and avoiding undue financial risk.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Financial sustainability – commentary on arrangements (continued)

We considered how the Authority:	Commentary on arrangements	Rating
plans to bridge its funding gaps and identify achievable savings	The West of England Combined Authority (WECA) has not historically required formal savings plans due to its stable funding structure and lack of front-line service pressures. However, it has arrangements in place to identify and deliver efficiencies if needed. These include a Transformation Programme funded through management-led efficiencies and a rolling programme of service reviews, in addition to collaboration with Unitary Authority Chief Executives to explore shared services and efficiency opportunities. While WECA does not face a significant unmitigated funding gap requiring immediate savings, it has identified key financial risks (e.g. transport delivery, labour market pressures, business rates uncertainty and investment income levels). It has committed to developing action plans should these risks materialise. We have sufficient assurance that WECA has appropriate arrangements in place to develop and implement savings plans if required.	G
plans finances to support the sustainable delivery of services in accordance with strategic and statutory priorities	The West of England Combined Authority (WECA) has arrangements in place to support sustainable financial planning aligned with its strategic and statutory priorities. For 2024/25, the focus was on reviewing the effectiveness and efficiency of its operations particularly within long-standing delivery directorates to ensure structures and resources are fit for purpose. For 2025/26 the organisation will need to have an even greater focus on delivery. WECA benefits from long-term funding certainty and does not face the same front-line service pressures as typical councils. Financial plans are based on available resources, providing flexibility. The only short-term service risk relates to commercial bus services where there is a necessary trade-off between the affordability of the levy charged to constituent councils and the level of service that can be provided. This is being closely monitored. WECA has appropriate arrangements in place to plan its finances sustainably.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Financial sustainability – commentary on arrangements (continued)

We considered how the Authority:	Commentary on arrangements	Rating
ensures its financial plan is consistent with other plans such as workforce, capital, investment and other operational planning which may include working with other local public bodies as part of a wider system	The Authority's MTFS incorporates demand, income and cost assumptions and makes use of scenario and sensitivity analysis. The West of England Combined Authority (WECA) ensures its financial plan is consistent with workforce, capital, investment, and operational planning. Staffing costs have been managed prudently, increasing modestly in line with inflation ensuring capacity to deliver expanding services while maintaining financial control. Although WECA does not own significant assets, budgets are in place for leased properties supporting operational delivery. A new Strategic Investment Strategy is being developed to ensure future investment decisions reflect the priorities set out in the Strategic Framework. The assurance framework supports transparent and effective management of the investment programme with clear procedures for stakeholder engagement and oversight. We note that the Authority has changed its approach to capital budget planning to focus on forecast outturn for the year, rather than using a conventional pre-determined budget and it adjusts this downward using an optimism bias adjustment that reflects historic underperformance in delivering against budget. This means that outturn is measured against an adjusted forecast with the result that actual outturn is much more closely aligned to the forecast in 2024/25. Under the new methodology, the Authority must take care that adjustments to the forecast in year do not obscure the view that members have of underspends and reprofiling against what was expected at the outset of the year when the budget was set. This is achieved by presenting the forecast at each quarter in the outturn report so that movements can be tracked.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Financial sustainability – commentary on arrangements (continued)

We considered how the Authority:	Commentary on arrangements	Rating
ensures its financial plan is consistent with other plans such as workforce, capital, investment and other operational planning which may include working with other local public bodies as part of a wider system **(continued)**	In 2025/26 we note that there is a significant step up in the forecast outturn for capital from £113.6m in 2024/25 to £204m in 2025/26. This increase is primarily relating to transport and the acceleration plan for the CRSTS programme. Risks to capital delivery, particularly the CRSTS programme, have been identified. On balance, we consider this to be an issue of programme governance rather than financial planning (see pages 11 and 12). WECA does not currently borrow but retains the ability to do so if needed particularly if local contributions to government funded programmes need to be boosted in order to progress. WECA's financial planning is well-integrated with its strategic and operational priorities.	G
identifies and manages risk to financial resilience, e.g. unplanned changes in demand, including challenge of the assumptions in underlying plans	WECA has established arrangements to identify and manage risks to financial resilience through integrated financial planning and transparent reporting. Financial risks are explicitly incorporated into the 2025/26 Budget and MTFS with a dedicated section outlining key risks and mitigation strategies. These include income volatility, rising construction costs, and delivery risks within the capital programme (particularly the CRSTS programme, which is subject to timeline slippage, supply chain constraints, and funding viability concerns). Scenario planning and sensitivity analysis are used to test financial assumptions. The Authority's reserves strategy supports financial resilience with a policy to maintain general reserves at 5% of net revenue spend. WECA's assurance framework ensures that investment programmes are managed effectively and transparently with regular reporting to members and stakeholders. Given WECA's limited service delivery role its financial risks are relatively contained and manageable. WECA has appropriate arrangements in place to identify and manage financial risks.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Governance – commentary on arrangements

We considered how the Authority:	Commentary on arrangements	Rating
monitors and assesses risk and how the Combined Authority gains assurance over the effective operation of internal controls, including arrangements to prevent and detect fraud	WECA has comprehensive arrangements in place to monitor and assess risk, ensure effective internal controls, and prevent and detect fraud. Risk management is embedded across the organisation through monthly Directorate Risk Registers, quarterly reporting to the Corporate Leadership Team (CLT) and quarterly review by the Audit Committee. The updated Risk Management Framework (March 2025) sets out the organisation's risk appetite, categories of risk, and a structured process for identifying, evaluating, and mitigating risks. Risks are RAG-rated, assigned to owners, and tracked for trends and mitigation effectiveness. Internal Audit, delivered in partnership with Bristol City Council, operates a risk-based audit plan approved by the Audit Committee. In 2024/25, 100% of planned audits were completed, with full implementation of prior recommendations confirmed. The Head of Internal Audit provided a timely opinion of reasonable assurance. We note that the Internal Audit review of CRSTS programme governance was instrumental in alerting the senior team to the issues in this area and we note that this features as a key risk on the corporate risk register. Fraud prevention is actively supported through regular fraud bulletins, staff training, and updates on the National Fraud Initiative. We note that a number of issues came to light in 2024/25 that indicate that there is still work to do in making sure that the correct processes are followed and that controls to ensure compliance are effective (see matters covered by KR1 on page 9 and 10 in the executive summary). In particular, we note the weaknesses that Internal Audit reported in the governance arrangements relating to the delivery of CRSTS programme and the resulting delay to delivering associated capital projects. We have raised this as a significant weakness in governance arrangements and new key recommendation (KR8 on pages 11 and 12 in the executive summary).	R

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Governance – commentary on arrangements (continued)

We considered how the Authority:	Commentary on arrangements	Rating
approaches and carries out its annual budget setting process	The Authority follows a structured approach to its annual budget setting process. Budget holders are actively engaged in preparing budgets for their areas of responsibility, with financial performance embedded into delivery plans and individual performance reviews. Senior managers work in consultation with the Chief Finance Officer to ensure budgets are timely, balanced, and aligned with service delivery plans, incorporating financial and non-financial performance measures. The process includes consideration of spending patterns, external funding changes, and strategic priorities. Budgets for both 2023/24 and 2024/25 were presented and approved by the Combined Authority Committee in line with this process, demonstrating consistency and accountability.	G
ensures effective processes and systems are in place to ensure budgetary control; to communicate relevant, accurate and timely management information; supports its statutory financial reporting; and ensures corrective action is taken where needed, including in relation to significant partnerships	WECA has well-established processes and systems in place to ensure effective budgetary control and financial oversight. Budget monitoring is conducted monthly at the operational level and reported quarterly to the Combined Authority Committee, enabling both tactical and strategic responses. Reports include comparisons to budget, year-to-date performance, and full-year forecasts, with clear variance analysis to support corrective action. Treasury management activities are also regularly monitored through annual and mid-year reports. Statutory financial reporting is supported by a stable and well-resourced finance team, including a permanent Section 73 Officer and senior leadership appointments made in 2024 and 2025. The budget setting process is governed by the Constitution with clear accountability for budget holders. Internal controls are further supported by a robust internal audit programme.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Governance – commentary on arrangements (continued)

We considered how the Authority:	Commentary on arrangements	Rating
ensures it makes properly informed decisions, supported by appropriate evidence and allowing for challenge and transparency, including from audit committee	WECA has significantly strengthened its governance arrangements to support informed, transparent decision-making and this has continued to improve post year end. New processes have been introduced to ensure committee papers are shared earlier in the cycle, allowing for pre-briefings between Mayors and Leaders and enabling more strategic discussion. The Chief Officers of the constituent authorities meet fortnightly and receive early sight of proposed agendas which supports collaborative planning. There is good evidence that member relationships improved greatly during the latter part of 2024/25 and no adjournments or major public disagreements arose in year. The Audit and Scrutiny Committee operates in line with statutory requirements and has access to the Cabinet's forward plan, enabling effective oversight and challenge. The Committee receives appropriate information and officer support to commission reviews and scrutinise decisions. The removal of the Best Value Notice in March 2025 reflects the improvements in political relationships and partnership working. Further development of the Constitution is still required to fully embed these changes. As a result of this progress, we have been able to close the two statutory and six key recommendations to address significant weaknesses in governance (see pages 38-43). A number of issues came to light in 2024/25 indicating there is still work to do in making sure that the organisation makes good decisions and enables effective challenge. In particular, decisions to make appointments to senior management roles under delegated authority in 2023 and to appoint contractors in 2024 did not follow the correct process, exposing the Authority to reputational and potentially legal risk. This is alongside deficiencies in CRSTS programme governance. Taken together, this indicates a residual significant risk in governance – see pages 9 and 10 and our key recommendation (KR7). Further information on these matters is set out on pages 27 to 29 including an additional Improvement Recommendation.	R

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Governance – commentary on arrangements (continued)

We considered how the Authority:	Commentary on arrangements	Rating
monitors and ensures appropriate standards, such as meeting legislative/regulatory requirements and standards in terms of staff and board member behaviour	The Authority has put in place basic arrangements to ensure appropriate standards and regulatory requirements are met which are set out in the Constitution. This includes clearly defined the roles of its key officers, the Executive and all Combined Authority committees. There are Codes of Conduct in place for members and officers which are regularly reviewed, with training provided as required. The Combined Authority maintains published registers of interests, with declarations of interest as standing agenda item for all member meetings. The Monitoring Officer manages any complaints made against members or officers, providing updates to the Standards Committee. As noted above, we are pleased to report that 2024/25 and the early part of 2025/26 has seen a major improvement in relationships between officers, members of the committee and the mayor. We note that there has been further high turnover of senior posts in 2024/25 that should be viewed in the context of the challenging governance environment over the past few years and recent attempts to stabilise the organisation. This has made it necessary to incur further costs from exit packages and negotiated settlements. We have reviewed the circumstances and deem the rationale to be reasonable in the context. The continued need to incur more of this category of cost is not reflective of good value for money in general terms. Further details on this point are included on page 29. As previously noted, a number of issues came to light in 2024/25 that indicate that there is still work to do in making sure that the correct compliance behaviours are observed. These matters also impact on our assessment of the Authority's arrangements to meet regulatory requirements in 2024/25 and are incorporated into the significant weakness described on pages 10 and 11.	R

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Governance - Issues arising in 2024/25

Part of significant weakness identified in relation to Governance (KR7)

Appointment of Contractors

During 2024 two contractors were appointed to undertake consultancy work on a temporary basis (relating to communications and organisational performance improvement). The appointment process was managed by the Authority's human resources function and relevant budget was assigned by the finance team. The candidates were engaged on a service contract basis rather than on an employee contract basis. It was subsequently found that a procurement processes should have been followed led by the procurement function to ensure that appropriate regulations were followed and that other factors such as employment status under IR35 requirements were adequately tested. This meant that the contractors had not been appointed in line with WECAs correct procurement process and were therefore in breach of WECA's internal contract procedure rules which are underpinned by the Authority's Constitution. A retrospective process to make the procurement process compliant was undertaken.

The monitoring officer determined that payments to the contractors were not unlawful and had not breached UK/EU procurement legislation but had been in breach of WECA's internal contract procedure rules. In our view, this did not present a material risk to the successful funding or delivery of services and programmes and did not result in a significant financial impact over and above what would have been incurred had the correct process been followed. There has been some reputational damage reflected in local media. The issue highlighted deficiencies in the process to appoint contractors. Failure to follow correct procurement procedures can expose the organisation to legal challenge, reputational damage and financial penalties. It is important that WECA's senior leaders recognise the importance of learning lessons from this episode and put in place additional controls, to ensure that deficiencies in procurement procedures do not become a significant weakness in the Authority's arrangements to secure value for money. We have incorporated these findings into Key Recommendation (KR7).

Improvement Recommendation

IR1: WECA should document the results of its review of the appointment of contractors and implement additional controls to ensure that the correct procurement process is followed, particularly where contractors are appointed to roles that resemble those of employees. This should include consideration of procurement and IR35 regulations. This should be reported to Audit Committee for review so that members can satisfy themselves that sufficient new controls have been implemented and that the risk has been effectively mitigated.

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Governance - Issues arising in 2024/25

Part of significant weakness identified in relation to Governance (KR7)

Appointments to senior officer roles

In 2023/24 the senior management team at that time created and amended a number of senior management posts under what was understood to be delegated authority from the Combined Authority Committee under the WECA Constitution. The original decision paper from 2023/24 had not been referred to the Combined Authority Committee or the Employment and Appointments Committee (EAC) for approval.

These changes were reviewed as part of a further management re-structure in September 2024. Following initial consideration by the current monitoring officer, an independent investigator was engaged to investigate and delivered a report to the EAC on 27 February 2025. The investigation report highlighted a number of significant governance issues. It concluded that the appointment of directors was not a matter for delegated authority and the appointments should have been formally approved by the EAC under the WECA Constitution. We note that in reaching these conclusions, King's Counsell (KC) legal advice was sought to support the interpretation of delegated powers in the constitution. We note that although the Constitution was open to interpretation to some degree, the advice received by WECA indicates that on balance the original decisions were in breach of the Constitution. We note that these decisions were made at a time when a poor state of relationships existed between senior leaders within WECA although it is not possible to draw a direct causal link.

We note that in October 2024, a new management structure was approved by EAC. This brought the appointments to the current management structure into line with Constitutional requirements. The same meeting also confirmed that there had been no financial loss resulting from honoria payments.

We have considered the issues raised and determine that the historic issues were dealt with appropriately during 2024/25. We also note the subsequent departure of all the key management team members involved in the original decision in 2023/24. We do not propose to make a separate improvement recommendation on this matter but we incorporate this into our overarching Key Recommendation on the need to embed good governance.

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Governance - Issues arising in 2024/25

Part of significant weakness identified in relation to Governance (KR7)

Severance Payments and Turnover of Senior Staff

Our work in previous years highlighted a high turnover of senior staff between the Authority's creation in 2017 and 2022, in part linked to poor internal relationships and behaviours. These departures had resulted in the organisation deciding to pay substantial exit packages to these individuals.

We note that following the departure of the Interim Chief Executive and Interim Monitoring Officer early in 2024, 2024/25 has seen a management restructure and further departures including the Strategic Director of Resources (s73 Chief Finance Officer), the Strategic Director of Infrastructure and the Director of People and Assets. Each of these departures resulted in the payment of exit packages which taken together, have resulted in further significant cost to the Authority. We note that during 2024/25 there were other settlements to conclude historic cases relating to the departure of other former senior employees. We have reviewed the reasons for the restructuring and found it to be within the bounds of what is reasonable in the circumstances.

In regard to the further use of exit payments, we note that there appears to have been insufficient grounds for dismissal on grounds of performance. We also note that redundancy was considered as an option but was felt not to make a material difference to the cost. The cumulative cost of the three exit packages agreed in year included statutory entitlements but also additional discretionary payments to ensure a timely exit. Further costs were incurred to settle historic grievances which, taken together with the cost of exit packages, came to £475,713 in total (exc. VAT). In our view, the historic lack of effective goal setting and performance management has limited the options open to WECA when managing the exit of senior managers although this is complicated by the legacy of poor relationships between senior officers, and between officers and the former Mayor, which has left the organisation with a greater exposure to legal challenge from employees. It is therefore reasonable that the Authority dealt with these issues in the way it did. The costs are significant and there may have been an opportunity to reduce this and achieve better value for money had a stronger performance management culture and better senior relationships been established over the last 5 years. It is also likely that had a healthy management culture been established at an earlier stage, the need for such a high level of turnover over the past 5 years may have been reduced.

We do not propose to make a separate Improvement recommendation on this matter but incorporate these findings into our overarching Key recommendation on the need to embed good governance, implement a more effective performance management culture and maintain stability in the senior management team.

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Improving economy, efficiency and effectiveness – commentary on arrangements

We considered how the Authority:	Commentary on arrangements	Rating
uses financial and performance information to assess performance to identify areas for improvement	WECA has established comprehensive arrangements to use financial and performance information to assess delivery and identify areas for improvement. During 2024/25, the Authority updated its performance management approach, integrating monthly Directorate Risk Registers with business planning and project management processes. Quarterly risk reports are reviewed by the Corporate Leadership Team (CLT) and escalated to the Audit Committee, ensuring member oversight. A revised Monitoring & Evaluation (M&E) framework was developed with input from Unitary Authority officers to better assess project impact, value for money, and learning. The CRSTS Programme Board provides challenge and support to ensure timely delivery of projects, and performance reporting is increasingly aligned with risk management. Financial accuracy is assured through both external and internal audit, with no issues reported in recent years. Statutory financial reporting deadlines have been met and the Authority publishes its accounts transparently online. WECA also engages in peer learning through networks such as the UK Mayor's Network, SOLACE, and CIPFA, and has acted on recommendations to benchmark against best practice in other combined authorities.	G
evaluates the services it provides to assess performance and identify areas for improvement	The Authority has established arrangements to evaluate the services it provides and identify areas for improvement through both internal and external mechanisms. Internally, performance is monitored via updated performance management and risk frameworks. WECA has undergone significant scrutiny, including a SOLACE review (2023) and working with the Independent Panel under the Best Value process. It has implemented a wide-ranging Organisational Improvement Plan (OIP) to compliment its ongoing transformation programme. Significant work has also been done to strengthen the governance and management of the transport directorate (see pages 11-12). This improvement effort culminated in the lifting of the Best Value notice in March 2025.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Improving economy, efficiency and effectiveness – commentary on arrangements

We considered how the Authority:	Commentary on arrangements	Rating
ensures it delivers its role within significant partnerships and engages with stakeholders it has identified, in order to assess whether it is meeting its objectives	The Authority has established arrangements to ensure it delivers effectively within significant partnerships and engages with stakeholders to assess progress against its objectives. Collaborative working with the constituent councils is fundamental to its strategic delivery. This is evidenced by the updated Statement of Common Ground (April 2024) which coordinates planning across housing, infrastructure, climate, and economic development. WECA also works closely with local councils on transport integration and other areas through its Strategic Framework. Governance arrangements for partnerships are clearly defined in the Constitution, requiring the appointment of Link Officers to oversee performance, governance, and risk. Partnerships are subject to annual reviews and regular risk assessments, with performance indicators in place to monitor contributions toward shared goals—such as those in the Climate and Ecological Strategy and Action Plan. WECA participates in multiple peer networks (e.g. UK Mayor's Network, LEP, SOLACE, CIPFA), promoting learning and best practice. While prior reviews noted inconsistent performance reporting, management is addressing this through a centralised corporate reporting framework and a refreshed Monitoring & Evaluation (M&E) framework. The CRSTS Programme Review Board now operates as business-as-usual, providing challenge and support to ensure timely project delivery. There is no evidence of financial loss from partnership working, and the removal of the Best Value Notice in 2025 reflects improved governance and collaboration.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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Improving economy, efficiency and effectiveness – commentary on arrangements (continued)

We considered how the Authority:	Commentary on arrangements	Rating
commissions or procures services, assessing whether it is realising the expected benefits	The Authority has structured arrangements in place to assess whether it is realising the expected benefits from commissioned or procured services supported by a well-resourced procurement team. All capital and revenue projects funded by WECA must include a Monitoring & Evaluation (M&E) Plan as part of their business case, which is independently appraised under the Local Growth Assurance Framework. Progress on delivery, including financial performance and adherence to timescales, is reported quarterly to the WECA and Joint Committee. WECA's Commercial Strategy and Procurement Policy promote transparency, fair competition, and alignment with environmental goals. Procurement decisions are increasingly informed by market conditions and delivery risks, with feedback loops and shared data environments supporting evidence-based decision-making. While no major new commercial ventures were entered into during 2024/25, procurement regulations were updated in February 2025 and communicated via the website. Risks to programme delivery relating to commissioning and procurement, particularly within the CRSTS programme, are actively monitored through the corporate risk register and internal audit, with mitigation strategies in place. WECA also works closely with constituent councils to align procurement efforts, especially in transport and infrastructure.	G

G	No significant weaknesses or improvement recommendations.
A	No significant weaknesses, improvement recommendations made.
R	Significant weaknesses in arrangements identified and key recommendation(s) made.

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05 Summary of Value for Money Recommendations raised in 2024/25

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Key recommendations raised in 2024/25

	Recommendation	Relates to	Management Actions
KR7	WECA should complete its journey towards a strong governance culture and focus the time and effort of officers and members on its operational challenges and opportunities. In our view, a strong governance culture would be reflected by: • The successful completion of all key aspects of the Organisational Improvement Plan (OIP). • Embedding effective programme governance arrangements to achieve the required acceleration in the delivery of capital programmes (including CRSTS). • The sustained development of strong constructive relationships between officers, the Mayor, constituent unitary authorities and other key partners. • A period of stability in the WECA management team and an increased focus on operational outcomes rather than on mitigating deficiencies in governance. • Evidence that improvements in governance culture and process compliance around the appointment of directors and senior contractors are effectively embedded.	Governance (pages 9–10)	**Actions:** Regular reporting on the OIP progress to provide ongoing assurance. **Responsible Officer:** Stephen Peacock **Due Date:** To be reviewed in 12 months time.

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Key recommendations raised in 2024/25

	Recommendation	Relates to	Management Actions
KR8	WECA must demonstrate that the improved governance arrangements lead to significant progress in delivering capital projects within the wider CRSTS programme over the next 12 months in line with the acceleration plan.	Governance (pages 11–12)	**Actions:** • Early Works funding process to enable some construction related activities to be undertaken ahead of FBC, (such as ground investigation works, surveys) to help reduce risk during delivery. • Light touch business case approach approved at July 2024 Committee to help reduce the development time needed for smaller, less complex schemes. Includes a three-tier approach: • Active Travel Scheme Approach (ATSA) - for schemes less than £5m in value and deemed low risk • Low Risk Traffic Scheme (LRTS) for schemes +£5m-£10m in value and deemed medium risk. • Complete three case model for schemes +£10m in value and/or high risk. • Governance - Fortnightly CRSTS Programme Board meetings – Terms of Reference and Delegations in place. Delegations in place to CEOs for all escalations from CRSTS Board. • Reporting - Monthly programme reports including reporting of spend rates, spend to date, cost of work done, funds awarded / funds left to award. • Assurance - PMO stage gates and assurance reviews to be undertaken and reported to the board. • CRSTS re-baseline exercise to be taken to MCA Committee in Autumn 2025 to confirm funding allocations and programme plan for remainder of programme timeline. **Responsible Officer:** Emma Blackham **Due Date:** To be reviewed in 12 months time.

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Improvement recommendations raised in 2024/25

	Recommendation	Relates to	Management Actions
R1	WECA should document the results of its review of the appointment of contractors and implement additional controls to ensure that the correct procurement process is followed, particularly where contractors are appointed to roles that resemble those of employees. This should include consideration of procurement and IR35 regulations. This should be reported to Audit Committee for review so that members can satisfy themselves that sufficient new controls have been implemented and that the risk has been effectively mitigated.	Governance (page 27)	**Actions:** Agreed **Responsible Officer:** Selonge Russell and Bob Brown **Due Date:** March 2026

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06 Follow up of previous Statutory and Key recommendations

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Executive Summary: Statutory recommendations closed in 2024/25

	Recommendation	Relates to	Update on progress	Status
SR1	The Mayor and members of the Combined Authority represented by the Combined Authority Leaders, must commit to improving their working relationship and demonstrate that significant progress has been made within a reasonable timeframe to be determined by the Mayor and Combined Authority. This should include a role for independent mediation and the constructive consideration of advice arising from this process.	Governance Partner Relationships	In our view the Best Value process has helped galvanise the Authority's effort to improve working relationships between the partners. During 2024/25 we spoke with the current WECA management team, the new Mayor, the deputy Mayor and leader of BANES and the senior management teams of South Gloucestershire and North Somerset (the latter are not members of WECA but collaborate on BSIP and other programmes and are in discussion to join WECA in the future). The feedback was consistent that under the new WECA Chief Executive and Mayor, relationships had improved significantly, particularly at a political level. A significant step forward has been the appointment of the leader of BANES to the role of deputy Mayor since May 2025. We note that at senior officer level, significant progress had been made under the leadership of the WECA Chief Executive throughout 2024/25. Prior to the departure of the former Mayor, it was noted that, following his election to parliament in July 20204, he had participated sufficiently to enable WECA business to be progressed. We note from our review of Combined Authority Committee meetings that there had been no examples of further adjournments, walkouts or refusals to participate from members of the Committee that had characterised our findings in previous years. **On balance, we are satisfied that sufficient progress on improving relationships was made in 2024/25 and that this has gained significant momentum since the arrival of the new Mayor in May 2026. We therefore consider it appropriate to close this Statutory Recommendation. Any residual risk that the improvement in relationships may not be sustained is covered by our new Key recommendation (KR7).**	Closed

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Executive Summary: Statutory recommendations closed in 2024/25

	Recommendation	Relates to	Update on progress	Status
SR2	A formal protocol should be agreed between member organisations within the Combined Authority to commit to consultation on key proposals, that they should define, at an earlier stage. Combined Authority members should engage effectively in this process, to help mitigate points of contention before they are published and debated in public. This should include a commitment to deliver proposals on a reasonable timetable.	Governance Partner Relationships	We note that the level of consultation on key proposals has greatly improved, including the use of pre-meetings between senior officers and the leaders of the constituent councils of WECA ahead of the public Combined Authority Committee meetings. Although the former Mayor did not participate, in line with his stated views about only wishing to debate issues in public, WECA was represented by the Chief Executive during 2024/25 and the Mayor's views were able to be reflected in these discussions. We note that since May 2025, the new Mayor is now attending these meetings in person. The consultation process has also been underpinned by regular meetings of Officer groups (Chief Executives, Chief Finance Officers, Transport etc.). We note from our review of Combined Authority Committee Meetings and from discussion with stakeholders that WECA business has been able to progress more smoothly than in prior years. **On balance, we are satisfied that sufficient progress on improving relationships was made in 2024/25 and that this has gained significant momentum since the arrival of the new Mayor in May 2026. We therefore consider it appropriate to close this Statutory Recommendation.**	Closed

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Executive Summary: Key recommendations closed in 2024/25

	Recommendation	Relates to	Management Actions	Status
KR1	We note that the recommendations set out in the S5/114 report were an effective response to the governance and control deficiencies that were identified. We support these changes to the process and recommend that they be implemented in full and embedded by the Combined Authority management team and the Mayor.	Governance Programme Governance	This Key Recommendation was specific to an issue that had arisen in 2023 where the Mayor's Office incurred expenditure on the BSIP programme in breach of existing governance arrangements, enabled by weak financial controls. We are satisfied that new procedures implemented have had time to embed. No further instances of programme expenditure controls being subverted or bypassed has arisen in 2024/25. On balance, we are satisfied that the new programme governance arrangements should be sufficient to mitigate the risk of re-occurrence. Developments in organisational structure, personnel and management culture have significantly changed the decision-making environment that facilitated the unlawful expenditure. **We consider it appropriate to close this Key Recommendation. There remains a residual risk around programme governance which we have now reflected and consolidated under the new KR7 and IR1.**	Closed

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Executive Summary: Key recommendations closed in 2024/25

	Recommendation	Relates to	Management Actions	Status
KR2	The Mayor should engage with officers to identify potential barriers to a more collaborative working environment and develop actions to address these. This should be agreed to in the form a written protocol or similar alternative. This should include: • Actions to mitigate the risk of separation between the Mayor's office and the wider Combined Authority management team developing in future. • Consideration of the role of a senior officer and/or deputy mayor to support the Mayor and the specific tasks and responsibilities that would be assigned. • Re-establish clear role boundaries to ensure that officers are free to discharge their duties and that the Mayor's role in regard to operational matters is clear. • Implementation of regular diarised catch-ups between the Mayor and all key officers, that meet the needs of both parties. • The preservation of other informal but direct lines of communication between senior officers and the Mayor to provide sufficient direct access outside of diarised catch-ups.	Governance Culture and behaviours	This key recommendation was directed specifically at the former Mayor and the former management team in post at the time to address challenges in engagement between them. No such challenges have arisen under the new Mayor and current management team. **Following key departures from the organisation and the improvement in relationships under the new Mayor and Chief Executive, this key recommendation is no longer relevant and is therefore closed.**	Closed

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Executive Summary: Key recommendations closed in 2024/25

	Recommendation	Relates to	Management Actions	Status
KR3	All parties within the Combined Authority must work together in a professional and respectful way. The Mayor, members of the Mayor's office and other senior Combined Authority officers must create and maintain a high quality of regular professional discourse and cooperation that is consistently applied across the organisation.	**Governance** Culture and behaviours	This key recommendation was directed at the poor relationships between the Mayor and senior officers that had developed during 2023/24. The management team changed significantly over the course of 2024/25 and all three statutory officers concerned had departed by the end of the period. The Mayor also departed the organisation effectively in April 2025 and on the election of a new Mayor on 1st May 2025. No such challenges have arisen under the new Mayor and the current management team. **Following the departure of the former senior officers and Mayor from the organisation and the improvement in relationships under the new Mayor and Chief Executive, this key recommendation is no longer relevant and is therefore closed.**	Closed
KR4	We strongly recommend that the Mayor should attend the agenda pre-meet sessions for the Combined Authority Committee. The Mayor should also support officers in achieving greater transparency in the sharing of documents ahead of a discussion and help them ensure that adequate time is built in ahead of the Committee meeting to allow any last-minute issues to be dealt with by Combined Authority officers and the Mayor.	**Governance** Partner Relationships	This key recommendation was directed specifically at the former Mayor. No similar challenges have arisen under the new Mayor and current management team who are fully engaged in the Committee pre-meeting process. **Following the former Mayor's departure from the organisation and the improvement in relationships under the new Mayor and Chief Executive, this key recommendation is no longer relevant and is therefore closed.**	Closed

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Executive Summary: Key recommendations closed in 2024/25

	Recommendation	Relates to	Management Actions	Status
KR5	The Combined Authority members should commit to making sure that all constituent bodies are represented at meetings of the Combined Authority Committee. This is particularly important when the option to move the meeting is not possible as in the case of the issue of a S5 or 114 report. On such matters Combined Authority members must take advice from the statutory Officers of the Combined Authority in order to ensure that statutory responsibilities are met.	Governance Partner Relationships	This key recommendation was originally directed at the other members of the Combined Authority Committee, with specific reference to the abstention of Bristol City Council from the process to address the unlawful spend arising from the 'Bus Wrap' issue. As noted in the update on SR1 above, in our view the Best Value process has helped galvanise the Authority's effort to improve working relationships between the partners. Feedback from stakeholders was consistent that relationships had improved significantly, particularly at a political level. **We are satisfied that sufficient progress on improving relationships was made in 2024/25 and in 2025/26 to close this recommendation. Any residual risk that improved relationships may not be sustained is covered by our new Key Recommendation (KR7).**	Closed
KR6	Given the significance of the role of North Somerset Council in the region, including the BSIP programme and the transition of the LEP responsibilities, we recommend that the relationship between this body and the Combined Authority are strengthened, as part of a wider effort to engage more effectively with other key partners in the region.	Governance	We note that relationships between WECA and North Somerset Council has greatly improved. The new Mayor has taken a different approach and discussion with stakeholders opened the possibility that North Somerset may join WECA as a full member at some time in the future. Work is underway to establish a Business Board that will replace the work of the LEP and provide for full participation from North Somerset (expected to be in place by October 2025). **While the new arrangements for LEP activity were not implemented in 2024/25, we feel it appropriate that the improved level of engagement is sufficient to close this Key Recommendation.**	Closed

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07 Appendices

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Appendix A: Responsibilities of the Combined Authority

Public bodies spending taxpayers' money are accountable for their stewardship of the resources entrusted to them. They should account properly for their use of resources and manage themselves well so that the public can be confident.

Financial statements are the main way in which local public bodies account for how they use their resources. Local public bodies are required to prepare and publish financial statements setting out their financial performance for the year. To do this, bodies need to maintain proper accounting records and ensure they have effective systems of internal control.

All local public bodies are responsible for putting in place proper arrangements to secure economy, efficiency and effectiveness from their resources. This includes taking properly informed decisions and managing key operational and financial risks so that they can deliver their objectives and safeguard public money. Local public bodies report on their arrangements, and the effectiveness with which the arrangements are operating, as part of their annual governance statement.

The Authority's Chief Finance Officer is responsible for preparing the financial statements and for being satisfied that they give a true and fair view, and for such internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The Chief Finance Officer (s73) is required to comply with CIPFA/LASAAC code of practice on local authority accounting in the United Kingdom. In preparing the financial statements, the Chief Financial Officer is responsible for assessing the Authority's ability to continue as a going concern and use the going concern basis of accounting unless there is an intention by government that the services provided by the Combined Authority will no longer be provided.

The Combined Authority is responsible for putting in place proper arrangements to secure economy, efficiency and effectiveness in its use of resources, to ensure proper stewardship and governance, and to review regularly the adequacy and effectiveness of these arrangements.



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Appendix B: Value for Money Auditor responsibilities

Our work is risk-based and focused on providing a commentary assessment of the Authority's Value for Money arrangements

Phase 1 – Planning and initial risk assessment

As part of our planning, we assess our knowledge of the Authority's arrangements and whether we consider there are any indications of risks of significant weakness. This is done against each of the reporting criteria and continues throughout the reporting period.

Phase 2 – Additional risk-based procedures and evaluation

Where we identify risks of significant weakness in arrangements, we will undertake further work to understand whether there are significant weaknesses. We use auditor's professional judgement in assessing whether there is a significant weakness in arrangements and ensure that we consider any further guidance issued by the NAO.

Phase 3 – Reporting our commentary and recommendations

The Code requires us to provide a commentary on your arrangements which is detailed within this report. Where we identify weaknesses in arrangements we raise recommendations.

A range of different recommendations can be raised by the Authority's auditors as follows:

Statutory recommendations – recommendations to the Combined Authority under Section 24 (Schedule 7) of the Local Audit and Accountability Act 2014.

Key recommendations – the actions which should be taken by the Combined Authority where significant weaknesses are identified within arrangements.

Improvement recommendations – actions which are not a result of us identifying significant weaknesses in the Authority's arrangements, but which if not addressed could increase the risk of a significant weakness in the future.

Information that informs our ongoing risk assessment

Cumulative knowledge of arrangements from the prior year	Key performance and risk management information reported to the Executive or full Combined Authority Committee
Interviews and discussions with key stakeholders	External review such as by the LGA, CIPFA, or Local Government Ombudsman
Progress with implementing recommendations	Regulatory inspections such as from Ofsted and CQC
Findings from our opinion audit	Annual Governance Statement including the Head of Internal Audit annual opinion

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Appendix C: Follow up of 2023/24 improvement recommendations

	Prior Recommendation	Raised	Progress	Current position	Further action
21	We recommend that the Constitution be reviewed, as previously considered by Combined Authority members. This should incorporate the new Monitoring Officer protocol but also focus on the specific ambiguities raised in recent legal advice including the definition of statutory roles, delegated powers, managing conflicts of interest, decisions on all senior staffing matters including restructure and severance. The results should be reported to Committee and used alongside the points we have raised as a basis for revision. There may be value in reviewing other Combined Authority constitutions to optimise the opportunity to improve the document in these areas.	2022/23	A £2.9m transfer was made to the General Reserve during the year, taking the balance above the £6.0m target. This ensures the Authority enters 2025/26 with a minimum recommended reserve level and maintains resilience across the full Medium-Term Financial Strategy (MTFS) period. In addition to strengthening the General Reserve - £3.6m has been transferred to the Programme Risk Reserve to provide cover as capital delivery accelerates. West of England MCA will continue to place a strong focus on building the levels of reserves.	Closed	No

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Appendix C: Follow up of 2023/24 improvement recommendations

	Prior Recommendation	Raised	Progress	Current position	Further action
22	We recommend that the Constitution be reviewed, as previously considered by Combined Authority members. This should incorporate the new Monitoring Officer protocol but also focus on the specific ambiguities raised in recent legal advice including the definition of statutory roles, delegated powers, managing conflicts of interest, decisions on all senior staffing matters including restructure and severance. The results should be reported to Committee and used alongside the points we have raised as a basis for revision. There may be value in reviewing other Combined Authority constitutions to optimise the opportunity to improve the document in these areas.	2020/21	There is now a full project plan for the completion of the constitutional review. This is time-tabled with key Milestones and has been signed off by the MO as the SRO. Delivery will monitored through Organisational Improvement Programme and its board chaired by the CEO. The review will pick up the issues in this recommendation and will also ensure that the recommendations from the BV Improvement Panel are included as well preparing the constitution for the accession of North Somerset and the requirements of the English Devolution and Community Empowerment Bill. *Completion of the OIP programme, including the review of the Constitution, is now incorporated into KR7, therefore this recommendation is superseded.*	Closed	No

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Appendix C: Follow up of 2023/24 improvement recommendations

	Prior Recommendation	Raised	Progress	Current position	Further action
IR3	External support continues to be used as required to support the Transformation Programme (for example, SOLACE have delivered a 'one year on' update to their independent peer review. External support to the Combined Authority will also be provided via the Independent Improvement Panel that is being put in place to respond to the Best Value Notice.	2021/22	A report was taken to January 2025 committee setting out how all the actions from the Transformation Programme have been taken forward including those that originated from the Solace report.	Closed	No
IR6	The Combined Authority should publicly publish its performance against its Business Plan.	2021/22	Progress against priorities is published as part of the narrative section of the annual report on accounts. The corporate performance function is under development as part of the OIP Programme.	Closed	No

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WEST OF ENGLAND | MAYORAL COMBINED AUTHORITY

REPORT TO: **WEST OF ENGLAND MAYORAL COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **QUARTERLY CORPORATE RISK REGISTER**

RESPONSIBLE OFFICER: **DIRECTOR OF FINANCE, INVESTMENT AND COMMERCIAL**

Key Decision	**No**
Purpose of Report To present the Corporate Risk Register (CRR), which is a standing quarterly item for the Committee's consideration.	
Recommendation That the Committee notes and comments on the Corporate Risk Register (CRR).	
Reasons for recommendation To provide Audit Committee members with the opportunity to review and comment on the Corporate Risk Register (CRR), assess whether the level of assurance provided against the identified risks is sufficient.	
Voting arrangements Not applicable	
Publication Requirements For publication	

Background

1. As part of the Mayoral Combined Authority's (MCA) ongoing commitment to effective and proactive risk management, this report presents the findings of the quarterly review of the Corporate Risk Register (CRR). The review considers the principal strategic risks currently facing the MCA. The CRR contains the most significant ongoing and long-term risks that could affect the delivery of the MCA's objectives and priorities. These risks are owned and managed by members of the Corporate Leadership Team.

2. The review has been undertaken in accordance with the Corporate Risk Framework, which was developed and implemented in 2024 and approved by the West of England Combined Authority Committee on 26 July 2024. The Framework sets out the MCA's approach to identifying, assessing, managing, and monitoring risks to the achievement of its strategic objectives. The Framework underwent its annual review in early 2026, with the refreshed version endorsed by the Audit Committee in March 2026.

3. The refreshed Framework was approved by the West of England Combined Authority Committee in June 2026; however, the enhancements introduced through the refresh have not yet been applied to the current quarter's review. This reflects the lead time required for risk data collection and assessment, alongside the need to provide updated guidance, training, capability support and communications to support effective implementation.

4. As part of the MCA's ambition to operate as a mature Strategic Authority, the Corporate Risk Framework has been strengthened to support a more proactive and risk-informed approach to decision-making. Enhancements include revised risk categories and inclusion criteria, updated risk appetite statements, the introduction of opportunity risk, and clearer residual risk thresholds and escalation triggers. Together, these changes are intended to improve the consistency, transparency and effectiveness of strategic risk management across the organisation.

5. As part of the phased implementation of the refreshed Framework, work is underway to embed the revised risk appetite approach. Subject to implementation progress and assurance of the underlying assessments, it is anticipated that risk appetite reporting for the principal corporate risks will be introduced from the October 2026 Audit Committee report onwards.

The Corporate Risk Register (CRR) and Directorate Risk Registers (DRR)

6. This section summarises the organisation's Corporate Risk Framework and the relationship between Directorate Risk Registers (DRRs) and the Corporate Risk Register (CRR). It also reflects ongoing development through the Organisational Improvement Programme (OIP) to strengthen risk management arrangements, improve consistency of application, and further embed the Corporate Risk Framework across the organisation.

7. The CRR is presented quarterly to the Corporate Leadership Team (CLT) for approval prior to submission to the West of England Mayoral Combined Authority Audit Committee.

8. The CRR is informed by quarterly analysis of risks from DRRs, which are updated monthly and are owned at Director level, with Heads of Service acting as key risk owners for individual risks. DRRs provide the primary mechanism for identifying, assessing, and escalating risk across the organisation.

9. The Corporate Risk Review Group (CRRG) provides the key governance forum for reviewing and calibrating risks escalated from DRRs for inclusion in the CRR. It brings together Heads of Service and senior officers to ensure risks are appropriately defined, consistently scored, and aligned to the organisation's risk appetite and strategic priorities. The Group also supports two-way assurance by ensuring corporate risks are understood and reflected back into directorate-level planning and controls. In addition, it contributes to the draft CRR and 'Risks for Awareness' list prior to CLT review. The 'Risks for Awareness' list is used to draw attention to emerging or significant risks based on their rating, potential impact, and organisational relevance.

10. DRRs are presented to CLT on a regular basis, highlighting key strategic and cross-cutting risks and supporting assurance over mitigations, escalation thresholds, and emerging risks. Interim arrangements remain in place following the recent leadership restructure, with ongoing work to confirm future ownership and alignments as part of the Target Operating Model.

11. This work forms part of the wider OIP focus on strengthening risk management maturity and assurance. This includes improving governance through the CRRG, enhancing consistency of risk reporting, and clarifying escalation pathways.

12. Alongside this, work is progressing through the Architecture Clinic with Digital and Data colleagues to explore the implementation of risk management software. This is being designed with appropriate governance and system integration in mind and, subject to approvals, is expected to progress within the current calendar year, supporting improved visibility, reporting, and decision-making across all levels of the organisation.

13. Directorate risk register responsibilities as of May 2026 are set out on the following page and may change following implementation of the Target Operating Model.

14. Directorate risk register areas of scope and ownership as of May 2026:

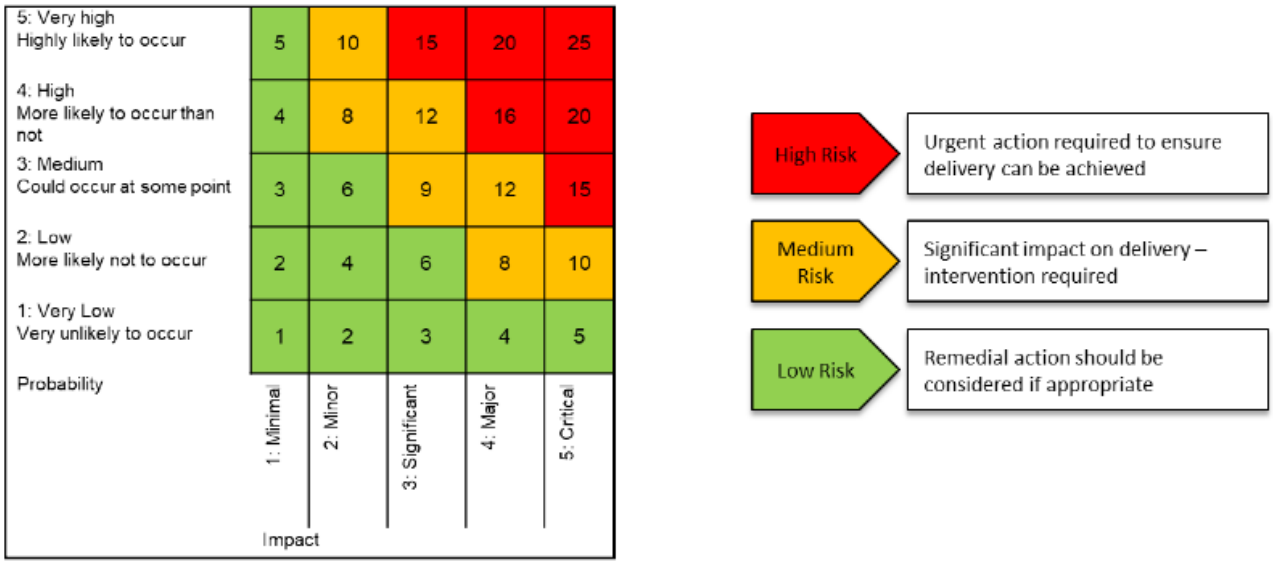
Directorate Risk Register	Risk Scope	Owner
Finance Investment and Commercial	Commercial, Finance and Investment activity. Grant Management and Assurance, The Fraud Risk Register.	Director of Finance Investment and Commercial
Law and Governance	Litigation, Lawful decision making, Corporate Governance and Compliance, Digital & Data and Democratic Services	Director of Law and Governance
Transport	Capital Delivery, Transport Programmes (Rail and Major Programmes), Bus Operations and Transport Strategy.	Executive Director of Transport
Strategy	Digital Transformation, Policy, Analysis and Evaluation.	Director of Strategy
Delivery and Operations	Corporate Performance, Programme Management Office, Transformation, Net Zero Delivery, Employment and Skills, Integrated Delivery. Health and Safety and Business Support related risks.	Director of Delivery and Operations
HR and Operational Development	HR Policy, People Management, Learning and Development.	Director of Delivery and Operations
Place	Homes and Regeneration, Place strategy, Climate and Nature Delivery. using, planning and sustainable regeneration.	Director of Homes and Regeneration
Partnerships & Stakeholders	Partnership strategic and operational risks. Communication and marketing. Includes Enterprise, Inward Investment and Innovation, Creative and Cultural Economy.	Director of Partnerships and Stakeholders

The Corporate Risk Register Q1 2026

15. The Corporate Risk Register (CRR) overview is at Appendix 1 and at Appendix 2 Detailed Corporate Risk Registers with mitigations. The CRR sets out the key risk that could threaten the MCA's core business and way it operates. The register details existing controls that provide some level of assurance and identifies planned actions being undertaken to mitigate these risks.

16. Assessment of each risk has been performed in accordance with the current Corporate Risk Framework. The impact of each risk is evaluated on a five-point scale, with one representing a minimal risk and five a critical risk as shown below in Figure 1.

Figure 1: West of England Mayoral Combined Authority risk scoring matrix



17. When we make our overall assessment of the risk, we include all existing controls / mitigation activity, thereby ensuring our risk assessment reflects the effectiveness of the current control environment.

18. A total of eight risks are recorded on the Corporate Risk Register, each assessed as representing a genuine corporate-level risk. These are summarised below:

- All risks are initially assessed as High (risk score 15–20) before mitigation; however, no risks remain rated as High following the implementation of mitigating actions.

- For clarity, risks rated as High correspond to a Red RAG status. Following mitigation, all risks are reduced to Amber (Medium), indicating that active management and ongoing intervention remain required.

Changes to the Corporate Risk Register

19. Control measures across the Corporate Risk Register have been reviewed and updated. All risk descriptions, scoring and mitigations have been refreshed as of May 2026, resulting in a re-ordering of risks. The most substantive changes since the Register was last reported to the Audit Committee on 02 March 2026 are set out below.

20. **CRR14**, **'There is a significant risk that the Mayoral Combined Authorities and unitary authorities cannot deliver all of the CRSTS programme funding model and projects'**

    20.1. The gross risk score has reduced from 25 to 15 (from critical to major) and the residual risk score from 12 to 10 (medium). This reflects improved delivery confidence following programme rebase lining, increased certainty over funding and timescales to 2029, and strengthened governance and reporting arrangements.

    20.2. The residual reduction reflects that key mitigations are now embedded in programme management and are improving oversight, early warning, and control over delivery. While the risk remains significant due to programme scale and complexity, the likelihood of non-delivery is now assessed as lower.

21. **CRR17, 'Poor quality performance and project management',**

    21.1. This risk has been de-escalated from the Corporate Risk Register due to a low residual score (8) and effective Directorate-level controls. It is retained on the High-Level Risk Register for CLT awareness but is proposed for removal from the CRR. Mitigations remain in place and effective. Controls and progress for CRR17 include:

    21.2. A corporate performance framework, including KPIs covering organisational health, delivery activity and outcomes, is in place and supporting performance discussions.

    21.3. A KPI data management tool has been developed to improve the efficiency and consistency of reporting.

    21.4. An organisational project tracker is in development as a single repository for project information, including financial and delivery data, status updates, and performance reporting, to strengthen data quality, consistency and visibility of delivery performance.

22. CRR6 – 'Global instability risk'

    22.1. Inherent risk score increased from 16 to 20, reflecting heightened macroeconomic and inflationary pressures.

22.2. Risk has moved to 2nd position on the Corporate Risk Register, indicating an upward trend in significance.

22.3. Risk description and impact statement updated to better reflect current cost pressures affecting programme affordability and delivery.

23. **CRR5 – 'Funding real-terms reduction/ Investment Fund risk'**

23.1. CRR5 has been reframed to focus more clearly on the impact of funding constraints on delivery capacity and strategic outcomes. While the headline has moved away from technical financial terminology, the supporting narrative continues to reflect the key drivers of risk, including the fixed nominal value of the Devolution Deal settlement, inflationary pressures and the timing mismatch between funding availability and investment commitments.

23.2. FIN011 (*The Investment Fund spend must be more closely aligned with the annual funding award, as prior underspends have now been absorbed. Failure to manage this could impact the delivery of current projects, including those concluding in 2025/26, constrain core activities, and limit the ability to pursue new opportunities*) previously held on the Financial Risk Register scored highly enough to be reviewed alongside CRR5. Given the overlap in risk drivers and impacts, these two risks have now been merged into a single Corporate Risk Register entry, providing a clearer and non-duplicative view of the financial constraints affecting programme delivery.

23.3. Mitigations have been consolidated and grouped into thematic areas to improve clarity and alignment. Risk scoring remains under review as part of the merger process.

24. CRR19 - 'Reaching Strategic Authority Status'

24.1. Once the new Opportunity Framework is approved, this item would be a strong candidate to be reclassified as an opportunity given the clear strategic benefits associated with achieving Established Strategic Authority status. In the interim, the risk has been reframed to appropriately reflect the associated upside within the existing risk management framework.

25. CRR10 – 'Workforce Capacity and Capability Risk'

25.1. CRR10 has been revised to broaden its focus from workforce attraction and retention to workforce capability, resilience and the retention and development of critical skills and knowledge. The change reflects the view that the principal risk is the organisation's ability to maintain the workforce capacity and capability required to deliver its strategic priorities.

25.2. Whilst the Target Operating Model (TOM) has heightened the risk through increased workforce uncertainty, organisational change is recognised

as a current risk driver rather than the core risk itself. The TOM also presents an opportunity to strengthen organisational capability, align resources more effectively to strategic priorities and build a more resilient operating model for the future.

Alternative Options Considered

26. No alternative options are considered appropriate. The Corporate Leadership Team has reviewed the Corporate Risk Register and is satisfied that it appropriately reflects the principal strategic risks facing the MCA.

27. Reporting the Corporate Risk Register to the Audit Committee is an established component of the MCA's governance and assurance framework. Not doing so would reduce oversight of strategic risks and would not align with recognised risk management good practice.

Consultation and Engagement

28. The risk registers are produced with engagement with risk and mitigation owners. The management of risk is a responsibility of all staff at the Mayoral Combined Authority and roles and responsibilities are set out in the Corporate Risk Framework (Section 46). Individual Directorate Risk registers are periodically reviewed by CLT. Risk escalation follows project and programme reviews of the risks and mitigations, on to the Directorate risk registers and vetting and assurance by the Corporate Risk Review Group before being presented to CLT.

29. The West of England Combined Authority Audit Committee provide independent assurance of the risk management framework and requested to be kept informed and to be able to provide comment on, and input to any proposed updates.

Key Risks

30. The draft CRR at Appendix 1 comprises strategic and significant risks with their scores and mitigations in severity order compiled in line with the current Corporate Risk Framework. Without an up-to-date formal Corporate Risk Framework the MCA will not be able to anticipate and take preventative action to avoid risk and will instead incur time and cost in managing the consequences of unplanned events.

31. Failure to correctly identify and manage risk appropriately and proportionately could result in the MCA not achieving its objectives, leading to significant reputational damage and affect our relationships with local authority partners and Government.

Diversity, Equity, and Inclusion Implications

32. The Corporate Risk Register report is an assurance and governance document which provides an update on the MCA's principal organisational risks. The report

itself does not introduce new policies, services, programmes or decisions that would directly affect staff, residents, businesses or communities with protected characteristics. Equality considerations are therefore addressed through the management of individual risks and any associated programmes, projects, policy decisions or mitigation activities where potential impacts may arise.

33. Where relevant, Equality Impact Assessments will be undertaken at that level to ensure the MCA continues to meet its responsibilities under the Equality Act 2010 and the Public Sector Equality Duty. An initial EqIA screening has been undertaken on risk reporting and will be reviewed periodically, or when the content materially changes.

Financial Implications

34. This report does not seek approval for additional funding and has no direct financial implications. The Corporate Risk Register highlights a number of risks with potential financial impacts, which are managed through existing financial governance, budget monitoring, forecasting, and assurance arrangements. Any future proposals that would result in additional expenditure or materially alter the Authority's financial risk exposure would be subject to separate approval through the appropriate governance processes.

Climate Change Implications

35. CRR8 was reviewed and reframed in Q4 2025 to better reflect the MCA's direct responsibilities, accountabilities, and ability to manage the risk effectively. This continues to be the appropriate framing for this risk. The revised risk focuses on organisational performance in integrating climate and nature objectives into strategies, investment decisions and delivery programmes, rather than region-wide outcomes beyond the MCA's control. This strengthens governance, clarifies ownership, and improves assurance without reducing ambition.

Legal Implications

36. The MCA Constitution requires MCA officers to actively monitor, manage and mitigate the risks associated with the MCA's operations and delivery. This report and its appendices set out in detail how MCA officers are complying with this constitutional requirement.

37. The Audit Committee has an important role in providing independent assurance of the risk management framework and associated control environment, in presenting the Corporate Risk Register and Corporate Risk Management Framework for comment this report facilitates the Audit Committee's statutory functions of reviewing and assessing the MCA's risk management, internal control, and corporate governance arrangements.

HR Implications

38. CRR10 continues to have direct workforce implications, reflecting the Authority's need to attract, retain and develop the capability required to deliver its strategic priorities during a period of organisational growth and change.

39. The Authority is currently progressing implementation of the Target Operating Model (TOM), alongside delivery of the People & Culture Programme and Organisational Improvement Plan (OIP). These programmes provide a structured framework for managing workforce-related risks through organisational design, workforce planning, talent acquisition, learning and development and employee engagement activity.

40. Key mitigations include strengthened workforce planning arrangements, implementation of the HR Business Partner model, enhanced recruitment and onboarding approaches, development of internal career pathways and ongoing work to improve workforce data quality and organisational capability.

41. The Authority continues to monitor workforce capacity, capability and resilience, particularly in relation to specialist skills, recruitment challenges, retention of key talent and the workforce implications arising from organisational change.

42. Several other corporate risks also have workforce implications. Funding constraints and wider economic volatility may affect recruitment activity and workforce affordability, whilst programme delivery risks may increase demand for specialist skills and capacity. Business continuity and cyber-related risks also require ongoing workforce preparedness and resilience.

43. Workforce-related risks continue to be monitored through established governance arrangements, with HR contributing to the identification and management of workforce risks across the organisation.

Commercial and Procurement

44. The Corporate Risk Register itself highlights several risks with commercial implications and mitigations which are described in the register itself.

45. The Commercial team will continue to support the MCA to drive efficient and effective solutions across the MCA and directly through third party suppliers and their supply chain, in line with the outline mitigations.

Health Improvement and Health Inequalities

46. There are no Health Improvement or Health Inequalities implications in the adoption of this report.

Appendices

- Appendix 1 - The Corporate Risk Register (CRR) overview at a glance
- Appendix 2 - Detailed Corporate Risk Register with Mitigations

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Appendix 1 Corporate Risk Register overview

CRR ID	Category & Org Priority	Risk Description	Score before mitigation (Inherent)	Score after mitigation (Residual)	Owner
1 Risk CRR20	Financial P4	The MCA is exposed to significant financial and delivery risks in the £95m Phase 1 of the Bristol Temple Quarter regeneration scheme.	20	12	Director of Place
2 Risk CRR6	Financial P6	Ongoing global economic uncertainty, driven by geopolitical instability leading to financial pressures.	20	12	Director of Finance, Investment and Commercial
3 Risk CRR10	People P6	There is a risk that the MCA is unable to maintain the skills, knowledge and capability required to deliver its strategic priorities and sustain a diverse, high-performing workforce	16	12	Head of HR and Organisational Development
4 Risk CRR8	Delivery P2	There is a risk that climate and nature objectives are insufficiently embedded and consistently applied across MCA strategies, investment decision-making, and delivery programmes.	16	12	Executive Director of Transport & Director of Place
5 Risk CRR5	Financial P6	There is a risk that structural funding constraints, inflationary pressure and the timing of available resources reduce the MCA's capacity to deliver.	16	9	Director of Finance, Investment and Commercial
6 Risk CRR19	Delivery P6	There is a risk that the MCA will not reach Established Strategic Authority Status	15	12	Director of Strategy
7 Risk CRR14	Delivery P1	There is a risk that the Mayoral Combined Authorities and unitary authorities cannot deliver all of the CRSTS programme funding model and projects.	15	10	Executive Director of Transport
8 Risk CRR4	Operational Systems P6	Risk of Cyber Crime taking place across the Mayoral Combined Authority	15	8	Director of Law & Governance

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Appendix 2 Detailed Corporate Risk Registers with mitigations

1			Inherent Risk Rating				Residual Risk Rating		
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**	**R**	**Mitigations planned**	**L**	**I**	**R**
CRR20	**The Bristol Temple Quarter (BTQ) programme is one of the UK's largest city centre regeneration schemes, delivered through a Limited Liability Partnership between the MCA, Homes England, and Bristol City Council.** Homes England has committed £95m to Phase 1, with the MCA accountable for delivery and having invested over £10m via its Investment Fund. Key areas of risk relate to programme delivery, cost management, and funding continuity, specifically: • The MCA's accountability for delivery against the £95m Homes England grant conditions. • Potential for cost escalation once contractors are appointed on the remaining infrastructure projects funded through the Homes England grant, which may require additional MCA support. • Arrangements for longer-term resourcing of the programme team remain to be agreed	M01) The LLP board has recruited an experienced Chair, 4 independent Non-Exec Directors and an experienced delivery team. M02) The MCA has 2 representatives on the LLP Board, which meets bi-monthly, and who receive regular updates on project delivery through portfolio reporting. M03) Officials from the MCA's transport and Project Management Office are providing support in the procurement of contractors for individual infrastructure schemes within the programme. M04) Senior level meetings are taking place on a regular basis between Homes England and the MCA to oversee the management of the financial risks associated with the Grant Funding Agreement and the core costs of the team. *Continued on next page*	**4**	**5**	**20**	M09) The MCA continues to work closely with partners through active monitoring, strong governance and proactive mitigation planning. Engagement with the LLP and Homes England continues to support a positive outcome on core funding arrangements. M010) Further internal capacity is being created to support the Head of Regeneration to client BTQ M011) Improved reporting to MCA's CLT and Audit Committee is being put in place to increase the visibility of the scheme.	**3**	**4**	**12**

CRR20 Cont.	**The Bristol Temple Quarter (BTQ) programme is one of the UK's largest city centre regeneration schemes, delivered through a Limited Liability Partnership between the MCA, Homes England, and Bristol City Council.** • Any delays or under delivery could impact regional economic outcomes and stakeholder confidence.	M05) A regular reporting cycle has been instigated to MCA Corporate Leadership Team to increase the corporate visibility of the programme. M06) Liaison between the Director of Place and the Executive Director of Transport is mitigating the impact of a cost overrun on the Southern entrance by sourcing alternative funding, subject to Committee approval. M07) An experienced, nationally recognised private sector partner, Muse, has been selected through an open procurement process. M08) The MCA has strengthened its internal client role with a new Head of Regeneration having started in June, who has previously been a Development Director within a private sector regeneration company.							
	Risk Owner Director of Place	**Action Owner** Director of Place	**Trend** ⟷		**Risk Category: Financial** Supporting sustainable communities that people are proud to call home			

2			Inherent Risk Rating				Residual Risk Rating		
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**		**Mitigations planned**	L	I	
CRR6	**Ongoing global economic uncertainty, driven by geopolitical instability (e.g. Middle East conflict), shifting government policy, and financial market volatility, is creating an increasingly unpredictable operating environment for the MCA.** This volatility may manifest through economic, fiscal, social, and policy changes that require rapid adaptation. Rising global fuel prices are intensifying cost pressures across transport systems, supply chains, and service delivery, contributing to inflation and increasing the cost of project delivery, particularly within the MCA's capital programme. Key consequences may include: • Renewed inflationary pressures. • Cost escalation across the capital programme • Reduced business confidence and private investment • Potential fiscal tightening and/or delays to funding	M1) Ongoing Mayoral and Corporate Leadership engagement with Government Departments. M2) Ongoing reviews with any significant impacts reflected in the regular reporting to Committee. M3) Monitor inflation and fuel price trends and assess impacts on transport, logistics, and service delivery, coordinating with Partners to identify necessary sector support and operational adjustments. M4) Project rebase lining work to account for the inflationary impact.	**5**	**4**	**20**	M5) Horizon scanning for new funding opportunities to generate income. M6) Ongoing target to increase levels of General Reserves to 5% of Gross Revenue Expenditure.	**4**	**3**	**12**
	Risk Owner Director of Finance, Investment and Commercial	**Action Owner** Head of Finance	**Trend**	↑		**Risk Category: Financial** (with delivery implications) **Organisational Priority 6** ↗ Improving our organisational capacity to deliver for our communities and businesses			

3			Inherent Risk Rating				Residual Risk Rating		
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**	**R**	**Mitigations planned**	**L**	**I**	**R**
CRR10	**There is a risk that the MCA is unable to attract, retain and develop the skills, knowledge and capability required to deliver its strategic priorities and maintain a diverse, inclusive and high-performing workforce** If this occurs, the organisation may face constraints in skills, capacity, or diversity of perspectives, which could impact its ability to deliver agreed objectives and progress its Growth Strategy priorities. Costs of delivering services could increase due to high turnover, reduced engagement, and greater reliance on interim or agency workers. The focus of this risk now centres on workforce stability and retention through a period of significant organisational change, as the Target Operating Model (TOM) consultation progresses. There remains a risk of turnover and loss of key skills and knowledge as the organisation transitions to new structures. Ongoing uncertainty may also affect morale, engagement and the	M1) Ongoing reviews of staffing across the organisation to ensure efficiency, effectiveness, and appropriate alignment. M2) Use of specialist recruiters and engagement with executive search agencies to ensure access to a high-quality candidate pool. Use of interim support where appropriate to maintain delivery capacity. M3) Inclusion of comprehensive pre-recruitment briefings with stakeholders to ensure clarity of expectations and strategic alignment. M4) Successful recruitment of all four Director roles, providing strengthened leadership and stability across the organisation. M5) Launch of a new approach to learning and organisational development, alongside a review of employer brand and targeted recruitment to address skills gaps.	**4**	**4**	**16**	M10) Ongoing monitoring of senior recruitment outcomes and refinement of recruitment processes to maintain leadership capability. M11) Definition and communication of clear career pathways across the new TOM structure to support retention, mobility and progression. M12) Collaboration with Unitary Authorities and partners to address regional workforce sustainability and retention challenges. M13) Continued enhancement of the MCA's employer brand, careers site and job profiles to promote consistency and engagement internally and externally. M14) Implementation of a structured succession planning framework and talent pool strategy to grow internal capability and reduce reliance on interim resource. M15) Implementation of structured onboarding and redeployment induction	**3**	**4**	**12**

Continued on next page

CRR10 Cont.	ability to sustain a diverse, inclusive and high-performing culture. **CRR10** remains centred on workforce capacity. The MCA recognises that a diverse, inclusive and engaged workforce plays a key role in mitigating this risk and enabling organisational success.	M6) Appointment of a Talent Acquisition Manager to strengthen our employer brand, Employee Value Proposition, and attraction strategy. M7) Appointment of a Talent Manager leading initiatives on the careers site, employer branding, attraction strategy, and development of talent pools. Focus on internal career pathways (including the job families project) and enhancement of Learning and Development offerings. M8) Ongoing job grading and benchmarking activity to ensure skills, roles and pay structures align with organisational priorities. M9) Implementation of structured onboarding and induction processes to align new hires with organisational priorities and culture by Q3 2025. M10) Active management of TOM consultation and associated communications to maintain transparency, trust, and engagement throughout the process. M11) Regular monitoring of turnover, retention data, and workforce feedback to identify emerging risks and trends. M12) Enhanced employee engagement and wellbeing support through regular				processes to align colleagues with new structures and culture post-TOM. M16) Establishment of an annual workforce planning cycle aligned to business priorities, providing data-driven insight and proactive workforce planning. M17) Deliver an organisation-wide EDI data completion campaign to improve the quality and completeness of workforce demographic data, enabling evidence-led action to strengthen attraction, retention and progression of a diverse workforce.			

		updates, drop-ins, and the Employee Assistance Programme (EAP). M13) Continued focus on building a values-led, inclusive culture to support retention and attraction of diverse talent. M14) Workforce risks and mitigations monitored through monthly HR & OD reporting and quarterly updates to the Employment and Appointments Committee (EAC).					
	Risk Owner Director of Delivery and Operations	**Action Owner** Head of Human Resources and Organisational Development	**Trend** ⟷		**Risk Category:** People **Organisational Priority 6:** ↗ Improving our organisational capacity to deliver for our communities and businesses	**Linked Risks:** CS-R029 CS-R033 CS-R035	

4			Inherent Risk Rating				Residual Risk Rating		
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**	**R**	**Mitigations planned**	**L**	**I**	**R**
CRR8	**There is a risk that climate and nature objectives are insufficiently embedded and consistently applied across MCA strategies, investment decision-making, and delivery programmes.** **This may result in sub-optimal outcomes for climate resilience and a failure to meet statutory duties, adopted climate policies, and wider strategic climate and nature commitments.** This may lead to reputational damage, financial impacts (including increased costs and reduced value for money), and reduced ability to deliver resilient, sustainable outcomes over the long term.	M1) **Strategic integration** Climate change mitigation, climate adaptation and nature recovery objectives are embedded within key MCA strategies and plans. Including the Growth Strategy, Climate and Ecological Strategy and Action Plan (CESAP) and the Local Nature Recovery Strategy and the West of England Local Industrial Decarbonisation Plan and the MCA's Corporate Carbon Management Plan providing a consistent strategic framework for decision-making. M2) **Governance and accountability** Clear Member and senior officer oversight of climate and nature objectives is in place, with defined leadership responsibilities held by the Executive Director of Transport and the Director of Place, supported by established reporting and escalation routes. M3) **Decision-making controls** Climate and ecological considerations are systematically incorporated into business case development, appraisal and approval processes. All committee papers are required to include climate and ecology impact	**4**	**4**	**16**	M9) **Spatial planning and infrastructure** Deliver a Spatial Development Strategy (SDS) providing a long-term, region-wide framework to guide sustainable growth. This will coordinate housing delivery efficiently, enable transformational low-carbon infrastructure, including mass transit while protecting natural ecosystems and enhancing climate resilience. M10) **Scaling delivery and impact** Development of new propositions and delivery models to increase the pace and scale of action on net zero, climate resilience and nature recovery, aligned with Growth Strategy priorities on green jobs and green growth and the emerging SDS. The SDS will help shape more detailed Local Plans and will be used in future when decisions are made about new projects. M11) **Formulating the Transport for City Regions (TCR) programme** to support decarbonising transport. The updated Joint Local Plan will provide the long-term	**3**	**4**	**12**

CRR8 Cont.	**There is a risk that climate and nature objectives are insufficiently embedded and consistently applied across MCA strategies, investment decision-making, and delivery programmes.** **This may result in sub-optimal outcomes for climate resilience and a failure to meet statutory duties, adopted climate policies, and wider strategic climate and nature commitments.**	commentary, ensuring organisational visibility, consistency and prioritisation. M4) **Policy and statutory alignment** Strategies, programmes and investments are developed in alignment with national policy, statutory duties and regional climate and nature commitments, reducing the risk of non-compliance and future regulatory challenge. M5) **Partnership working** Ongoing engagement with constituent local authorities, statutory bodies and regional partners supports alignment of climate and nature priorities, coordinated delivery and maximisation of regional impact. M6) **Targeted investment programmes** The MCA is delivering targeted investment programmes that directly support decarbonisation, sustainable infrastructure, climate resilience and nature recovery including the City Region Sustainable Transport Settlement (CRSTS), Regional Low Carbon Delivery, Retrofit West, the South West Net Zero Hub and the Western Forest initiative. M7) **Sustainable transport delivery** Investment is focused on delivering sustainable transport corridors along key radial and orbital routes, prioritising public transport, rail, green electric buses and active				plan for transport and help to shape local transport plans. M12) **Integrate transport, housing and climate resilience planning** to unlock sustainable growth and reduce delivery risk, ensuring new developments are supported by fit-for-the-future transport links and enabling infrastructure, including social, environmental, green and EV infrastructure, in alignment with the Growth Strategy.			

CRR8 Cont.	**There is a risk that climate and nature objectives are insufficiently embedded and consistently applied across MCA strategies, investment decision-making, and delivery programmes.** **This may result in sub-optimal outcomes for climate resilience and a failure to meet statutory duties, adopted climate policies, and wider strategic climate and nature commitments.**	travel infrastructure to support modal shift and transport decarbonisation. M8) **Capability, evidence and assurance** Access to specialist climate and environmental expertise supports programme design and delivery. A developing research and evidence base is used to identify emerging risks, opportunities and areas where progress towards net zero and resilience objectives is off track and requires intervention.							
	Risk Owner Executive Director of Transport & Director of Place	**Action Owner** Executive Director of Transport & Director of Place	**Trend**			**Risk Category:** Delivery **Organisational Priority 2:** Delivering net zero and nature recovery		**Linked Risks**	

5			Inherent Risk Rating				Residual Risk Rating		
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**	**R**	**Mitigations planned**	**L**	**I**	**R**
CRR5	**There is a risk that structural funding constraints, inflationary pressure and the timing of available resources reduce the MCA's capacity to deliver its investment programme and strategic priorities, resulting in delays, reprioritisation, reduced delivery capacity and weaker achievement of intended outcomes** The MCA faces a dual risk of (1) real-terms erosion of its fixed Devolution Deal settlement (£30m per year over 30 years with no inflation uplift), and (2) misalignment between available annual funding and Investment Fund commitments, following absorption of prior underspends. Together, these pressures reduce effective spending power and constrain the Authority's ability to deliver its capital programme and strategic priorities. This may result in:	M1 – Programme and financial planning alignment Clear articulation of need, supported by appropriate metrics, within the 2025/26 budget process and future budget setting, including the Medium-Term Financial Strategy (MTFS). Regular review of programme delivery, headroom, and affordability to ensure commitments remain within available funding. M2 – Robust governance, reporting and budgetary control Strong project planning, reporting, and change control processes, including defined approval gates for new commitments. Ongoing engagement with project leads to ensure realistic delivery timelines and budgets, supported by tight budgetary control aligned to corporate performance measures, regular CLT review, and early identification of financial and delivery risks. M3 – External engagement and funding sustainability	**4**	**4**	**16**	M5 – Government engagement and future funding frameworks Engage with MHCLG to clarify criteria and requirements for accessing future funding, and to influence the design of future Gateway and funding allocation processes. M6 – Strategic alignment, pipeline prioritisation -Ensure all projects are clearly aligned with the Growth Strategy and Investment Strategy, with ongoing review and prioritisation of the project pipeline to maintain affordability within available funding. M7) Delivery of the Organisational Improvement Plan will strengthen organisational capability, improve delivery readiness, and support preparation for future funding arrangements, including the Single Integrated Settlement.	**3**	**3**	**9**

	• Reduced real-terms value of core funding over time due to inflation and cost escalation • Misalignment between annual funding and committed Investment Fund spend • Delays, scaling back, or reprioritisation of current and planned projects (including those due to complete in 2025/26) • Reduced capacity to deliver core programmes and pursue new investment opportunities • Workforce and delivery capacity constraints, including recruitment pressures Increased risk of cost overruns, abortive spend, and delayed benefits realisation Reputational risk arising from under-delivery across programmes and partners	Ongoing collaboration with other Mayoral Combined Authorities and Government departments to influence future Spending Review outcomes and secure more sustainable, long-term funding arrangements. M4 – Additional capacity funding Utilisation of higher-than-expected Mayoral Capacity Funding (MCF) in 2025/26 (£1.5m vs £1m forecast) to support delivery capacity and mitigate short-term resource pressure				M8) Securing Established Authority Status would support progression to an Integrated Settlement, provide access to additional devolved powers through the Right to Request process, and increase opportunities to shape and deliver regional services. Benefits include consolidated funding streams, greater local flexibility, simplified accountability arrangements, and increased funding certainty through multi-year settlements aligned to Spending Review periods.		
	Risk Owner Director of Finance, Investment and Commercial	**Action Owner** Head of Finance	**Trend**			**Risk Category:** Financial (with delivery implications) Organisation Priority 6: Improving our organisational capacity to deliver for our communities and businesses		

6									
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**	**R**	**Mitigations planned**	**L**	**I**	**R**
CRR19 Page 192	**There is a risk that the MCA will not reach Established Strategic Authority Status** Established Strategic Authority status represents a significant opportunity to access a wider range of powers, flexibilities, and integrated settlement funding, strengthening the CA's ability to deliver regional priorities. Failure to reach this status would constrain access to these benefits and reduce overall impact.	Planning to achieve Established Strategic Authority status is being managed through a range of programmes and controls including; M1) Planning for integrated settlement M2) Developing an investment strategy M3) Aligning business planning and budget setting process. M4) Learning from other MCAs M5) Close liaison with Government M6) Mayor Helen Godwin has officially submitted the MCA application for Established Authority status to government, following support from Committee on 5 June.	**3**	**5**	**15**	M6) The Organisational Improvement Plan (The OIP) provides a programme and change management framework to support and enable the MCA to adapt and respond to the evolving government and regulatory expectations and strengthen its position as a leading regional entity. The OIP is aimed at improving operational efficiency, strategic alignment, understanding of role and purpose, governance and financial sustainability within the MCA.	**3**	**4**	**12**
	Risk Owner Director of Strategy	**Action Owner** Head of Policy	**Trend** ⟷			**Risk Category:** Delivery **Organisational Priority 6** ↗ Improving our organisational capacity to deliver for our communities and businesses			

7			Inherent Risk Rating				Residual Risk Rating		
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**	**R**	**Mitigations planned**	**L**	**I**	**R**
CRR14	**There is a significant risk that the Mayoral Combined Authorities and unitary authorities do not deliver all of the City Region Sustainable Transport Settlements (CRSTS) programme.** Now well beyond the mid-point of the 5-year CRSTS lifecycle, risks have escalated, highlighting challenges in relation to the development and delivery of the CRSTS programme within timescale, and reflected in the need for further overprogramming. This could result in potential damage to the reputation of the Mayoral Combined Authority and Mayor, and loss of, or impact on future, funding if not fully utilised by March 2029 Management of risks associated with the CRSTS programmes/projects is fundamental to ensure the achievement of objectives and the effective delivery of work.	M01 A review of stronger governance and reporting particularly critical milestones and financial pathways undertaken - CRSTS acceleration programme completed with recommendations implemented. M02 Engagement with DfT about transition between CRSTS 1 and Transport for City Regions (TCR) - now confirmed funding transition in place including ability to complete CRSTS by 2029 rather than previous deadline of 2027. M03. CRSTS Board launched in 2025 - improved governance. M04 Project Management Office (PMO) introduced new reporting cycle and stage gates to give improved visibility and assurance of delivery. M05 Addition of key resources to the programme - cost managers and schedulers for the CRSTS projects. M06 PMO introduced new reporting dashboard (Power BI) in June 2025.	**4**	**5**	**20**	(M09) Programme to continue to validate delivery partner construction supplier plans and confirm capacity has been secured. (M010) Work with delivery partners and suppliers on improving ways of working – on cost and schedules performance and skills gaps with regular review. (M011) Learning & development plan to provide training, encourage staff development and retention in collaboration with UA's. (M012) CRSTS Lessons Learned commission underway.	**2**	**5**	**10**

CRR14 Cont.	**There is a significant risk that the Mayoral Combined Authorities and unitary authorities do not deliver all of the CRSTS programme.**	M07 CRSTS rebase line exercise Autumn 2025 - approved by CRSTS Board in January 2026 with revised funding allocations. M08 - Rebase line committed approval of overprogramming schemes as well as £141m of TCR funding to complete CRSTS programme.	**4**	**5**	**20**		**2**	**5**	**10**
	Risk Owner Executive Director of Transport	**Action Owner** Head of Transport Directorate Planning & Head of Transport Programmes	**Trend** ↓			**Risk Category:** Delivery **Organisational Priority 1:** Creating a better-connected region, working towards a world-class transport system	**Linked Risks** T012 Transport		

8			Inherent Risk Rating				Residual Risk Rating		
Ref	**Risk Description & Impact**	**Mitigations in Place**	**L**	**I**	**R**	**Mitigations planned**	**L**	**I**	**R**
CRR4	**Risk of Cyber Crime taking place across the Mayoral Combined Authority** Financial loss, reputational damage, service delivery risk. Cybercrime could result in loss of some or all IT services which would have a significant operational impact.	M1) Annual Public Services Network Scan performed to identify potential vulnerabilities which are then remedied. M2) Monthly IT Security Forum to manage any issue/provide recommendations on improvements/security incidents. M3) Cyber Awareness - policies and training. M4) With effect from 1st May 26 we now have an additional Cyber Managed Service strengthening Cyber resilience.	**3**	**5**	**15**	M5) Table Top Exercise simulating a Cyber Incident planned for first half of 2026 and will be coordinated through the BCP Business Resilience Working Group	**2**	**4**	**8**
	Risk Owner Director of Law and Governance	**Action Owner** Head of Digital, Data and Operations	**Trend**			**Risk Category:** Operational Systems **Organisational Priority 6**: Improving our organisational capacity to deliver for our communities and businesses	**Linked Risks** ITC01 IT & Cyber Security		

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WEST OF ENGLAND MAYORAL COMBINED AUTHORITY

REPORT TO: **WEST OF ENGLAND COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **HEALTH AND SAFETY UPDATE**

RESPONSIBLE OFFICER: **DIRECTOR FOR DELIVERY AND OPERATIONS**

Key Decision **No**

Purpose of Report

To provide Audit Committee with an update on health and safety performance across the Mayoral Combined Authority (MCA) for 2025/26, together with plans for continuous improvement during 2026/27.

Recommendation

That Audit Committee:

1. Notes the significant progress made across all areas of health and safety management throughout MCA activities in 2025/26.
2. Notes the material reduction in overall risk achieved through the delivery of robust and targeted risk mitigation measures.
3. Notes the ongoing and planned programme of continuous improvement in health and safety performance for 2026/27.

Reasons for recommendation

The MCA has a statutory duty under the Health and Safety at Work Act 1974 and associated regulations to ensure the health, safety and welfare of its employees and all others affected by its activities. Regular reporting to the Audit Committee provides essential oversight and assurance that the MCA is meeting its legal obligations, managing risk appropriately, and driving continuous improvement in health and safety performance.

Voting arrangements

In order to be carried, a decision on this matter requires a majority of the members present and voting, such majority is to include the Metro Mayor. Each member present may cast one vote. If a vote is tied the decision is not carried. There is no casting vote.
Publication Requirements For Publication

Background

1. Health and Safety is everyone's legal and moral responsibility. As employer and major procurer of goods and services, the Mayoral Combined Authority is responsible for the implementation of the Health and Safety Policy. The Mayoral Combined Authority and its Committees, Boards and Senior Leaders have strong influence over health and safety decision making and play a key role in helping to mitigate risk. Breaches can lead to significant penalties including civil action and criminal prosecution resulting in fines and imprisonment as well as adverse publicity orders.

2. The MCA's health and safety function has undergone significant development since an independent review and gap analysis was commissioned in September 2023. Recommendations from that review were developed into an improvement plan which was fully closed out by July 2025, at which point the MCA achieved 'Reasonable Assurance' status following an audit by One West. A contractor monitoring audit was also completed satisfactorily in July 2024. The next One West audits are scheduled for Q2 and Q3 2026/27, covering core health and safety and Business Continuity Planning respectively.

Key Considerations

3. The Performance data for 2025/26 demonstrates a strong safety record. The MCA recorded zero RIDDOR-reportable incidents, zero reportable diseases or dangerous occurrences, and zero lost-time injuries. There were six non-lost time injuries, each appropriately investigated with remedial measures implemented, one incident causing damage. There were 48 proactive hazard reports submitted – exceeding the annual target by 100%. The MCA's Accident Frequency Rate (AFR), calculated per 100,000 hours worked using HSE methodology, is currently zero, below the national and sector average.

4. The table below sets out the full KPI summary:

Indicator	2025/26
RIDDOR-reportable accidents (major or over 7-day)	**0**
Reportable diseases or dangerous occurrences	**0**
Lost time injuries	**0**
Non-lost time injuries (fully investigated)	**6**
Incidents causing damage	**1**
Near misses	**0**
Hazard reports	**48**
Accident Frequency Rate (AFR)	**0.0**

5. The AFR is used as a high-level indicator and is reported monthly to CLT on a 12-month rolling average basis. The escalation threshold is set at 2.6, derived from a combination of construction and general industry national averages. It should be noted that the hours-worked calculation is based on employee FTE and does not currently account contractor hours; this may marginally overstate the AFR in the event of a reportable incident.

6. The doubling of the hazard reporting target is a particularly positive outcome. Proactive hazard identification is a well-established leading indicator of safety culture. The direct relationship between hazard reporting and the prevention of workplace accidents (as described in Bird's accident triangle) means that this performance reflects an increasingly mature approach to safety management across the organisation.

7. **Key achievements during 2025/26 include:**

- Achievement of 'Reasonable Assurance' status following the One West audit, with all actions closed ahead of schedule.
- The new Health and Safety Policy Statement signed by the Chief Executive in

February 2026.

- A Health and Safety session delivered to the Mayor and Elected Members in collaboration with law firm Womble Bond Dickenson.
- Further consolidation of health and safety resource into a single central function, improving consistency and coverage. This included building safety (facilities) being aligned in September 2025.
- Launch of an internal sample audit schedule, with the first tranche of audits completed.
- Closure of the Davis House Improvement Plan, including training and significant building improvements.
- A substantial fire safety programme: fire marshal numbers tripled, fire door improvements, updated alarm strategy. The most recent fire risk assessment confirmed the building has progressed to a robust and legally compliant fire safety position. Two fire service audits are planned for July and August 2026.
- Introduction of a driver management pilot enabling licence, MOT and insurance verification for staff driving on MCA business.
- Mandatory health and safety training modules revamped and completed by all required staff.
- First aider numbers increased.
- Consultation and engagement continued across all directorates, Health and Safety Forum made up of Representatives across MCA and participation in the JNCC meeting with Unison.
- CDM 2015 policy and processes reviewed and aligned, with direct site support provided to Transport project teams.
- Strengthened contractor onboarding and evaluation processes.
- DSE processes updated with follow-up assessments underway in support of the HR reasonable adjustments process.
- Significant review of the Business Continuity Planning process commenced and membership of a joint Combined Authority working group to share best practice.
- Personal Emergency Evacuation Plans (PEEPs) implemented to support inclusive building evacuation.

8. **Next Steps - Plans for 2026/27**

- Improving mandatory training compliance from 83% to at least 90%
- Further development of Connect health and safety pages
- Commencement of mandatory CDM 2015 training for applicable Transport Directorate staff
- Further strengthening of Business Continuity and Emergency Response Plans.
- Greater level of focus on psychosocial risks in partnership with HR, in line with Health and Safety Executive current initiatives and campaigns.

- Improved facilities and staff satisfaction levels within MCA buildings.
- Full roll out of the Safe2Drive app to all staff.
- To conduct a staff health and safety culture survey in or around October 2026 to gauge current perceptions compared with 2023.
- Preparation for the One West audits in Q2 and Q3.
- A full review of the Health and Safety Strategy will be carried out in September 2026.

Governance

9 Delivery against health and safety performance now lies with the Director for Delivery & Operations, with monitoring of progress to take place through internal governance arrangements. The Head of Health and Safety has day-to-day responsibility for managing health and safety across the Authority's activities supported by the Health and Safety Manager, Health and Safety Working Group and the Health and Safety Consultative Forum.

10 Updates are regularly provided through the Mayoral Combined Authority's internal governance arrangements, and it is recommended in this paper that an annual update is provided to the West of England Mayoral Combined Authority Committee, with interim updates to the Audit Committee as appropriate.

Consultation and Engagement

11 An effective communications plan was agreed and is being enacted to ensure appropriate engagement across the Mayoral Combined Authority. This includes a full training plan for all staff, including specialist training and engagement for line managers to ensure they understand their Health and Safety responsibilities. Engagement is also through the newly formed H&S Consultative Form.

Key Risks

12 The Health and Safety risks of the organisation are being managed through the Risk Governance Framework and the risk assessment processes along with targeted policies, procedures and processes. Any additional assessment of specific workplace risk as required under the Management of Health and Safety at Work Regulations 1999, will fall under the Health and Safety procedures and guidance element of the organisational level Health and Safety approach and appropriately managed by the Head of Health and Safety. Risk registers are in place with escalation route to the Corporate Risk Register.

Diversity, Equity and Inclusion Implications

13 Diversity, Equality and Inclusion (DE&I) implications are considered in all decisions and the DE&I Business Partner will be consulted prior to

implementation where appropriate. Recent examples include changes to access and egress (through proposed new speed gate options, welfare issues and changes to procedures (including personal emergency evacuation plans, PPE and DSE).

Climate change implications

14 All papers relating to health and safety that go to CLT or Governance Board include climate change and environmental considerations where applicable.

Finance Implications

15 In 2024/25 reductions were made to the resource budget and this was reported at the previous Audit Committee.

16 The health and safety team has now been merged with the Business Support and Facilities team and a review process is underway, with conclusions due in July/August 2026. A further review of health and safety resource will be carried out in the event of increased delivery activities, due to the likely increase in CDM implications.

The current agreed and budgeted roles specifically for health and safety are set out below:

Position	FTE
Head of Service - Health and Safety	1
Health and Safety Manager (CDM)	1
Health and Safety Coordinator	1

Legal Implications

17 The Health and Safety Executive publish useful guidance on legal responsibilities of employers here: Health and safety basics for your business (hse.gov.uk)

18 The range of legal obligations placed on employers with respect to health and safety is extensive. The particular obligations which apply in any given case will depend on the activities carried out by the authority, the extent of the risks posed by these activities and other factors such as the number of employees.

19 The main obligations imposed by the *Health and Safety at Work Act 1974* ("HSWA") and the *Regulations* made thereunder include the following:

i. Employers are responsible for ensuring the health and safety of their employees and those that are affected by their activities so far as

reasonably practicable (sections 2 and 3, HSWA).

ii. An employer must assess and review the work-related risks faced by its employees and by others affected by the employer's activities. This risk assessment must be "sufficient and suitable" (Regulation 3).

iii. An employer must make and give effect to appropriate arrangements for the effective planning, organisation, control, monitoring and review of the preventive and protective measures (Regulation 5).

iv. An employer must audit the adequacy of these procedures (Regulation 3).

v. One or more competent persons must be appointed to implement the measures needed to comply with health and safety law (Regulation 7).

vi. An employer must provide its employees with understandable and relevant information and training on the risks they face and the preventive and protective measures to control those risks (Regulations 10 and 13).

20 Employers with *over five employees* must also:

i. Produce a written health and safety policy.

ii. Describe the arrangements for putting the policy into practice.

iii. Bring the policy and any revision of it to the attention of employees.

iv. Revise the policy whenever appropriate.

v. Record appropriate arrangements for the effective planning, organisation, control, monitoring and review of the preventive and protective measures.

vi. Record the significant findings of risk assessments and any group of employees identified by it as especially at risk.

21 Construction (Design & Management) Regulations 2015 (CDM 2015) are the main set of regulations for managing the health, safety and welfare of construction projects. The MCA have duties as ‘Client’ under these regulations.

22 A breach of any of the above statutory obligations may constitute a criminal offence by the employer.

Human Resources Implications

23 Following the recent merging of the health and safety team with Business Support and Facilities, some resource changes may be necessary in the future to ensure continuous improvement and to support delivery against corporate strategic plans and objectives. A business case will be produced with appropriate sign off and all appropriate HR policies, procedures and best practice will be followed.

Procurement and Commercials

24 The Commercial team are actively engaged when the procurement of goods and services are required and the Head of Health and Safety is responsible for ensuring procurement rules and processes are followed by the team. The health and safety team will continue to consult with the Commercial team if and when new suppliers/contractors are required.

Health Improvement and Health Inequalities

25 There are no Health Improvement or Health Inequalities implications in the adoption of this report

Appendices

- None

West of England Mayoral Combined Authority Contact:

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REPORT TO: **WEST OF ENGLAND COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **INFORMATION GOVERNANCE UPDATE**

RESPONSIBLE OFFICER: **HEAD OF LEGAL SERVICES**

Key Decision **No**

Purpose of Report

To update the Audit Committee on the implementation of the Combined Authority's Information Governance Framework, to seek the Audit Committee's endorsement of the new statutory Data Protection Complaints Policy, and to present the Combined Authority's performance in relation to requests made under the Freedom of Information Act 2000 and the Environmental Information Regulations 2004 for the year 2026/27 year to date.

Recommendations

The Audit Committee is recommended to:

1. Endorse the adoption of the Information Governance Framework;
2. Endorse the adoption of the new statutory Data Protection Complaints Procedure; and
3. Note the Combined Authority's performance in relation to requests made under the Freedom of Information Act 2000 and the Environmental Information Regulations 2004 for the year 2026/27 year to date.

Reasons for recommendation

No decisions are required by the Audit Committee. The report provides an update on the review of the Combined Authority's Information Governance Framework and presents the Combined Authority's performance in relation to requests for information made by the public.

Voting arrangements

Any questions that are to be decided by the Committee are to be decided by a simple majority of the Members present and voting. Each Member of the Committee is to have one vote and no Member (including the Chair) is to have a casting vote.
Publication Requirements For publication.

Background

Information Governance Framework

1. Information is a very valuable asset to the West of England Combined Authority (MCA) and is vital for the delivery of objectives and the efficient management of resources. Information Governance provides a coordinated approach for getting the best value from information while minimising associated risks.

2. Information Governance (IG) is a framework of policies, processes, and controls for managing information assets, ensuring data is secure, accurate, available and processed legally. It combines elements of data protection, information security, records management and freedom of information to support service delivery, effective data lead decision making, build trust, and meet compliance requirements. IG covers the law and best practice within which information is managed in a consistent and secure manner, commensurate with its respective sensitivity. Particular focus is placed upon personal data and other confidential information, including commercially sensitive information.

3. Information governance therefore underpins the efficient, effective management of information as an asset. This, in turn, enables the Combined Authority to meet its strategic and operational objectives as well as demonstrating compliance with its statutory information and data related obligations.

4. Over the past few months, the Combined Authority has been working to develop an improved strategic framework for managing and supporting information governance within the Authority. That strategic framework is set out in the Information Governance Framework at Appendix 1.

5. The Framework sets out the high level approach to be taken within the West of England Combined Authority to provide a robust Information Governance framework through which the creation, use, sharing, protection, storage, and disposal of personal and organisational information. It ensures legal compliance, risk management, public trust, and efficient services across all directorates, in line with the Authority's Digital and Data Strategy.

6. Fundamental to the new Framework is that the guidance, direction and leadership of Information Governance will be through the establishment of a new Information Governance Board on the terms of reference set out in the Framework. The specific components of that Board will represent the key areas of the MCA involved in the management of systems, processes, relations, or services that handle data of a personal or commercially sensitive nature.

7. The Information Governance Board shall ensure that through prioritisation and tasking the Authority shall be open, legally compliant and adopt the best practicable stance in relation to Information Security with a particular focus on the management of personal data. A complete adoption of all Data Protection Principles defined by Article 5 of the UK General Data Protection Regulation, and reinforced by the Authority's Data Protection Policy, will be applied to all processing of personal data through clear policies, procedures and training. Strong information security arrangements will be applied to safeguard personal information about staff and members of the public, those we do business with, commercial, and other confidential information. Clear and coherent processes will be in place to allow the Authority to work with partner agencies, organisations, or integrated bodies closely, effectively and in a manner that best benefits the data subjects for which it is responsible.

8. The Framework identifies a number of key roles and sets out clear responsibilities for each of those roles. Recruitment for a Data Protection Officer (the role is currently being carried out by the Monitoring Officer) and Information Governance Officer to support the implementation and monitoring of the Information Framework has commenced. The Framework also lists as a number of policies which form part of the Framework and will be regularly reviewed.

9. Members of the Audit Committee will recall that the terms of reference of the committee have been updated to assign responsibility for providing assurance on the Authority's Information Governance functions and arrangements to the Audit Committee. Policies forming part of the Framework will therefore be brought to the Audit Committee for consideration and approval.

10. The Framework has been developed in close collaboration with the Head of Digital and Data to ensure close alignment with the Digital and Data Strategy. That close collaboration will continue with the review of policies forming part of the Framework.

11. The introduction of a strengthened IG Framework represents a significant and positive step in formalising the Authority's approach to managing information as a strategic asset. It reflects the increasing scale, complexity and sensitivity of information handled by combined authorities, particularly in the context of expanded devolution powers, partnership working and integrated funding streams. The Audit

Committee should note that effective IG arrangements are increasingly regarded as a core component of organisational resilience and good governance, rather than a purely compliance-driven function.

Data Protection Complaints Procedure

12. The Data (Use and Access) Act 2025 (DUAA) imposes an obligation on all entities, no matter their origin or nature, to have a specific data protection complaints procedure. This right is broader in nature than other complaint rights, as it can be made in any form, including verbally or via social media posts. It is required by law that this was in place no later than 19 June 2026.

13. The Information Commissioners' Office (ICO) have issued guidance around what they expect from entities in relation to this obligation and best practice.

14. With regard to both DUAA and the ICO guidance, the Legal team have produced:

    a. An update to the complaints page on the external facing WECA website, informing people of their right to complain in relation to data protection.

    b. An internal procedure note which outlines what staff can expect in relation to the changes and what the process is for the IG team.

15. Due to the breadth of ways that a complaint can be raised, it is important that the news of this change is communicated to all staff, so that in the event they receive a complaint, they are aware of what they will be required to do. Legal have worked with Internal Comms to ensure this is publicised via an announcement on Connect and a dedicated Connect page.

Public Access to Information

16. The Freedom of Information Act 2000 (the Act) provides the public with the right to access information held by the Combined Authority in recorded form, subject to statutory exemptions where disclosure may be withheld. The Environmental Information Regulations 2004 (the Regulations) provide a similar right of access to 'environmental information', subject to exemptions.

17. Public authorities are required to respond to requests made under the Act promptly, and no later than 20 working days after receiving the request. In limited circumstances the deadline can be extended. Responses to requests made under the Regulations must be provided as soon as possible, and no later than 20 working days after receipt of the request. This can be extended to 40 working days if the request is complex or voluminous.

18. Requests made to the Combined Authority under the Act or the Regulations are recorded and tracked and compliance with the statutory timescales is reported to the Corporate Leadership Team. Public authorities are required to respond (or claim extensions to) FoI requests within 20 working days for their response to be considered 'on time'. If a public authority does not meet this target for at least 90% of its FoI requests, the Information Commissioner's Office may consider it for special monitoring.

19. This report sets out the Combined Authority's performance in relation to requests under the Act or the Regulations.

Key Considerations

Information Governance Framework

20. The introduction of a strengthened IG Framework represents a significant and positive step in strengthening the Authority's approach to managing information as a strategic asset. It reflects the increasing scale, complexity and sensitivity of information handled by combined authorities, particularly in the context of expanded devolution powers, partnership working and integrated funding streams. The Audit Committee should note that effective IG arrangements are increasingly regarded as a core component of organisational resilience and good governance, rather than a purely compliance-driven function.

21. The Information Governance structure and framework is designed to:

- Enable safe, lawful, and efficient use of information.
- Reduce legal, financial, and reputational risk.
- Support service delivery, decision-making, and public trust.
- Be scalable and proportionate to organisational size and complexity.

22. It seeks to achieve this by:

1. Governance & Accountability

- Clear ownership and accountability for information
- Defined roles and responsibilities across business, IT, legal, and risk functions
- Senior leadership oversight and escalation routes

2. Policies & Standards

- Information Governance policy framework aligned to legal and regulatory requirements
- Supporting policies (e.g. data protection, records management, information security, retention & disposal)
- Regular review and approval cycle

3. Legal & Regulatory Compliance

- Compliance with applicable legislation (e.g. GDPR, Data Protection Act, FOI, sector-specific regulations)
- Lawful basis for processing and data-sharing agreements
- Evidence of compliance and audit readiness

4. Information Lifecycle Management

- Controls covering creation, use, sharing, storage, retention, and disposal of information
- Records management and retention schedules
- Secure disposal and defensible deletion

5. Risk Management & Assurance

- Information risk assessments and DPIAs where required
- Incident management and breach response processes
- Internal audits, monitoring, and reporting

6. Training & Awareness

- Role-based IG training and ongoing awareness
- Clear guidance for staff and third parties
- Culture of accountability and compliance

23. The Audit Committee has a key role in ensuring that these elements are in place and operating effectively, and that the Authority maintains a proportionate, risk-based and compliant approach to the management of its information assets. The Audit Committee's role is to provide independent assurance and oversight of the effectiveness of the Information Governance (IG) Framework including:

1. Governance oversight:

Assuring itself that appropriate structures (including the Information Governance Board) are in place, clearly defined, and operating effectively within the Authority's wider governance framework.

2. Policy approval and review:

Considering and approving key IG policies forming part of the Framework, and ensuring they remain up to date, proportionate and aligned with statutory requirements and best practice.

3. Performance monitoring:

Scrutinising regular reports on IG performance, including:

Data protection compliance

FOI/EIR timeliness and outcomes

4. Risk assurance:

Ensuring that information governance risks are properly identified, recorded and managed within the corporate risk framework, and that appropriate mitigation measures are in place.

5. Internal audit and independent assurance:

Overseeing internal audit activity in relation to Information Governance, reviewing findings, and ensuring that recommendations are implemented.

24. In summary, the Audit Committee acts as the independent check and challenge function, ensuring that the Information Governance Framework is robust, compliant, and operating effectively in practice, rather than existing solely as a set of policies. The approval of the Information Governance Framework is a critical part of this role.

Data Protection Complaints Policy

25. The obligation imposed by DUAA is mandatory and WECA needed to implement this framework by the required deadline in order to be compliant with the applicable legislation.

26. The IG team and Legal will review this periodically to ensure we remain aligned with best practice and compliant with statutory requirements. Procedures will also be reviewed periodically to ensure they are efficient and appropriate.

Public Access to Information

27. The ICO has a toolkit for public authorities to self-assess their compliance with the Freedom of Information Act 2000 and Environmental Information Regulations 2004. The toolkit includes the timeliness of responses to information requests.

28. In terms of timeliness, the ICO's criteria* in the toolkit is set out below

Criteria

Good:	Adequate:	Unsatisfactory:
• 95% or more of requests are responded to within 20 working days. • 95% or more of internal review requests are responded to within recommended timescales. • Complaints to the ICO about late responses and failure to respond are rare and rarely upheld.	• 90 to 95% of requests are responded to within 20 working days. • 90 to 95% of internal review requests are responded to within recommended timescales. • Complaints to the ICO about late responses and failure to respond are occasional and sometimes upheld.	• Fewer than 90% of requests are responded to within 20 working days. • Fewer than 90% of internal review requests are responded to within recommended timescales. • Complaints to the ICO about late responses and failure to respond are frequent and often upheld.

*https://ico.org.uk/for-organisations/foi/foi-self-assessment-toolkit/topic-1 timeliness/response-rates/

29. Table 1 below sets out the performance of the Combined Authority in relation to responses to Freedom of Information Act 2000 and Environmental Information Regulations 2004 requests for the year ending 31st March 2026 against the toolkit criteria.

Table 1

Number of requests received	175
Percentage of requests dealt with within time	90%
Number of requests for reviews received	5
Number of reviews dealt with within time	4
Percentage of reviews dealt with in time	80%
Number of reviews upheld	0
Number of appeals to the Information Commissioner	1
Number of appeals upheld by Information Commissioner	0 (IC Decision Notice 28th July upholding refusal of request)

30. At the previous meeting of the Audit Committee, compliance statistics from other authorities were requested for comparison. However, very few other combined authorities appear to publish compliance rates on their websites. A request for

benchmarking information has therefore been raised with the Combined Authority Data Protection and Information Rights Forum (CADPAIR).

31. Table 2 below sets out the performance of the Combined Authority for the year to date i.e. April and May 2026 against the toolkit criteria.

Table 2

	April 26	May 26	Year to date
Number of requests received	13	17	30
Number responded to in time / closed	12	14*	TBC*
Percentage dealt with within time	92%	TBC	TBC*
Number of requests for reviews received	0	1	1
Number of reviews dealt with within time	N/A	1	1
Percentage of reviews dealt with in time	N/A	100%	100%
Number of reviews upheld	N/A	0	0
Number of appeals to the ICO	0	0	0
Number of appeals upheld by ICO	N/A	N/A	N/A

*as at the time of preparing this report (3 requests not yet responded to but still within time)

32. The Committee is recommended to note the above performance.

Alternative Options Considered

33. The alternative option is not to approve the Information Governance Framework or the statutory Data Protection Complaints Policy. Without a formal Information Governance Framework, the Authority is exposed to systemic legal, operational and governance failure, with limited ability to evidence compliance or manage risk effectively. The adoption of a data protection complaints process is mandatory. Without a structured complaints procedure for data protection rights, the Authority cannot demonstrate lawful, fair, and accountable handling of individuals' rights—creating systemic legal and governance risk.

Consultation and Engagement

34. The Information Governance Framework has been developed in consultation with internal stakeholders and approved by the Governance Board.

Key Risks

35. Without a review of the Combined Authority's Information Governance Framework

in the current strategic context of extending regional devolution and achieving the integrated settlement, there is a risk that the information governance arrangements will become inefficient and adversely affect the Combined Authority's ability to meet strategic and operational objectives, and data related obligations, which could give rise to the risk of legal claims, as well as reputational and financial loss.

Diversity, Equity and Inclusion Implications

36. The proposed Information Governance Framework supports the MCA's commitment to responsible and lawful handling of personal data. In doing so, it also enables the organisation to manage equality-related data appropriately, including special category data linked to protected characteristics. Robust governance, clear roles and strong data protection practices will help ensure that personal data is safeguarded while still enabling the MCA to understand the impact of its policies and services on different communities. This approach supports transparency, strengthens public trust, and enables the MCA to meet its duties under the Equality Act by ensuring information can be used responsibly to inform fair and inclusive decision making.

37. Transparent reporting of performance in responding to Freedom of Information and Environmental Information requests supports accountability and equitable access to information for residents and stakeholders. As the Framework is reviewed, consideration will be given to ensuring that policies, guidance and training remain accessible and proportionate, including clarity of communication and reasonable adjustments where required. On this basis, no adverse equality impacts are identified directly from this report, and the proposals support good governance and public trust.

38. The introduction of a formal data protection complaints procedure supports a clearer and more consistent route for individuals to raise data protection concerns with the MCA. From a DEI perspective, it will be important that the procedure is accessible, easy to locate, and written in plain English so that it can be used by a wide range of people, including disabled people, older people, people who may be digitally excluded, people with lower literacy levels, and people whose first language is not English. The ability for complaints to be raised through different routes, including verbally and via social media, is positive from an accessibility perspective, provided staff are given clear internal guidance on how to recognise, record and escalate complaints consistently. Accessible formats, reasonable adjustments, translation or interpretation support should be made available where required. Subject to these considerations being reflected in the procedure and staff guidance, no adverse equality impacts have been identified at this stage.

Climate Change Implications

39. No Climate or Nature Recovery implications arise directly from this report.

Financial Implications

40. There are no direct financial implications arising from the recommendations contained within this report.

Legal Implications

41. Reviewing the Information Governance Framework is conducive to mitigating the risk of non-compliance with the Combined Authority's obligations under the Data Protection Act 2018, the GDPR, Freedom of Information Act 2000 and the Environmental Information Regulations 2004. The review of the Framework provides an opportunity to strengthen assurance that information is managed lawfully, transparently, and in accordance with data protection and public accountability principles.

Human Resources Implications

42. The roles referred to in this report are required to support the implementation and monitoring of the Information Governance Framework. Requests to recruit and CLT approvals are in place for these additional resources, and HR are supporting the relevant officer to appoint both posts via the MCA's recruitment process.

43. Whilst not anticipated, in situations where funding is reduced, the Combined Authority's internal managing change and redeployment processes will be applied where applicable.

Commercial and Procurement

44. No Commercial and Procurement implications arise directly from this report.

Appendices

Appendix 1 – Information Governance Framework
Appendix 2 – Data Protection Complaints Policy

Background papers

None

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Information Governance Framework

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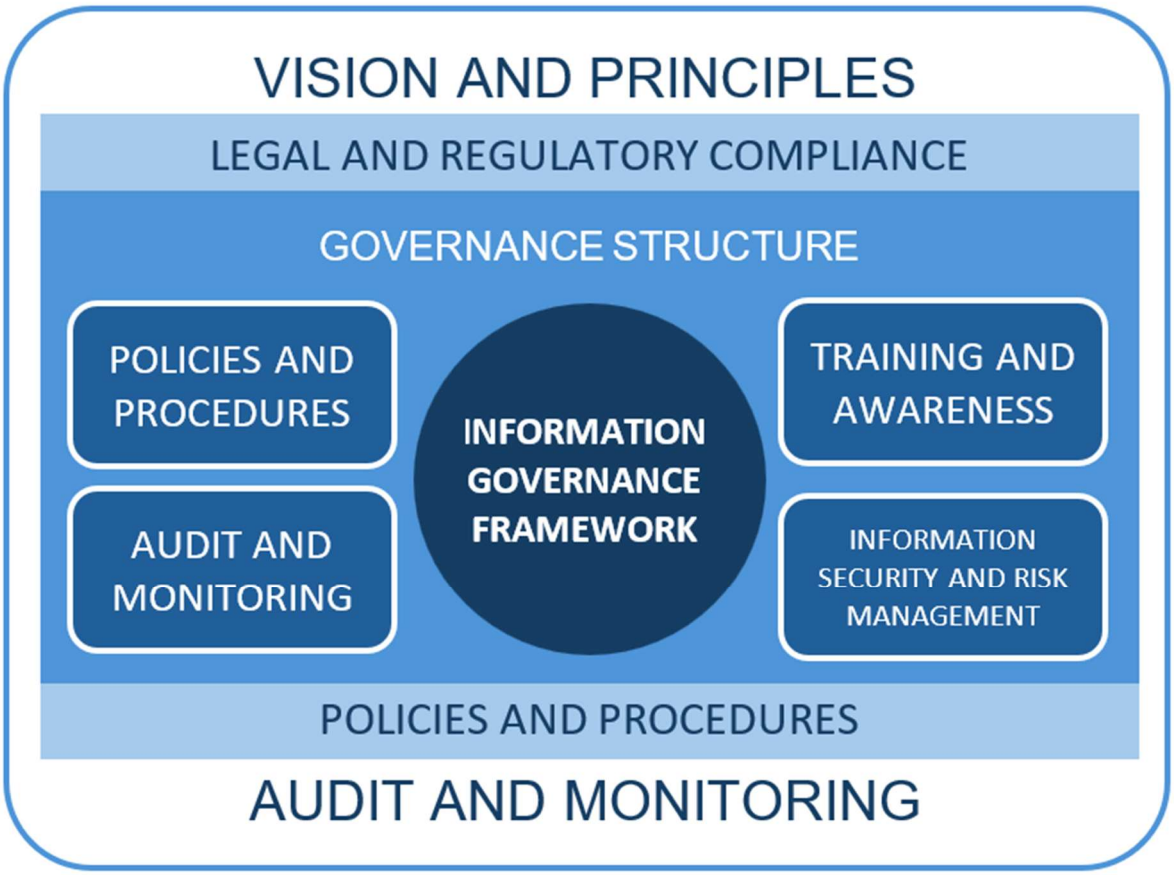
Version	Date	Summary of changes	Author
V1.0	Jan 2026	Initial draft – discussed with MCA 4/2/26	One West
V1.1	Feb 2026	Updated version following discussion with MCA representatives on the 4/2/26. • Additional information added re roles and responsibilities for the DPO, IAOs, and IACs (Appendices 4, 5 & 6) • Replace “council”, “WECA” with “the MCA” • Remove reference to Caldicott Guardian in IG Board (as CG role is not applicable in the MCA) • Legislation added to Section 4	One West
V1.2	April 2026	Various comments by Sarah Boyd. Links added.	One West

Information Governance Framework

1. Aims

This document sets out the high level approach to be taken within the West of England Combined Authority ('the MCA') to provide a robust Information Governance (IG) framework through which the creation, use, sharing, protection, storage, and disposal of personal and organisational information. It ensures legal compliance, risk management, public trust, and efficient services across all directorates, in line with the MCA's Digital and Data Strategy.

IG covers the law and best practice within which information is managed in a consistent and secure manner, commensurate with its respective sensitivity. Particular focus is placed upon personal data and other confidential information, including commercially sensitive information. The MCA will adopt the overarching principles of the Government Security Policy Framework in identifying the criteria of standards it must meet.



The Guidance, Direction and Leadership of IG will be through the IG Board – see Appendix 7 for their terms of reference. The specific components of that Board will represent the key areas of the MCA's involved in the management of systems, processes, relations, or services that handle data of a personal or commercially sensitive nature. The following areas will be represented;

- Information Governance
- Information Technology and Cyber Security (CySec)
- Legal
- Business Intelligence

2. Scope

This framework applies to the MCA and representatives of the IG Board. It is intended that any service area that wishes to raise a significant issue with the IG Board does so via its relevant representative or the IG team.

This Framework applies to:

- **All information:** personal data, special category data, criminal offence data, confidential information, official records, commercial information, and open data.
- **All formats:** paper, digital, audio, visual, email, messaging, cloud, and physical media.
- **All persons**: employees, councillors, contractors and temporary contract staff, volunteers, partners, and third-party processors with access to MCA information.
- **All systems/locations**: on-premises, hosted, cloud services, mobile devices, remote working, and archives.

3. Principles

3.1 The IG Board shall ensure that through prioritisation and tasking the MCA shall be open, legally compliant and adopt the best practicable stance in relation to Information Security (InfoSec) with a particular focus on the management of personal data.

3.2 Openness and transparency will be promoted via public channels including the internet and through the Publication Scheme and will apply an appropriate balance between openness and confidentiality in the management and use of information.

A complete adoption of all Data Protection Principles defined by Article 5 of the UK General Data Protection Regulation, and reinforced by the MCA's Data Protection Policy, is applied to all processing of personal data through clear policies, procedures and training.

Strong information security arrangements are applied to safeguard personal information about staff and members of the public, those we do business with, commercial, and other confidential information. Consideration of these requirements will be made throughout the entire processing life of data handled by the MCA.

Clear and coherent processes are in place to allow the MCA to work with partner agencies, organisations, or integrated bodies closely, effectively and in a manner that best benefits the data subjects for which it is responsible.

4. Reporting Standards

Internal auditing of the MCA's compliance with the data protection legislation (Data Protection Act 2018, UK General Data Protection Regulation, and Data (Use and Access) Act 2025) is managed by the MCA's Internal Auditors, who report to the Director of Finance, Investments and Commercial and the Head of Finance. Auditing must provide a clear, relevant, and objective assessment of IG practices within the MCA, and deliver recommendations in line with the Digital and Data Strategy.

The responsibility for the Confidentiality, Integrity and Access of MCA data assets will lie with the Information Technology team, who will form an integral part of and report to the IG Board.

5. Information Risk and Strategy

The prioritisation and allocation of resources to mitigate corporate risks to the data protection rights of data subjects and the risk of compromise of business critical data will be determined by the IG Board.

The IG Board shall establish within its first year a strategy to determine the approach to existing and future threats and opportunities. Within this strategy, the future management and use of MCA data will be determined, including reference to the Digital Preservation Programme, Local Government Transparency Code, regional improvement programmes and intelligent use of MCA data to improve the delivery of services.

Responsibility for the maintenance of the IG Risk Register will remain with the IG Manager/DPO, and this will be mapped to the Corporate Risk Register.

6. Information Asset Register (IAR) / Record of Processing Activities (RoPA)

An information asset is a body of information managed as a single unit, so that it can be understood, shared, protected, and exploited effectively. Information assets have recognisable and manageable value, risk, content, and lifecycles.

Taking care of information assets supports IG and enables the MCA to ensure that sensitive personal data, commercial data and confidential information is handled legally, securely and efficiently and where necessary in accordance with business needs. Such care and attention ensures the management of information supports the efficient location and retrieval of corporate records where and when needed.

A register of information assets is maintained by the IG Manager with support from Information Asset Owners (IAOs). It will be the responsibility of IG Board Members to both represent IAOs and their interests. Each IAO will identify what information assets are held within their area of responsibility, and to ensure this is documented in the central Information Asset Register (IAR). The use, manipulation, access and sharing of individual assets must be by approval from the relevant IAO.

As required by Article 30 of the UK General Data Protection Regulation, a Record of Processing Activities (RoPA) will be maintained, identifying the specific purpose for processing activities. This will provide the route to the principle of 'data protection by design' and allow the MCA overarching visibility of processing activities undertaken regarding personal data. Issues relating to the accuracy of the RoPA will be raised as part of the IG Board's responsibilities.

Creation and ownership of the MCA's Retention Schedule shall remain with the IG Manager, with implementation the responsibility of the IAOs / IACs.

7. Roles and Responsibilities

The IG Board is responsible for the following;

- The creation and maintenance of an IG strategy.
- The balance of IG priorities against Corporate priorities.
- The coordination of resources to meet Corporate IG responsibilities.
- The approval of Policy relating to IG.

- Ensuring the execution of IG tasks by representatives within their relative service areas.
- The identification and representation of needs and risks within the service areas represented.
- The facilitation of intra-service data sharing.
- The reduction of data breaches through technical and organisational means.
- The ethical considerations of data processing within the MCA.

The IG Board's Terms of Reference are set out in Appendix 7.

The **Director of Legal Services** retains overall accountability for IG and risk management. The Data Protection Officer (DPO) provides advice and guidance to the Director of Legal Services in relation to data protection and IG matters and is the Chairperson of the IG Board. Specific responsibilities are set out in Appendix 1.

The **Data Protection Officer (DPO)** is responsible for informing and advising the organisation on its responsibilities under the Data Protection legislation, monitoring compliance, and liaising with Information Commissioner's Office (ICO) and being the contact point between the MCA and the ICO. Specific responsibilities are set out in Appendix 4. The DPO role is held by the Information Governance Manager.

The **Senior Information Risk Owner (SIRO)** works with the DPO in the implementation of actions taken to reduce the MCA's overall information risks. The SIRO also coordinates the work of the Information Asset Owners (IAO) to ensure information assets are effectively managed. Specific responsibilities of the SIRO are set out in Appendix 2.

The **Information Security Lead** has overall responsibility for the implementation of appropriate technical and organisational IG measures to ensure InfoSec and provides appropriate assurance through the governance statement in the annual report that information risks are effectively managed and mitigated to an acceptable level.

The **Information Governance Manager** provides professional advice on the application of information access legislation, including the Freedom of Information Act 2000 and Data Protection Act 2018, and produces an annual information risk report for both IG, InfoSec and CySec.

This role is responsible for ensuring a planned approach to records management across the MCA to support IG, and coordinates the work of the records leads in each team, assuming responsibility for the creation and upkeep of the Record of Processing Activity (RoPA) and Retention Schedule. The specific responsibilities are set out in Appendix 3. The Information Governance Manager also holds the role of the **Data Protection Officer.**

Information Asset Owners (IAO) are responsible for the management of information held in their team including who has access to sensitive information. They understand and address risks to the information in their teams, and escalate issues as required to the Information Governance Manager. Specific responsibilities of IAOs are set out in Appendix 5.

Information Asset Custodians (IACs): Operational custodians supporting IAOs and ensuring control implementation. Specific responsibilities of IACs are set out in Appendix 6.

Contacts named on the RoPA are responsible for ensuring that the nature of the processing activity undertaken in their name remains within the scope of the initially assessed risk. This may be an IAC or IAO, but not always. Where this may change and a high risk to the data protection rights of data subjects is identified, a review of the processing must be undertaken in accordance with the Data Protection Impact Assessment process.

Service managers: Ensure local compliance, training completion, and procedures.

All staff and Councillors: Follow policy, complete training, report incidents, handle data responsibly.

Third parties and processors: Bound by contracts and Data Processing Agreements (DPAs) with specified controls.

8. Incident Management

Information incidents are reported in accordance with the Data Breach Policy and escalated as necessary to the Information Commissioner's Office (ICO) depending on their severity. Reports to the Information Governance Board include a synopsis of the nature of the incident, why it occurred together with 'lessons learnt' and associated actions needed to minimise the risk of recurrence.

Incidents are monitored to identify any systemic risks and to ensure appropriate remedial action and is taken and effective controls put in place.

9. Contracts

All contracts with third parties managing personal data or confidential information on behalf of the MCA are to include standard data protection clauses relating to the safe handling of that data.

10. Information Assurance

Internal audit periodically review key aspects of information governance at the MCA and report to the SIRO on the suitability of controls to manage risks and make recommendations for additional actions where needed.

11. Cyber Security and Business Continuity

The MCA's IT Services apply a comprehensive set of controls to the internal network to ensure resilience and disaster recovery in the event of temporary or partial outages of IT system. The full set of controls and disaster scenarios has been reported to CLT via the Business Continuity Plan.

The MCA complies with the "10 steps to cyber security" recommended by the Cabinet Office to baseline cyber security standards.

Penetration testing is conducted periodically to test the resilience of IT systems and external consultancy support engaged where necessary.

12. Training

Training must be completed upon induction and annual refresher training conducted as necessary where there is an identified need such as a change in legislation or practices.

Training is supplemented by good practice guides on information governance and central support and advice from the Information Governance Manager.

13. Confidentiality

Information received by the MCA may be confidential even if it not marked as such. Staff are obliged to ensure all special category personal data and confidential material is kept securely, and a breach of this obligation may constitute a disciplinary offence in accordance with MCA policy.

14. Information Sharing Agreements

When confidential personal information that can identify an individual is shared, and Information Sharing Agreement should be in place between both the disclosing and receiving Data Controllers.

Where an existing set of Core Principles is in place to guide the creation of an Information Sharing Agreement, this should be the standard for all involved agencies. 'Information Sharing Core Principles' version 7.0 is the current standard.

15. Records management

The MCA ensures a systematic and planned approach to records management from creation to ultimate disposal to support information governance and ensures adequate records are maintained, managed and controlled commensurate with legal, operational and information needs.

16. Communication

Information is communicated to staff via the Information Governance Board, which includes all Information Asset Owners (IAOs), and cascaded to individual teams for action.

The intranet is utilised to provide a centralised resource and point of reference for staff for information governance and records management.

17. Related Policies

The following policies will be created and managed by the Information Governance Department within a structured systematic review process:

- Data Protection Policy
- Records Management Policy
- Retention Schedule
- Security Incident (Data Breach) Management Policy
- Freedom of Information Policy
- Disposal of Confidential Waste Policy

The above policies are owned by Information Governance

- Information Security Policy
- Acceptable Usage Policy

- Disposal of Removable Media Policy
- Mobile and Remote Working Policy
- Mobile Device Usage Policy
- System Access and Management Policy

The above policies are owned by IT

Appendix 1: Roles and responsibilities of the Director of Legal Services

Roles and Responsibilities

The Director or Legal Services has overall responsibility for ensuring that information risks are assessed and mitigated to an acceptable level. Information risks should be handled in a similar manner to other major risks such as financial, legal and reputational risks.

Aspect of Role	Supporting Actions
Lead and foster a culture that values, protects and uses information for the public good	• Appoint a SIRO who is skilled, focused on the issues, and supported • Review and encourage organisational plan to achieve and monitor the right culture • Rake visible steps to support and participate in that plan (including completing own training)
Discuss information risk in the delivery chain where necessary with the Board	• Discuss the quarterly risk assessments and annual forward look at Audit and Risk Committee. • Discuss breaches and “near misses”, at Audit and Risk Committee to learn lessons and share them with others
Cover information risk explicitly in the governance statement	• Receive an annual assessment of information risk performance from the IG Manager, that draws on material from information asset owners and specialists • Publish summary material in the Annual Governance Statement

Appendix 2: Roles and responsibilities of Senior Information Risk Owner

Roles and Responsibilities

The SIRO is an executive familiar with information risks and leads the organisation's response. The SIRO is the focus for the management of information risk at Directorate level.

Aspect of Role	Supporting Actions
Lead and foster a culture that values, protects and uses information for the public good	• Ensure the organisation has measures that are proportionate to the risks faced by the organisation • Ensure the organisation has IAOs who are skilled, focussed on the issues, and supported, plus the specialists that it needs • Take visible steps to support and participate in that plan (including completing own training)
Own the overall information risk policy and risk assessment process, test its outcome, and ensure it is used	• Ensure that risk policy is complete – covering how the organisation implements proportionate measures in its own activity and that of delivery partners • Ensure that risk assessment is completed at least quarterly, based on the risk assessment understands what information risks there are to the organisation through its delivery chain, and ensures that they are addressed • Ensure that risk assessment and actions taken benefit from an adequate level of independent scrutiny
Advise the Director of Legal Services on the information risk aspects of his governance statement	• Receive an annual assessment of performance, covering proportionate measures as well as actions planned for the organisation's own circumstances • Provide advice to other Directors in the Senior Management Team on the information risk parts of their governance statements.

Appendix 3: Roles and responsibilities of the Information Governance Manager

Roles and Responsibilities

The Information Governance Manager is responsible for co-ordinating the organisation's overall information approach to Information Governance, ensuring that professional support and advice is offered to the business, including Information Asset Owners, Register of Processing Activities (RoPA) responsible individuals and ensuring that information is managed as an asset. The role will include:

Aspect of Role	Supporting Actions
Lead and foster a culture that values, protects and uses information for the public good	• Provide professional expertise in relevant legislation (FOI, Public Records Act, Data Protection, re-use, etc) ensuring that everyone understands their legal obligations and realises potential opportunities. • Prepare the annual information governance report for the Senior Management Team and ensures work is coordinated and implemented. (e.g. manages the training, ongoing induction, etc). • Stay well networked in the wider community to ensure that the organisation always learns from good practice elsewhere. • Manage a Record of Processing Activities (RoPA).
Prepares and develops the overall Information Risk Policy and assessment process and keeps it current and relevant.	• Prepare the assessment of risk, working alongside business users and using best practice. • Advise the SIRO on major risks and their potential impact and mitigation. • Ensure that new risks are understood and managed. • Own the day-to-day management of the framework and process.
Ensures that information assets are fully used for the public good, including responding to requests for access from others.	• Map key assets held by organisation overall. • Coordinate the work of Information Asset owners (IAO) to ensure that IAOs understand their legal and regulatory framework, share common approaches, and learn from each other. • Maintain a Record of Processing Activities (RoPA) and ensures that such activities remain accurate and up to date. • Assess opportunities and risks based on request logs and other analysis, taking overview across the organisation. • Report recommendations to SIRO and CLT to ensure Board visibility of opportunities and costs. • Own the Corporate Retention Schedule

Appendix 4: Roles and responsibilities of the Data Protection Officer (DPO)

Roles and Responsibilities

The MCAs' Data Protection Officer (DPO) role is responsible for informing and advising the MCA on its obligations under data protection legislation. The DPO will delegate some of its responsibilities to the Information Governance Officer but will still hold accountability for the DPO role. The DPO will hold the necessary level of expert knowledge and perform their tasks in an independent manner. The DPO will not be dismissed or penalised by the MCA for performing their DPO tasks.

Aspect of Role	Supporting Actions
Inform and advise the MCA on its obligations under data protection legislation ○ Data Protection Act 2018 ○ UK General Data Protection Regulation (UK GDPR) ○ Data (Use and Access) Act 2025)	• Ensure DPO contact details are included within the MCA and externally (for example within the Data Protection Policy, RoPA and Privacy Notices). • Sign off all Data Protection Impact Assessments, including any risk treatments and mitigations. • Manage and set objectives and tasks of the Information Governance Officer • *See Information Governance Manager Supporting Actions in Appendix 3*
Monitor compliance with data protection legislation	• *See Information Governance Manager Supporting Actions in Appendix 3*
Cooperate with the supervisory authority, the Information Commissioner's Office (ICO) and be the point of contact between the MCA and the ICO	• Coordinate any responses to the ICO • Report any data breaches (which are deemed high risk and reportable) to the ICO. • *See Information Governance Manager Supporting Actions in Appendix 3*

Appendix 5: Roles and responsibilities of the Information Asset Owners (IAOs)

Roles and Responsibilities

Information Asset Owners (IAOs) accountable for their respective information assets, this includes a **clear understanding** of the information asset. IAOs must understand **any risks (and mitigations)** associated with their information asset, the **security measures in** place, **compliance requirements** (including any internal audit findings and recommendations), and agreeing any **classification or categorisation.**

Aspect of Role	Supporting Actions
Maintaining clear accountability for the management and protection of their information assets (e.g., a dataset, system, application, or process).	• Document roles and responsibilities. • Act as the decision maker for risks, access, transfer, and usage relating to the asset. • Implement any lessons learned from incidents/breaches/near misses associated with the information asset.
Maintaining a clear understanding of their information assets.	Ascertain: • What is contained within the information asset • Why it exists • How it is used • Who uses it (including any third party data processors) • Its value (including any with classification / categorisation) • Any associated legal, regulatory, or contractual requirements.
Identifying and mitigating risks associated with their information assets	• Evaluate any current risks and mitigations and monitoring emerging risks (including any operational risks raised by the IAC). • Escalate high impact risks to the Information Governance Board and SIRO. • Complete Data Protection Impact Assessments (DPIAs) as necessary. • Consider risks associated with any AI processing.
Implementing and overseeing security measures to protect information assets from unauthorised access, breaches, and other threats	• Approval of access permissions and levels of permissions (on a least privilege basis). • Review of access permissions. • Ensure the process for joiners, movers, and leavers is followed. • Work with IT and IG on implementing any security measures • Ensure incidents/breaches/near misses associated with the information asset are reported as soon as practically possible.
Review and ensure management and usage of information assets, comply with the relevant regulations, policies and standards, and adjustments are made when needed.	• Ensure the processing of data associated with the information asset complies with MCA policies and relevant legislation. • Take ownership of internal reports (and any subsequent findings/recommendations) associated with the information asset. • Ensure information assets feature in the Information Asset Register (IAR) and RoPA (if necessary, i.e. personal data).

Appendix 6: Roles and responsibilities of the Information Asset Custodians (IACs)

Roles and Responsibilities

Information Asset Custodians (IACs) are responsible for capturing, storing and disposing of data in line with the IAO's requirements for technical tools for data-provisioning and delivery of business requirements. If the IAO's are the accountable "business owner" of the information, then the IACs **are the operational guardians** who implements the controls, manages the systems, and ensures day to day protection of the asset.

Aspect of Role	Supporting Actions
Operational management of information assets	• Manage technical and system-related queries. • Spot and reporting data governance issues to the IAO. • Ensure the asset is handled according to the IAO's and MCA Policy requirements. • Act as the bridge / champion between the service and Information Governance.
Identifying and mitigating any operational risks associated with their information assets	• Input into any Data Protection Impact Assessment associated with system changes, or system implementation (including any AI processing). • Escalate risks to the IAO.
Operational security	• Implement user access requirements as set by the IAO. • Apply, review, or remove access permissions in line with the joiners, movers, and leavers process.
Maintain documents and records	• Maintain technical documentation, configuration records, and system diagrams (including change controls documentation). • Support the IAO in maintaining the Information Asset Register (IAR) and RoPA.

Appendix 7: Information Governance Board Terms of Reference

Roles and Responsibilities

The Information Governance Board will oversee operational implementation of the Information Governance Strategy and ensure effective information governance and records management standards are applied across the MCA.

The group will monitor and give effect to information governance and records management policies and ensure these are cascaded to all teams via Information Asset Owners and nominated individuals responsible for the Register of Processing Activities and ensure effective management of sensitive personal data and confidential information.

The group will act as a forum for the review and resolution of practical issues associated with information and records management with escalation to the CLT / SIRO as appropriate.

The group will recommend cyber security controls in consultation the IT team and will assist in identifying and managing risks to confidential information within departments.

To consider practical actions arising from security incidents that have been agreed by the CLT and undertake remedial action.

Membership

Core attendees will be:

- Director of Legal Services (Chair)
- Senior Information Risk Owner (SIRO)
- Legal Representative
- Information Governance Manager
- Data Protection Officer
- IT Representative

IAOs will attend on request for any specific discussions regarding their information assets, but will still have minutes/actions circulated to them for dissemination to their respective service areas.

Meeting frequency

The group will meet quarterly. Additional meetings may be held as business requires.

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Complaints procedure

The complaints procedure relates to complaints about Combined Authority services or any of its Officers (staff). Complaints about Members (the Mayor or Councillors) of any of the Combined Authority's committees are dealt with under a different process which you can find here. Complaints concerning data protection within the Combined Authority are dealt with via a different procedure, which can be found here.

If you are dissatisfied with Combined Authority services or any of its Officers, have told us about that already and aren't satisfied with the response you have received, then you can make a formal complaint to us in writing by email or to the postal address below:

West of England Combined Authority
70 Redcliff Street
Bristol BS1 6AL

You can then expect the following from us.

- We will acknowledge your complaint and provide you with a reference number so that we can keep all the information relevant to your complaint together, helping us deal with it efficiently. We will do this within five working days.

- Where it is possible and appropriate to do so, we will try to resolve your complaint quickly and informally. If we can't do this, we will investigate your complaint in more detail and provide you with a full written response. We will try to do this within 20 working days but may need longer for more complex matters. We will try not to go beyond 40 working days, and will keep you updated in a timely manner, letting you know when we need more time to investigate your complaint.

- We will endeavour to respect confidentiality, but that might not always be possible. We will discuss this with you if we think it is an issue in your complaint.

- Where appropriate, we will acknowledge how we might have done better, accept and apologise for any fault and offer you a reasonable remedy. We will learn from all complaints to constantly improve. Part of that process involves reporting information about complaints to the Audit Committee. These reports don't usually identify complainants.

- We will support your right to seek assistance from the Local Government and Social Care Ombudsman and will respond fully to any issues they raise with us in response about your complaint.

What happens when you make a complaint?

There are two stages to the formal complaints process.

Stage One – Investigation

If we can't resolve your complaint informally, there will be a "Stage One" investigation. This will normally be undertaken by a senior manager within the service that you are complaining about.

Stage Two - Review

If you're not satisfied with how we have investigated your complaint at Stage One, you can ask us to review your complaint. Please do this within 10 working days of receiving the written outcome of the Stage One investigation. Please do this in writing to the email or postal address set out above.

The Stage Two review is not intended to be another investigation into your compliant. Instead, at Stage Two a senior manager from a different service will consider whether your complaint was investigated properly at stage one and whether the stage one response was reasonable.

If the reviewing manager is content that your complaint has been dealt with appropriately, they will tell you this and that will complete the internal complaints process.

If the reviewing manager feels that the complaint has not been dealt with appropriately, they will take steps to correct that. This may involve asking someone else to reconsider part or all of the initial complaint. The outcome communicated to you once any corrective steps have been taken will complete the internal complaints process.

If you remain dissatisfied

If you are not happy with how we've dealt with your complaint, you have the right to ask the Local Government and Social Care Ombudsman to look into the matter for you. Their contact details are as follows:

Local Government and Social Care Ombudsman
PO Box 4771
Coventry CV4 OEH
Phone: 0300 061 0614
Website: www.lgo.org.uk

Dealing with unreasonable complaints or complainants

We are committed to dealing with all complaints quickly, thoroughly, and fairly. However, we expect complainants to act reasonably which includes being polite, open and honest with us and generally treating us in the way they would expect us to treat them. Aggressive behaviour and inappropriate language will not be tolerated. There are also occasions when contact from a complainant can become unreasonably frequent, repetitive, or persistent. Sometimes, complainants will expect us to do things that are unreasonable or disproportionate.

If we think this is happening, we will write to the complainant to let them know. If the behaviour continues, we may classify a complainant as vexatious or unreasonably persistent and may take action to limit the contact the complainant has with us or their ability to use the complaints process. If we have to do this, we will set out in writing why we have decided to do so.

Complaints about a Member of the Combined Authority

If you wish to make a complaint about the Mayor or a Member of the Combined Authority please contact the Monitoring Officer at: monitoringofficer@westofengland-ca.gov.uk.

or in writing to:
West of England Combined Authority
70 Redcliff Street
Bristol BS1 6AL

Member Code of Conduct complaints

All Members (the Metro Mayor and Councillors who serve on our committees) are expected to adhere to the Combined Authority's Member Code of

Conduct. Allegations that the Member Code of Conduct has been breached should be made in writing, sent to the Monitoring Officer monitoringofficer@westofengland-ca.gov.uk. The Member Code of Conduct is available here (pdf), and the complaints handling process is available here (pdf).

Data Protection Complaints

You have the right to make a complaint to the Combined Authority regarding data protection (a "DP Complaint"). This complaint can be lodged in any form, and does not have to be submitted in writing.

What happens when you have made the DP Complaint?

When we receive a complaint, we will likely need to verify your identity. This will involve you supplying some evidence of your name and address. Once that has been done, the Combined Authority will acknowledge the complaint within 30 days.

The Combined Authority will investigate your complaint internally, and keep you informed of the progress of that investigation. We are obliged to let you know the outcome with without unjustifiable or excessive delay.

You have the right to complain to the Information Commissioner's Office at any time. The ICO can be contacted in the following ways:

Information Commissioner's Office
Wycliffe House
Water Lane
Wilmslow
Cheshire
K9 5AF

Tel: 0303 123 1113 (local rate) or 01625 545 745 if you prefer to use a national rate number.

Alternatively, visit ico.org.uk or email casework@ico.org.uk.

Data Protection Complaints Staff Guide

WECA is obligated by law to have a dedicated procedure to deal with complaints relating to data protection. This guidance seeks to set out:

(i) WECA's obligations, and

(ii) what you should do in the event you believe you have received a data protection complaint

If you have any queries about an issue relating to this guidance, please refer to the Information Governance Team.

What is a data protection complaint?

The definition is wide and it covers anything relating to how WECA has fulfilled our obligations relating to data protection.

The complaint does not need to mention laws or use formal wording.

It can relate to **any** aspect of WECA's handling of personal data, for example:

- WECA's response to a data subject access request;
- How long WECA retains personal data;
- Accuracy of the personal data WECA holds;
- Security measures WECA has in place relating to personal data.

How do individuals make a complaint?

There is no set format for how individuals can complain. It can be by **any means** including post, email, telephone or social media. It can also be a verbal complaint.

What are WECA's obligations?

Please note: all complaints should be referred to the Information Governance team immediately on being received. Please email IG@westofengland-ca.gov.uk . It is for the IG team to carry out the steps below.

Step 1: **Acknowledge (within 30 calendar days)**

Method

- We should usually acknowledge the complaint in the same way the complaint has been made. So if the complaint was by email, we should respond by email. However:
    - If received via social media, ask the individual for another contact method, as social media is not likely to be a secure means of communication.
    - If received verbally, we should ask for the contact information relating to the method which the complainant would like to receive written responses to (i.e. post or email). We should acknowledge the complaint in writing, so that we have a record of our compliance.

Content

- The main content should be an acknowledgment that we have received the complaint and are now investigating.
- If required (for example, if received by social media), we should also verify the identity of the complainant at this stage.
    - This would often involve asking for the complainant to send proof of identity. Once that has been received and verified the copy of the document should be deleted from our system so that we do not hold that personal data.
- We could also request additional information if needed. This could also include asking the complainant what resolution they want in relation to their complaint.

Timelines

- The 30 days start the day after we receive the complaint. It doesn't matter if this day falls on a weekend or a public holiday. The 30 days still start on this day.

- If the last day to acknowledge the complaint falls on a weekend or public holiday, we have until the next working day to provide an acknowledgement.

Step 2: Investigate internally

A. Gather the information

Start by gathering as much information as you need, including:

- Look at all the relevant facts thoroughly, fairly and accurately;
- Speak to the relevant members of staff;
- Where we are acting as a joint controller of information (for example with another UA), we should have a co-ordinated and cooperative response with that joint controller;
- Compare the information from the complaint with the information we hold; and
- Check we have upheld our terms, policies and standards.

B. Investigate the complaint without undue delay

We **must** make enquiries into the complaint without undue delay. The time taken for an investigation will depend on many individual factors relevant to the complaint.

The obligation to investigate begins when we receive the complaint, not after the 30-day acknowledgement period.

We must:

- Make an appropriate level of enquiries based on the circumstances of each complaint
- Be able to justify why we handled a complaint in the way we did

Don't take steps that would be unreasonable or disproportionate – this will always depend on the circumstances.

C. Keep people informed

We **must** keep the complainant updated on the progress of the investigation without undue delay. This includes updates on timeframes and explaining any delays.

D. Record our actions

Our record of the complaint should include:

- The date we received the data protection complaint;
- The acknowledgement
- Any relevant conversations and documents;
- The outcome of the complaint; and
- Any actions we took as a result of the investigation

The ICO can ask to see this if they investigate at a later date.

We will record the number of data protection complaints we receive, as well as recurring themes and trends. This will help us identify potential compliance issues and areas for improvement. We will report on this data quarterly to the Corporate Leadership Team, Audit Committee and Information Governance Board.

You must not keep personal information for longer than you need it.

Step 3: After the investigation

A. Provide an outcome to the complainant

We **must** let the complainant know the outcome without an unjustifiable or excessive delay.

If we are able to investigate the complaint and provide an outcome within 30 days, we are not required to provide an acknowledgement and outcome separately.

How we communicate with the complainant at all stages of the process is up to us, subject to any relevant equality legislation requirements. For example, it may be possible to resolve more straightforward complaints quickly over the phone, provided we have verified the person's identity and recorded the complaint and telephone call in a comprehensive file note.

Our response should:

- Clearly explain what we have done to resolve the data protection complaint;
- Where appropriate, set out any actions we have taken as a result;
- If we think that we have complied with data protection law, explain this in detail to the complainant; and
- Provide enough information to help the complainant understand how we have reached our conclusion

B. What if the complainant is unhappy with the response?

If it is helpful for the complainant, we can provide more detail or clarify our decision.

If the complainant remains unhappy, we will align with the review process outlined in our main complaints procedure. Any review will be handled by the SIRO.

We must let the complainant know they have the right to complain to the ICO and provide contact details (see annex to this note).

- There's no obligation to do so at this stage, however you **must** inform them of the right to complain at other points (e.g. when you first collect their personal information)
- People can complain to the ICO at any point – they don't need to wait for us to conclude our investigation.

C. Review the lessons learned

We need to review what happened with the complaint and consider if there's anything we can learn or improve on to prevent future complaints.

This consideration should be recorded.

When to get help

All complaints should be referred to the Information Governance Team

Annex – ICO Contact Information

www.ico.org.uk

Helpline: 0303 123 1113

Policy Version number	Author and job title	Date Issued	Summary of Changes Made	Next Review Date
1	[redacted] Senior Commercial Lawyer	15.06.2026	Initial Version of Policy Issued	15.12.2026

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REPORT TO:	**WEST OF ENGLAND COMBINED AUTHORITY AUDIT COMMITTEE**
DATE:	**6 JULY 2026**
REPORT TITLE:	**LOCAL GOVERNMENT AND SOCIAL CARE OMBUDSMAN ANNUAL REVIEW LETTER**
RESPONSIBLE OFFICER:	**HEAD OF LEGAL SERVICES**

Key Decision **No**
Purpose of Report To present the Local Government and Social Care Ombudsman Annual Review Letter for 2025/2026.
Recommendations The Audit Committee is recommended to note the Local Government and Social Care Ombudsman Annual Review Letter 2025/26.
Reasons for recommendation Presentation of the review letter is part of the Combined Authority's governance processes.
Voting arrangements The report is for noting only.
Publication Requirements For publication.

Background

1. Before a complaint can be made to the Local Government and Social Care Ombudsman (the Ombudsman), a complainant must have first complained through the Combined Authority's own internal complaints process. This comprises a Stage

One investigation, and if the complainant remains unhappy with the way that the complaint has been handled, the complainant can ask for a review under Stage Two. That review will be carried out by a different officer.

2. The Ombudsman looks at complaints about the Combined Authority where complainants consider that concerns raised were not sufficiently addressed through the Combined Authority's two stage complaints process.

3. The Ombudsman produces an annual review letter for each Authority. This typically contains details of the total number of decisions made about the Authority during the year, the number of complaints that were not ready for the Ombudsman (because, for example, an internal complaints process has not been exhausted), the number of complaints assessed and closed, and the number of complaints investigated. This letter is included at Appendix A.

4. This report attaches the Ombudsman Annual Review Letter and looks at complaints that the Ombudsman has considered during the period 1 April 2025 to 31 March 2026.

Key Considerations

5. During that period, a total of two complaints were considered by the Ombudsman. Of these, one was not for the Ombudsman The other was assessed and closed. The Ombudsman carried out no investigations in this period. The Ombudsman did not uphold any complaints in this period. No recommendations were due for compliance in this period.

Alternative Options Considered

6. This report is simply for noting.

Consultation and Engagement

7. This report is for noting only.

Key Risks

8. Reporting the Annual Review letter to the Audit Committee forms part of the Combined Authority's governance processes. The Annual Review letter offers valuable insight about the Combined Authority's performance and approach to complaints. It is good practice to consider this letter as part of governance arrangements to be certain that the opportunities to learn valuable lessons on how to further improve service delivery which are provided by complaints, are taken. The Audit Committee therefore holds a key role in this governance process.

Diversity, Equity and Inclusion Implications

9. This report is for information only and presents the Local Government and Social Care Ombudsman Annual Review Letter for 2025/26. As it does not introduce a new policy, service change, decision or operational change, no direct equality impacts have been identified and a full EqIA is not required at this stage. The Section 1 EqIA screening provides the due regard audit trail for this report. From a DEI perspective, accessible and transparent complaints processes remain important in ensuring that residents and service users are able to raise concerns fairly and effectively. Any future complaints trends or learning should continue to be considered through an equality lens, particularly where they may indicate barriers to access, communication or service experience for people with protected characteristics or other underrepresented groups.

Climate Change Implications

10. No Climate or Nature Recovery implications arise directly from this report.

Financial Implications

11. There are no financial implications arising directly from this report. However, should the Ombudsman find maladministration causing injustice, compensation may be awarded to the complainant.

Legal Implications

12. This report is just for noting but provides the Audit Committee with oversight of complaints that were considered by the Ombudsman during 2025/26.

Human Resources Implications

13. There are no HR implications arising directly from this report.

Commercial and Procurement

14. No Commercial and Procurement implications arise directly from this report.

Health Improvement and Health Inequalities

15. Reporting on Ombudsman's findings and any identified areas for improvement provide an additional source of assurance and learning in respect of the Authority's exercise of its functions and decision-making. Consideration of complaints, outcomes and recommendations supports the Authority in identifying any patterns of impact, including those which may disproportionately affect vulnerable or

disadvantaged communities, and minimising the risk of adverse impacts on health and wellbeing.

Appendices

Appendix 1 – Annual Review Letter 2025/26
Appendix 2 – Summary of complaints

Background papers

None

West of England Mayoral Combined Authority Contact:

Report Author:	Steve Hellard
Contact Details:	steven.hellard@westofengland-ca.gov.uk

Local Government & Social Care OMBUDSMAN

20 May 2026

By email

Mr Peacock
Chief Executive
West of England Combined Authority

Dear Mr Peacock

Annual Review letter 2025-26

I write to you with your annual summary of complaint statistics from the Local Government and Social Care Ombudsman for the year ending 31 March 2026.

We recognise that authorities continue to face significant pressures in delivering services to their communities. We hope the data and insight we share with you each year remains a useful tool for reflection and continuous improvement. Please consider it as part of your corporate governance processes.

We will write to organisations in July where there is exceptional practice or where we have concerns about complaint handling. Not all organisations will get a letter. If you do receive a letter it will be sent in advance of its publication on our website on 15 July 2026.

Complaint statistics

Our statistics focus on three key areas that help to assess your organisation's commitment to putting things right when they go wrong. We provide the total number of decisions we made about your authority during the year, the number of complaints that were not for us or not ready for us, the number of complaints we assessed and closed and the number of complaints we investigated.

Complaints upheld - We uphold complaints when we find fault in an organisation's actions, including where the organisation accepted fault before we investigated.

Satisfactory remedy provided by the organisation - In these cases, the organisation upheld the complaint and we agreed with how it offered to put things right.

Compliance with recommendations - We recommend ways for organisations to put things right when faults have caused injustice and monitor their compliance with our recommendations. Failure to comply is rare and a compliance rate below 100% is concerning. In addition, we now provide a timely compliance statistic alongside the overall compliance rate. This statistic shows the proportion of cases where agreed recommendations were recorded as completed on time.

Supporting complaint and service improvement

We remain committed to supporting the sector to embed effective systems of redress. Where authorities are navigating reorganisation and devolution, we are ready to help ensure that robust complaint handling is built into new arrangements from the outset. Please do get in touch if your organisation would benefit from our advice and guidance.

Our Complaint Handling Code, in force since April 2025, is now applied in our casework about councils and offers structure and support to your local complaint system. The Code is good practice for all organisations we

investigate (except where there are statutory complaint handling processes in place), and we may decide to issue it as guidance to other organisations, such as yours, in future.

Our training programme provides a flexible, expert-led route to building complaints capability across your teams, with courses open for individual delegates to book. Contact training@lgo.org.uk for more information.

Our Annual Review of Local Government Complaints will be published in July 2026, setting out the national picture of complaints, trends across service areas, and emerging systemic issues. We encourage you to read it alongside your own organisation's data.

Yours sincerely,



Amerdeep Clarke
Local Government and Social Care Ombudsman
Chair, Commission for Local Administration in England

Complaint overview
Between 1 April 2025 and 31 March 2026, we dealt with 2 complaints. Of these, 1 was not for us or not ready for us to investigate. We assessed and closed 1 complaint. We investigated 0 complaints.
Complaints upheld
The Ombudsman carried out no investigations in this period
Satisfactory remedies provided by the organisation
The Ombudsman did not uphold any complaints in this period
Compliance with Ombudsman recommendations
No recommendations were due for compliance in this period

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Reference	Authority	Category	Subcategory	Decided	Decision	Decision Reason	Remedy
25000793	West of England Combined Authority	Corporate & Other Services	Contracts and business matters	17/04/25	Referred back for local resolution	Premature Decision - advice given	
25018418	West of England Combined Authority	Corporate & Other Services	Corp & Other Servs-other	26/03/26	Closed after initial enquiries	Other Agency better placed	

Reference	Authority	Category	Subcategory	Decided	Remedy	Remedy Achieved	Satisfaction with Compliance

No compliance data recorded during the period.

Explanatory notes

Cases received

Cases with a recorded received date between 1 April 2025 and 31 March 2026. Status as of 7 April 2026.

Cases decided

Cases with a recorded decision date between 1 April 2025 and 31 March 2026. Status as of 7 April 2026.
Please note that some cases may have been reopened since that date, with either a decision outcome pending or a new decision outcome recorded.
We report our decisions by the following outcomes:

Invalid or incomplete: We were not given enough information to consider the issue.	These decision outcomes are included in the number of cases reported as **not for us / not ready for us** in the complaints overview section on the online map.
Advice given: We provided early advice or explained where to go for the right help.	
Referred back for local resolution: We found the complaint was brought to us too early because the organisation involved was not given the chance to consider it first.	
Closed after initial enquiries: We assessed the complaint but decided against completing an investigation. This might be because the law says we're not allowed to investigate it, or because it would not be an effective use of public funds if we did.	This decision outcome is included in the number of cases reported as **assessed and closed** in the complaints overview section on the online map.
Upheld: We completed an investigation and found evidence of fault, or the organisation provided a suitable remedy early on.	These decision outcomes are included in the number of cases reported as **investigated** in the complaints overview section on the online map.
Not upheld: We completed an investigation but did not find evidence of fault.	
The following decision reasons are **satisfactory remedy decisions**, i.e. upheld cases where we were satisfied the authority had already provided a suitable remedy to resolve the complaint: *Upheld - Injustice remedied during organisations complaint processes* *Upheld - fault & inj - no further action organisation already remedied*	These decision reasons are included in the number of cases reported as **satisfactory remedies provided by the council** on the online map.

Compliance outcomes

Cases with a recorded remedy achieved date between 1 April 2025 and 31 March 2026. Status as of 27 April 2026. The relevant date is the date of compliance with the recommendations (for example, the date on an apolog letter) rather than the date the evidence is provided to us. If we were notified after 27 April 2026 of a remedy achieved before 31 March 2026, this will not be included here.
Where the 'Satisfaction with Compliance' column records a non-compliance outcome of 'Remedy not complete and not satisfied', the 'Remedy Achieved' date designates the date the case was closed and a new case opened.

This year we are publishing a **timely compliance statistic** alongside the overall compliance rate. The statistic will show both the number and percentage of cases where agreed recommendations were recorded as completed on time. To be recorded as 'on time', all parts of a multi part recommendation need to have been recorded as delivered within agreed timescales.
Alongside this new statistic we are providing more detailed 'Satisfaction with Compliance' outcomes. These are:

- *Remedy satisfied on time*
- *Remedy satisfied late. Personal remedy and service improvement late.*
- *Personal remedy late. No service improvement recommendations.*
- *Personal remedy late. Service improvement satisfied on time.*
- *Service improvement late. No personal remedy.*
- *Service improvement late. Personal remedy satisfied on time.*
- *Remedy not complete and not satisfied.*

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WEST OF ENGLAND MAYORAL COMBINED AUTHORITY

REPORT TO: **WEST OF ENGLAND MAYORAL COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **AUDIT COMMITTEE FORWARD WORK PLAN**

RESPONSIBLE OFFICER: **DIRECTOR OF FINANCE, INVESTMENTS AND COMMERCIAL**

Key Decision	**No**

Purpose of Report

The report presents to the Audit Committee the Forward Work Plan for 2026/27.

Recommendation

That the Audit Committee:

1) Review the Forward Work Plan and suggest any amendments required.

Reasons for recommendation

To provide Audit Committee Members with the opportunity to review the Forward Work Plan.

Voting arrangements

The voting arrangements of the West of England Combined Authority Audit Committee as set out at page A51 para. A20 of Part A of the West of England Combined Authority Constitution (as amended 17.3.2023) are not applicable as the West of England Combined Authority Audit Committee is asked only to review and comment on the report.

Publication Requirements

For Publication.

Background

1. The Audit Committee's Terms of Reference have been updated and agreed at the Authority's Annual General Meeting following consultation with the Authority's Audit Committee and have been attached to this agenda. The attached Forward Work Plan details how the Committee meets those Terms of Reference.

Key Considerations

2. Local Government Audit Committees should comply with the Chartered Institute of Public Finance and Accountancy's (CIPFA) Position Statement and Practical Guidance for Audit Committees. The Terms of Reference for the Audit Committee are designed to ensure the Committee meets the CIPFA standards.

3. The Forward Work Plan is designed to ensure that the key Audit Committee responsibilities are fulfilled.

4. The Forward Work Plan comprises a schedule of reports to be presented to the Audit Committee at each of its meetings during the year. Various reports have to be presented at specified meetings in order to comply with statutory requirements (for example relating to the statement of accounts and annual governance statement). Induction programmes and identified training will also be put in place for new members to the Committee and factored into the Forward Work Plan accordingly.

5. There are six meetings of the Audit Committee scheduled for 2026/27, as follows:

    - Monday 6 July 2026
    - Monday 14 September 2026
    - Monday 28 September 2026 (additional meeting to consider proposed changes to the Authority's constitution only)
    - Monday 2 November 2026 - provisional (members requested that an additional date in the diary be made available due to the volume of business)
    - Monday 7 December 2026
    - Monday 1 March 2027

6. Diary appointments have been circulated to Members.

7. In addition, a number of informal briefings will be scheduled throughout the year. Members will already have received a diary invitation for an informal budget briefing in January 2027.

Alternative Options Considered

8. The Forward Work Plan for the Audit Committee is a helpful guiding document for the Committee itself and other stakeholders with an interest in the Committee's activities.

Consultation and Engagement

9. Relevant officers and the Audit Committee were consulted in producing the Forward Work Plan.

Key Risks

10. The Audit Committee aims to comply with standards established by the Chartered Institute of Public Finance and Accountancy (CIPFA). The maintenance of a work plan is consistent with the CIPFA standards. The production of a work plan also helps the Audit Committee to ensure it achieves its terms of reference.

Equality, Diversity and Inclusion Implications

11. There are no specific implications arising directly from this report.

Climate Change Implications

12. There are no direct climate change implications arising from this report.

Financial Implications

13. There are no direct financial issues arising from this report.

Legal Implications

14. The recommendation in this Report accords with Part 8 Article 24 of the West of England Combined Authority Order 2017 (SI 2017/126). There are no direct legal implications arising from this report.

Human Resources Implications

15. There are no Human Resources implications arising from the report.

Commercial and Procurement

16. There are no commercial issues arising from this report.

Health Improvement and Health Inequalities

17. There are no Health Improvement or Health Inequalities implications in the adoption of this report

Appendices

- Appendix 1 – Audit Committee Forward Work Plan.

Background papers:

- Previous Forward Work Plans presented at each Audit Committee Meeting.
- Audit Committee Terms of Reference – West of England MCA Constitution.

West of England Mayoral Combined Authority Contact:

Report Author: Tim Milgate
Contact Details: Tim.Milgate@westofengland-ca.gov.uk

Appendix 1 - Audit Committee Forward Work Plan

Autumn 2026 – 14 September 2026

Formal Meeting to include:

Report Back from Main Committee	Audit Chair
Corporate Risk Register	Director of Finance, Investments and Commercial
Statement of Accounts, Final Audit Report and Letter of Representation	Director of Finance, Investments and Commercial
Organisational Improvement Programme	Director of Operations
Quarterly FOI Compliance Report	Director of Legal Services
Treasury Management Monitoring Update	Director of Finance, Investments and Commercial
Performance Management Update	Director of Strategy
Monitoring & Evaluation Framework Update	Director of Strategy
Internal Audit Progress and Required Reports	Internal Audit
External Audit Progress and Required Reports	External Audit
Forward Work Plan	Director of Finance, Investments and Commercial
Points to Refer to Main Committee	Audit Chair
Feedback Section	Audit Chair

28 September 2026

Update to Financial Regulations	Director of Finance, Investments and Commercial
Constitutional Changes	Director of Legal Services

2 November 2026 – diary hold for additional meeting if necessary

7 December 2026

Formal Meeting to include:

Report Back from Main Committee	Audit Chair
Draft Treasury Management Strategy and Treasury Management Monitoring Update	Director of Finance, Investments and Commercial
Draft Non-Treasury Investment Strategy/ Draft Minimum Revenue Provision Statement/ Draft Capital Strategy	Director of Finance, Investments and Commercial
Social Value Follow-Up	Director of Finance, Investments and Commercial
Gifts and Hospitality, Register of Interests, Dispensations and Annual Compliance Report	Director of Legal Services and Head of Human Resources and Organisational Development
Quarterly FOI Compliance Report	Director of Legal Services
Final Annual Audit Report	Director of Finance, Investments and Commercial
Internal Audit Report(s)	Internal Audit

External Audit Reports	External Audit
Corporate Risk Register	Director of Finance, Investments and Commercial
Forward Work Plan	Director of Finance, Investments and Commercial
Points to Refer to Main Committee	Audit Chair
Feedback	Audit Chair

Spring 2027 – 1 March 2027

Formal Meeting to include:

Report Back from Main Committee	Audit Chair
Internal Audit Reports	Internal Audit
External Audit Reports	External Audit
Annual Audit Committee Report	Director of Finance, Investments and Commercial
Quarterly Risk Update and Corporate Risk Framework Annual Review	Director of Finance, Investments and Commercial
Treasury Management Update	Director of Finance, Investments and Commercial
Internal Audit Plan	Internal Audit
Expansion Update	Director of Strategy
Information Governance Update & FOI quarterly report	Director of Legal Services
Treasury Management	Director of Finance, Investments and Commercial
Forward Work Plan	Director of Finance, Investments and Commercial
Points to Refer to Main Committee	Audit Chair
Feedback Section	Audit Chair

Summer 2027

Report Back from Main Committee	Audit Chair
Membership Updates	Director of Legal Services
Chair and Vice-Chair Appointments	Director of Legal Services
Internal Audit Reports	Internal Audit
Treasury Management Update	Director of Finance, Investments and Commercial
External Audit Reports	External Audit
Information Governance Yearly Review	Director of Legal Services
Terms of Reference	Director of Legal Services
Quarterly Risk Update	Director of Finance, Investments and Commercial
Forward Work Plan	Director of Finance, Investments and Commercial
Points to Refer to Main Committee	Audit Chair
Feedback Section	Audit Chair

Scheduled

11 January 2027 – Informal Budget Briefing [O&S Ctte also invited]

To be scheduled/to take place

Informal briefings suggested for 26/27:

Year End Briefing Walk Through Session – Steve Finnegan (summer 2026)

Fraud - Internal Audit

Treasury Management – Arling Close – November 2026

Constitutional Changes

Financial Regulation Changes

NSC Joining Arrangements

O&S Ctte at its March 2026 meeting asked for a briefing or short briefing paper on Reserves for both transport and general reserves – can be set up as an informal briefing with Audit & O&S if members' desire.

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WEST OF ENGLAND | MAYORAL COMBINED AUTHORITY

REPORT TO: **WEST OF ENGLAND MAYORAL COMBINED AUTHORITY AUDIT COMMITTEE**

DATE: **6 JULY 2026**

REPORT TITLE: **CYBER RESILIENCE UPDATE**

RESPONSIBLE OFFICER: **DIRECTOR OF LEGAL SERVICES**

Key Decision	No
Purpose of Report 1. To update Audit Committee on recent cyber resilience improvements, ongoing management and monitoring arrangements, and future plans.	
Recommendation That Audit Committee: a) Note the progress to date and future plans with respect to cyber resilience at the Combined Authority.	
Reasons for recommendation To provide Audit Committee Members with an update on cyber resilience improvements and future plans at the Combined Authority.	
Voting arrangements The voting arrangements of the West of England Combined Authority Committee as set out at page A51 para. A20 of Part A of the West of England Combined Authority Constitution (as amended 17.3.2023) are not applicable as the West of England Combined Authority Audit Committee is asked only to note and comment on the report.	

Publication Requirements To be published. If discussions necessitate a move to exempt session then the Committee will be asked to pass an appropriate resolution.

Background

Summary

1 Over the past two years, the MCA has delivered a programme of cyber resilience improvements, strengthening its overall security posture across governance, technology, training and assurance.

2 Since October 2025, the MCA has successfully transitioned to new ICT service arrangements with Delt. Enhanced cyber resilience services are now operational, including:

- Managing Risk: Compliance and Audit
- Managing Risk: Risk Assessment
- Protecting Systems: Vulnerability Detection, Assessment and Monitoring
- Detecting Events: Extended Detection and Response
- Minimising Impact: Incident Response and Investigations

3 Previous audit and assurance activity has provided confidence over core controls, with actions arising taken forward and addressed as part of ongoing improvement.

4 During 2025/26, a patch management audit was undertaken, which resulted in an outcome of “Reasonable Assurance”. Recommendations were reviewed and implemented, including updates to policy and supporting processes.

5 The MCA continues to maintain compliance with Public Service Network (PSN) requirements, with the annual healthcheck completed and recertification process underway.

6 With core improvements delivered, the organisation has now entered a new phase focused on embedding, optimising and further maturing cyber resilience, aligned to the Digital and Data Strategy approved in 2026.

Context

7 Cyber resilience refers to the ability to prepare for, respond to, and recover from cyber security incidents. It is critical to ensuring operational continuity, protecting sensitive data, and maintaining public trust.

8 The cyber threat landscape for local government remains significant and evolving. Local authorities continue to be targeted due to the volume of sensitive data held, the critical services delivered, and the complexity of

technology environments. Disruption from cyber incidents can be substantial, with impacts including service outage, financial cost, regulatory exposure and reputational damage.

9 Nationally, organisations such as the National Cyber Security Centre (NCSC) provide guidance, tools and intelligence to support public sector cyber resilience, alongside bodies such as the Local Government Association (LGA) and the Ministry of Housing, Communities and Local Government (MHCLG).

10 The UK Cyber Strategy outlines the national approach to cyber security, structured around three core aims: Deter, Defend and Develop, supported by five key objectives:

- Manage cyber security risk through effective identification and assessment
- Protect systems and data through appropriate design and controls
- Detect cyber security events across networks, systems and services
- Minimise the impact of incidents through effective response and recovery
- Develop the right skills, knowledge and culture

11 Within local government, MHCLG has introduced a Cyber Assessment Framework (CAF) tailored to the sector, based on the NCSC framework. This provides a structured approach to assessing cyber maturity, benchmarking performance and identifying areas for improvement.

12 The MCA has engaged with this programme and:

- Previously achieved CAF readiness and secured funding to support cyber security activity
- Completed self-assessment against CAF Objectives A (Managing Security Risk) and D (Minimising the Impact of Cyber Security Incidents)
- Is progressing to the review and validation stage with MHCLG, while exploring further funding opportunities

13 Against this wider context, the MCA has delivered cyber resilience improvements over the past two years and, following the transition to new ICT service arrangements in October 2025, has entered a new phase focused on embedding enhanced capability and strengthening governance arrangements.

14 This reinforces the need for continued investment and organisational focus on cyber resilience, which is reflected in the Digital and Data Strategy (2026–2029). The strategy positions cyber resilience within the Responsible and Enabling Digital Foundations theme, embedding secure-by-design principles, strengthened governance, and improved information management across the organisation.

Threat landscape

15 Intelligence from organisations such as the National Cyber Security Centre (NCSC), National Protective Security Authority (NPSA) and other national partners highlights the continued and evolving nature of cyber threats facing public sector organisations.

16 Local authorities remain a target due to the volume of sensitive information held, the critical services delivered, and the complexity of technology environments. Cyber attacks may originate from a range of actors including criminal groups and, in some cases, state-affiliated actors seeking to disrupt services or access sensitive data.

17 Recent high-profile cyber incidents affecting UK local authorities have demonstrated that the impact of such attacks can be significant, with recovery periods extending over many months. Consequences can include prolonged service disruption, financial cost, data loss, and reputational damage.

18 This reinforces the importance of maintaining robust cyber resilience capabilities, including the ability to detect threats early, respond effectively, and recover services in a timely manner.

Mayoral Combined Authority (MCA) ICT arrangements and responsibilities

19 Since October 2025, the MCA's ICT services have been delivered through a strategic partnership with Delt, replacing previous arrangements with Agilisys. Services have largely transferred on a like-for-like basis, with the addition of enhanced cyber security capabilities.

20 The MCA receives a range of ICT services from Delt, including:

- Cyber - Managing Risk: Compliance and Audit
- Cyber - Managing Risk: Risk Assessment
- Cyber - Protecting Systems: Vulnerability Detection, Assessment and Monitoring
- Cyber - Detecting Events: Extended Detection and Response
- Cyber - Minimise Impact: Incident Response and Investigations
- General – Application Support
- General – Data Backup
- General – Collaboration and Communication Services
- General – Network Connectivity and Hosting
- General – IT Service Management
- General – Managed Client Devices

21 These services provide improved capability across the full cyber resilience

lifecycle, supporting a more proactive and coordinated approach to managing cyber risk.

22 Delt is a Microsoft partner and holds relevant accreditations, including Cyber Essentials Plus, and maintains compliance with the NHS Data Security and Protection Toolkit (DSPT), providing assurance over their approach to information security and service delivery.

23 Cyber resilience continues to be governed through established arrangements, including the Digital Board and ICT Security Forum, with key risks managed through the corporate risk management process. These arrangements are continuing to mature through delivery of the MCA's Digital and Data Strategy, strengthening governance, accountability and alignment across digital, data and security.

Key Considerations

Cyber Resilience Improvements

24 The MCA has delivered a broad range of improvements, resulting in a strengthened and more resilient cyber posture.

Technology and Security	• Implementation of enhanced cyber services through Delt, including vulnerability detection, extended detection and response, and incident response capability • Completion of the Windows 11 upgrade programme, ensuring all devices are on a supported and secure operating system • Delivery of a rolling device replacement programme, ensuring endpoint technology remains supported and secure • Management of residual risk during transition through conditional access controls for legacy devices
Assurance and Improvement	• Patch management audit findings reviewed and improvement actions implemented, including updates to policy and supporting processes • Completion of annual PSN healthcheck, with recertification underway. PSN certification demonstrates that security arrangements, policies and controls are sufficiently robust to allow the MCA to connect to the PSN and partner organisations • Following securing 'CAF Ready' status, the MCA has undertaken self-assessments against CAF Objectives A and D, and will now work with MHCLG to review these and identify further improvements

Governance and Strategy	• Approval of the Digital and Data Strategy (2026–2029), embedding cyber resilience as a core organisational priority • Completion of capability assessments across data, applications and integrations, technology, services and security, with outputs informing a structured improvement roadmap with Delt
Information Governance	• Implementation of a new Information Governance Framework, strengthening management of information assets across their lifecycle and supporting secure-by-design approaches
Training and Awareness	• Continued delivery of mandatory cyber awareness training, supported by the rollout of a new learning platform and updated training provision, with opportunities to expand and refine further in line with the Digital and Data Strategy • Ongoing awareness raising through internal communication channels, including guidance, alerts and best practice messaging.
Operational Resilience	• Business Continuity Planning: an organisation-wide review is underway, including alignment with cyber incident response arrangements • Rolling Disaster Recovery (DR) testing: monthly service-by-service testing to validate recovery capability • Enhanced detection and response capability supporting improved response to cyber incidents

Ongoing management and monitoring arrangements

25 Cyber resilience continues to be supported through established governance, assurance and monitoring arrangements. These are designed to provide oversight of cyber risk, ensure effective operation of controls, and support continuous improvement.

26 Governance is provided through the Digital Board and ICT Security Forum, which oversee cyber risk, incidents, vulnerability management and ongoing improvement activity. Key cyber risks are managed through the corporate risk management process.

27 These arrangements are being further strengthened and matured through delivery of the MCA's Digital and Data Strategy, particularly the Responsible and Enabling Digital Foundations theme. This includes the introduction of a more structured, capability-led approach to governance, incorporating:

- Enterprise Architecture practices, providing a clear view of the organisation's current and target state across technology, data, applications and integrations, security and services
- Capability assessments, which are establishing a baseline of maturity and informing prioritised improvement activity
- Introduction of governance mechanisms such as an Architecture Clinic, supporting the review of new digital and data initiatives against the strategy, target architecture and associated controls (including security considerations)

28 Together, these arrangements provide a more integrated and systematic approach to managing cyber resilience, ensuring that security is considered alongside wider digital, data and technology decisions, and that governance supports both assurance and delivery. These arrangements operate alongside a comprehensive set of technical, operational and procedural controls (including security monitoring, patching, access control, training, and business continuity arrangements), which are embedded within day-to-day service delivery.

Next steps

29 The MCA will focus on embedding and maturing cyber resilience, building on the foundations delivered to date:

Embedding and Optimising Services	• Continue to embed and optimise Delt-delivered cyber services • Undertake scenario-based testing and threat simulations to validate response capability and resilience
CAF and Cyber Maturity	• Complete review and validation of CAF self-assessments (Objectives A and D) with MHCLG • Explore further funding opportunities to support adoption • Extend alignment to additional CAF objectives over time
Delivery of Digital and Data Strategy	• Embed secure-by-design principles across systems and services • Strengthen clarity of responsibilities between MCA and Delt for cyber security and data protection • Continue implementation of the Information Governance Framework • Enhance incident response and business continuity capability, including regular testing • Improve technology lifecycle management to reduce legacy risk
Capability-Led Improvement	• Use outputs from security capability assessment to define and prioritise improvement activity

	• Develop and track a structured cyber maturity roadmap, including areas such as identity management and cyber awareness tooling
Governance and Policy	• Continue post-transition review of governance, policies and standards • Align governance to the Digital and Data Strategy, Enterprise Architecture approach and Information Governance Framework
External Developments	• Monitor emerging national policy and legislative developments, including proposals relating to a Cyber Security and Resilience Bill, to ensure the MCA remains aligned with evolving expectations and best practice for the public sector

Alternative Options Considered

30 There isn't an alternative to effective cyber resilience. The cyber improvements delivered have already improved our cyber posture and the changes planned this year will build on this further. Cyber risks and threats are constantly changing and evolving.

31 Other frameworks exist, but the benefit of aligning with the Local Government Cyber Assessment Framework is that it is sector-specific and we have secured grant funding and support from MHCLG to assist with implementation. The Local Government CAF is based on NCSC's Cyber Assessment Framework. By adopting CAF for Local Government the MCA is able to benefit from benchmarking and shared learning with other Authorities

Consultation and Engagement

32 A range of internal communication channels have been used to raise awareness, issue reminders, and engage with staff about the importance of cyber security and share information about cyber resilience improvements. These include, but are not limited to:

- Connect (intranet)
- The Loop (internal e-newsletter) and email reminders
- Digital signage in the office
- Induction, training sessions and mandatory e-learning.

Key Risks

33 The cyber security risks of the organisation are managed through the arrangements set out in the main body of this report. Key risks relating to cyber resilience are managed through the corporate risk management process.

Diversity, Equity and Inclusion Implications

34 None arising from this report.

Health Improvement and Health Inequalities

35 None arising from this report.

Climate Change Implications

36 None arising from this report.

Financial Implications

37 None arising from this report.

Legal Implications

38 None arising from this report.

Human Resources Implications

39 None arising from this report.

Commercial and Procurement

40 There are no commercial or procurement implications arising from this report.

Appendices

- None

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